



POM FULL Notes

principles of management (Dr.N.G.P. Institute of Technology)



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GE3751 PRINCIPLES OF MANAGEMENT

OBJECTIVES:

To enable the students,

- To study the evolution of Management,
- To study the functions and principles of management and
- To learn the application of the principles in an organization.

UNIT I INTRODUCTION TO MANAGEMENT AND ORGANIZATIONS

Definition of Management – Science or Art – Manager Vs Entrepreneur - types of managers managerial roles and skills – Evolution of Management – Scientific, human relations , system and contingency approaches – Types of Business organization - Sole proprietorship, partnership, company-public and private sector enterprises - Organization culture and Environment – Current trends and issues in Management.

UNIT II PLANNING

Nature and purpose of planning – planning process – types of planning – objectives – setting objectives – policies – Planning premises – Strategic Management – Planning Tools and Techniques – Decision making steps and process.

UNIT III ORGANISING

Nature and purpose – Formal and informal organization – organization chart – organization structure – types – Line and staff authority – departmentalization – delegation of authority – centralization and decentralization – Job Design - Human Resource Management – HR Planning, **Recruitment**, selection, **Training** and **Development**, Performance Management , Career planning and management.

UNIT IV DIRECTING

Foundations of individual and group behaviour – **motivation** – motivation theories – motivational techniques – job satisfaction – job enrichment – **leadership** – types and theories of leadership – **communication** – process of communication – barrier in communication – effective communication – communication and IT.

UNIT V CONTROLLING

System and process of controlling – budgetary and non-budgetary control techniques – use of computers and IT in Management control – Productivity problems and management – control and performance – direct and preventive control – reporting.

PRINCIPLES OF MANAGEMENT

WHOM????- Those who are leading a group of people (Team work).

- **Manager**
- **Supervisor**
- **Engineer**
- **Entrepreneur**
- **Politician**
- **Team leader**
- **Prime Minister**
- **Chief Minister, etc**

WHY????- Team work:

A bond which promotes strength, unity, reliability and support.

- ❖ To improve the effectiveness of the resources,
- ❖ To satisfy their social needs,
- ❖ To interact with each other's ideas and ➡ Share common beliefs.

WHAT ????

➤ **What is Management?**

Management is the process of **planning, Organizing, Directing, Staffing** and **controlling** the various activities of the people to achieve the objectives of an organization.

➤ **What is an organization?**

An organization is a group of people working together to create surplus.

➤ **What is Principles of Management?**

Principles of Management are the essential, underlying factors that form the foundations of successful management.

UNIT - I OVERVIEW OF MANAGEMENT

Definition of Management – Science or Art – Manager Vs Entrepreneur - types of managers - managerial roles and skills – Evolution of Management – Scientific, human relations , system and contingency approaches – Types of Business organization - Sole proprietorship, partnership, company-public and private

sector enterprises - Organization culture and Environment – Current trends and issues in Management.

1.1. DEFINITION OF MANAGEMENT:

- ❖ Management is the process of giving direction and controlling the various activities of the people to achieve the objectives of an organization.
- ❖ According to Knootz and Weihrich “Management is the process of designing and maintaining of an environment in which individuals working together in groups efficiently accomplish selected aims”.

1.2. NATURE OF MANAGEMENT:

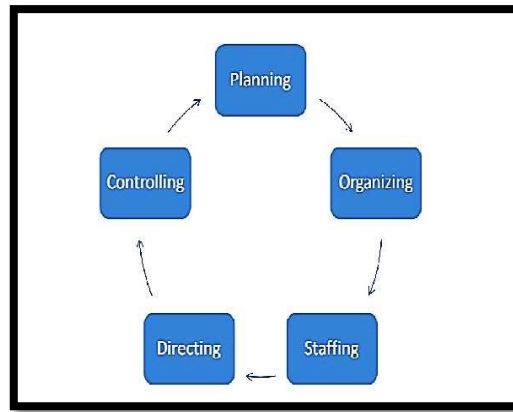
- Managers carry out their managerial function.
- Applies to any kind of Organisation.
- Applies to managers at all Organisational levels.
- Aim is to create a surplus.
- Concerned with productivity, implies effectiveness and efficiency.
- Management of 4 M's in the Orgn– Men, Machine, Materials & money.

1.4. CHARACTERISTICS OF MANAGEMENT :

- ☛ Management is Universal.
- Management is dynamic.
- Management is a group of managers.
- Management is Purposeful.
- Management is goal oriented.
- Management is integrative Function.
- Management is a Social process.
- Management is a Multi-faceted discipline.
- Management is a continuous process. ☛ Management is a system of authority.
- Management is intangible.
- Management is profession, an art as well as a science

1.5. FUNCTIONS OF MANAGEMENT:

1. **Planning**-What to do, when to do & how to do.
2. **Organizing** -Identification and grouping the activities to be performed.
3. **Staffing**- Recruiting, Training & development.
4. **Directing**- • Supervision • Motivation • Communication
5. **Controlling**-Checking and verifying the activities.



1.Planning:

- It is the basic function of management.
- It deals with chalking out a future course of action & deciding in advance the most appropriate course of actions for achievement of pre-determined goals.
- According to KOONTZ, “Planning is deciding in advance – what to do, when to do & how to do. It bridges the gap from where we are & where we want to be”.
- A plan is a future course of actions.
- Planning is necessary to ensure proper utilization of human & nonhuman resources.
- It also helps in avoiding confusion, uncertainties, risks, wastages etc.

2. Organizing :

- It is the process of bringing together physical, financial and human resources and developing productive relationship amongst them for achievement of organizational goals.
- According to Henry Fayol, “To organize a business is to provide it with everything useful or its functioning i.e. raw material, tools, capital and personnel’s”.
- Organizing as a process involves:
 - Identification of activities.
 - Classification of grouping of activities.
 - Assignment of duties.
 - Delegation of authority and creation of responsibility.
 - Coordinating authority and responsibility relationships.

3. Staffing :

- The main purpose of staffing is to put right man on right job.
- According to Kootz & O'Donell, “Managerial function of staffing involves manning the organization structure through proper and effective selection, appraisal & development of personnel to fill the roles designed un the structure”.
- Staffing involves:

- Manpower Planning (estimating man power in terms of searching, choose the person and giving the right place).
- Recruitment, selection & placement.
- Training & development.
- Remuneration.
- Performance appraisal.
- Promotions & transfer.

4. Directing:

- It is that part of managerial function which actuates the organizational methods to work efficiently for achievement of organizational purposes.
- Direction is that inert-personnel aspect of management which deals directly with influencing, guiding, supervising, motivating sub-ordinate for the achievement of organizational goals.
- Direction has following elements:
 - Supervision • Motivation • Leadership • Communication

5. Controlling:

- The purpose of controlling is to ensure that everything occurs in conformities with the standards.
- According to Theo Haimann, "Controlling is the process of checking whether or not proper progress is being made towards the objectives and goals and acting if necessary, to correct any deviation".
- According to Koontz & O'Donnell "Controlling is the measurement & correction of performance activities of subordinates in order to make sure that the enterprise objectives and plans desired to obtain them as being accomplished".
- Therefore controlling has following steps:
 - (i) Establishment of standard performance.
 - (ii) Measurement of actual performance.
 - (iii) Comparison of actual performance with the standards and finding out deviation if any.

(iv) Corrective action.

Functions	Sub Functions
Planning	Forecasting, decision making, strategy formulation, policy making, programming, scheduling, budgeting, problem-solving, innovation, investigation and research.
Organising	Grouping of Functions, Departmentation, delegation, decentralisation, activity analysis, task allocation
Staffing	Manpower planning, job analysis, Recruitment, Selection, Training, Placement, Compensation, Promotion, appraisal, etc.
Directing	Supervision, Motivation, communication, Leadership, etc
Controlling	Fixation of standard, recording, measurement, reporting corrective action.

1.6. MANAGEMENT IS SCIENCE OR ART?

MANAGEMENT AS A SCIENCE

- ❖ Science is a systematic body of knowledge pertaining to a specific field of study that contains general facts which explains a phenomenon.
- ❖ **These principles are developed through scientific method of observation and verification through testing.** Science is characterized by following main features:

1. Universally acceptance principles –

- ❖ Scientific principles represent basic truth about a particular field of enquiry.
- ❖ Management also contains some fundamental principles which can be applied universally like the Principle of **Unity of Command** i.e. **one man, one boss**. This principle is applicable to all type of organization.

2. Experimentation & Observation –

- ❖ They have been developed through experiments & practical experiences of large no. of managers. **E.g.** it is observed that **reasonable remuneration to personal helps in creating a satisfied work force.**

3. Cause & Effect Relationship –

- ❖ If workers are given **bonuses, fair wages they will work hard but when not treated in fair and just manner, reduces productivity of organization.**

4. Test of Validity & Predictability –

- ❖ Principles of management can also be tested for validity. E.g. principle of unity of command can be tested by comparing two persons - **one having single boss and one having 2 bosses. The performance of 1st person will be better than 2nd.**

MANAGEMENT AS AN ART

- ❖ Art implies **application of knowledge & skill** to trying about desired results.
- ❖ An art may be defined as personalized application of general theoretical principles for achieving best possible results.

Art has the following characters –

1. Practical Knowledge:

- ❖ Every art requires practical knowledge therefore learning of theory is not sufficient.
- ❖ It is very important to know practical application of theoretical principles. **E.g. to become a good painter, the person may not only be knowing different colour and brushes but different designs, dimensions, situations etc to use them appropriately.**
- ❖ A manager can never be successful just by obtaining degree or diploma in management; he must have also know how to apply various principles in real situations by functioning in capacity of manager.

2. Personal Skill:

- ❖ Although **theoretical base may be same for every artist, but each one has his own style and approach towards his job.**
- ❖ That is why the level of success and quality of performance differs from one person to another. **E.g. there are several qualified painters but M.F. Hussain is recognized for his style.**
- ❖ Similarly management as an art is also personalized.
- ❖ **Every manager has his own way of managing things based on his knowledge, experience and personality,** that is why some managers are known as good managers (like Aditya Birla, Rahul Bajaj) whereas others as bad.

3. Creativity:

- ❖ Every artist has an element of creativity in line. which **requires combination of intelligence & imagination.**
- ❖ Management is also creative in nature like any other art.
- ❖ It combines human and non-human resources in useful way so as to achieve desired results..(ex: Ilayaraja)

4. Perfection through practice: Practice makes a man perfect.

5. Goal-Oriented: Every art is result oriented as it seeks to achieve concrete results. In the same manner, management is also directed towards accomplishment of pre-determined goals.

Conclusion:

🌐 **MANAGEMENT AS BOTH SCIENCE AND ART**

Management is both an art and a science. The above mentioned points clearly reveal that **management combines features of both science as well as art.**

They are complementary to each other (like tea and biscuit, bread and butter etc.).

1.7. LEVELS OF MANAGEMENT:

- ❖ The term “**Levels of Management**’ refers to a line of separation between various managerial positions in an organization.
- ❖ **The number of levels in management increases when the size of the business and work force increases and vice versa.**
- ❖ The level of management determines a chain of command, the amount of authority & status enjoyed by any managerial position.

The levels of management can be classified in three broad categories:

1. **Top Level Management / Administrative Level**
2. **Middle Level Management / Executory**
3. **Low Level Management / Supervisory / Operative / First-Line Managers**

Managers at all these levels perform different functions. The role of managers at all the three levels is discussed below:



LEVELS OF MANAGEMENT

1. Top Level of Management:

- ❖ It consists of board of directors, chief executive or managing director.
- ❖ The top management is the ultimate source of authority and it manages goals and policies for an enterprise.
- ❖ It devotes more time on planning and coordinating functions.

Their role can be emphasized as

- a. Top management lays down the objectives and broad policies of the enterprise.
- b. It issues necessary instructions for **preparation of department budgets, procedures, schedules etc.**
- c. **It prepares strategic plans & policies for the enterprise.**
- d. It appoints the executive for middle level i.e. departmental managers.
- e. It controls & coordinates the activities of all the departments.
- f. It is also responsible for maintaining a contact with the outside world.
- g. It provides guidance and direction.

2. Middle Level of Management

- ❖ The branch managers and departmental managers constitute middle level.
- ❖ They are responsible to the top management for the functioning of their department.
- ❖ They devote more time to organizational and directional functions.
- ❖ In small organization, there is only one layer of middle level of management but in big enterprises, there may be senior and junior middle level management.

Their role can be emphasized as -

- a. They execute the plans of the organization in accordance with the policies and directives of the top management.
- b. They make plans for the sub-units of the organization.
- c. They participate in employment & training of lower level management.
- d. They interpret and explain policies from top level management to lower level.
- e. They are responsible for coordinating the activities within the division or department.
- f. It also sends important reports and other important data to top level management.
- g. They evaluate performance of junior managers.
- h. They are also responsible for inspiring lower level managers towards better performance.

3. Lower Level of Management

- ❖ It consists of supervisors, foreman, section officers, superintendent etc.
- ❖ According to *R.C. Davis*, "Supervisory management refers to those executives whose work has to be largely with personal oversight and direction of operative employees".
- ❖ In other words, they are concerned with direction and controlling function of management.

Their activities include -

- a. Assigning of jobs and tasks to various workers.
- b. They guide and instruct workers for day to day activities.
- c. They are responsible for the quality as well as quantity of production.
- d. They are also entrusted with the responsibility of maintaining good relation in the organization.
- e. They communicate workers problems, suggestions, and recommendatory appeals etc. to the higher level and higher level goals and objectives to the workers.
- f. They help to solve the grievances of the workers.
- g. They supervise & guide the sub-ordinates.
- h. They are responsible for providing training to the workers.
- i. They arrange necessary materials, machines, tools etc for getting the things done.
- j. They prepare periodical reports about the performance of the workers.
- k. They ensure discipline in the enterprise.
- l. They motivate workers.

MANAGERIAL SKILLS:

- ✓ Conceptual skills.
- ✓ Human Skills.
- ✓ Technical Skills.
- ✓ Design Skills – Decision making.

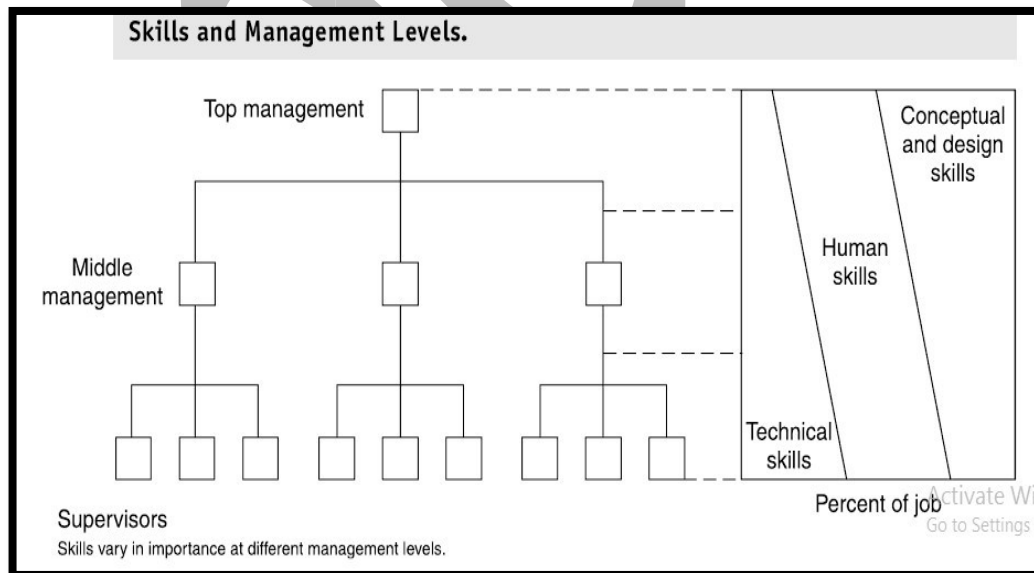
NEED FOR MANAGEMENT:

- ✓ To increase efficiency.
- ✓ To crystallize the nature of Management job.
- ✓ To improve research in Management.
- ✓ To attain social goals.

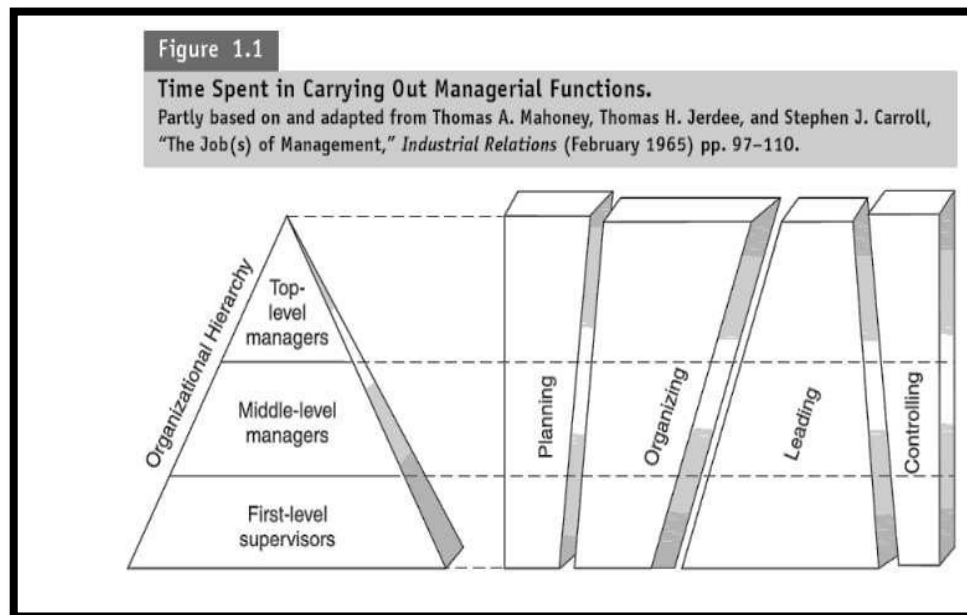
IMPORTANCE OF MANAGEMENT

- ✓ Achievement of group goals.
- ✓ Optimum utilization of resources.
- ✓ Fulfillment of social obligations.
- ✓ Economic growth.
- ✓ Stability.
- ✓ Human Development.
- ✓ Meets the challenge of change.

SKILLS FOR MANAGEMENT LEVELS:



TIME SPENT IN CARRYING OUT MANAGERIAL FUNCTIONS:



1.8. DIFFERENCES BETWEEN ENTREPRENEUR AND MANAGER

1. A person, who creates an enterprise, by taking a financial risk in order to get profit, is called an **entrepreneur**.

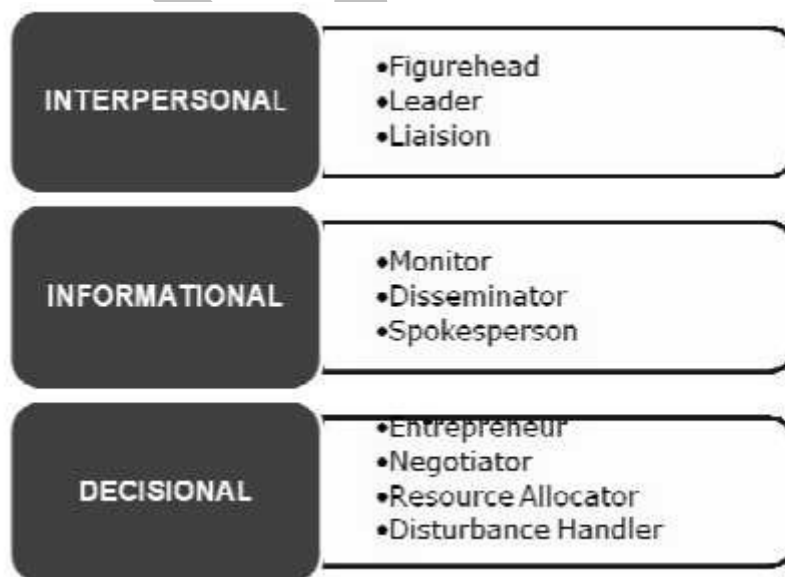
An individual who takes the responsibility of controlling and administering the organisation is known as a **manager**.

2. An entrepreneur focuses on business start-up whereas the main focus of a manager is to manage ongoing operations.
3. Achievements work as a motivation for entrepreneurs. On the other hand, the primary motivation is the power.
4. The manager's approach to the task is formal which is just opposite of an entrepreneur.
5. An entrepreneur is the owner of the enterprise while a manager is just an employee of the company.
6. A manager gets salary as remuneration for the work performed by him. Conversely, profit is the reward for the entrepreneur.
7. An entrepreneur's decisions are driven by inductive logic, courage, and determination; that is why the decision making is intuitive. On the contrary, the decision making of a manager is calculative, as they are driven by deductive logic, the collection of information and advice.
8. The major driving force of an entrepreneur is creativity and innovation. As against this, a manager maintains the existing state of affairs.
9. While entrepreneur is a risk taker, the manager is risk averse.

COMPARISON CHART

BASIS FOR COMPARISON	ENTREPRENEUR	MANAGER
Meaning	Entrepreneur refers to a person who creates an enterprise, by taking financial risk in order to get profit.	Manager is an individual who takes the responsibility of controlling and administering the organization.
Focus	Business startup	Ongoing operations
Primary motivation	Achievement	Power
Approach to task	Informal	Formal
Status	Owner	Employee
Reward	Profit	Salary
Decision making	Intuitive	Calculative
Driving force	Creativity and Innovation	Preserving status quo
Risk	Risk taker	Risk averse orientation

1.9. ROLES OF A MANAGER (Mintzberg)



- 1. Interpersonal Role** - Interacting with people inside and outside the organisation.
 - (i) **Figurehead** – as a symbolic head of an organisation, the manager performs routine duties of a legal nature.
 - (ii) **Leader** – Hiring, Training, motivating and guiding subordinates.
 - (iii) **Liaison** - Interacting with other managers outside the organisation to obtain favours and information.
- 2. Informational Role** – Serving as a focal point for exchange of Information. (iv) **Monitor** – Seeks and receive information concerning internal and external events so as to gain understanding of the organisation and its environment.
 - (v) **Disseminator** – Transmits information to subordinates, peers and superiors within the Organisation.
 - (vi) **Spokesperson** – Speaking on behalf of the organisation and transmitting information on organisation plans, policies and actions to outsiders.
- 3. Decisional Role** – Makes important decision
 - (vii) **Entrepreneur** – Initiating changes or improvements in the activities of the organisation.
 - (viii) **Disturbance handler**- Taking charge and corrective action when organisation faces unexpected crises.
 - (ix) **Resource allocator** – Distributing organisation's resources like money, time, equipment and labour.
 - (x) **Negotiator** – Representing the organisation in bargaining and negotiations with outsiders and insiders.

1.10. EVOLUTION OF MANAGEMENT THOUGHT:

- ❖ The practice of management is as old as human civilization.
- ❖ The ancient civilizations of Egypt (the great pyramids), Greece (leadership and war tactics of Alexander the great) and Rome displayed the marvelous results of good management practices.
- ❖ The origin of management as a discipline was developed in the late 19th century.
- ❖ Over time, management thinkers have sought ways to organize and classify the voluminous information about management that has been collected and disseminated.
- ❖ These attempts at classification have resulted in the identification of management approaches.
- ❖ The approaches of management are theoretical frameworks for the study of management.

- ❖ Each of the approaches of management are based on somewhat different assumptions about human beings and the organizations for which they work.

The different approaches of management are

- a) Classical approach,
- b) Behavioral approach,
- c) Quantitative approach,
- d) Systems approach,
- e) Contingency approach.

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MANAGEMENT APPROACHS	Beginning Dates	Emphasis
CLASSICAL APPROACH		
Scientific Management	1880s	Traditional rules of thumb are replaced by precise procedures developed after careful study of an individual at work.
Administrative Management	1940s	Gives idea about the primary functions of management and The 14 Principles of Administration
Bureaucratic Management	1920s	Replaces traditional leadership and charismatic leadership with legal leadership
BEHAVIORAL APPROACH		
Human Relations	1930s	workers' attitudes are associated with productivity
Behavioral Science	1950s	Gives idea to understand human behavior in the organization.
QUANTITATIVE APPROACH		
Management Science (Operation research)	1940s	Uses mathematical and statistical approaches to solve management problems.
Production and Operations Management	1940s	This approach focuses on the operation and control of the production process that transforms resources into finished goods and services
RECENT DEVELOPEMENTS		
SYSTEMS APPROACH	1950s	Considers the organization as a system that transforms inputs into outputs while in constant interaction with its' environment.
CONTINGENCY APPROACH	1960s	Applies management principles and processes as dictated by the unique characteristics of each situation.

THE CLASSICAL APPROACH:

- ❖ The classical approach is the oldest formal approach of management thought.
- ❖ Its roots pre-date the twentieth century. The classical approach of thought generally concerns ways to manage work and organizations more efficiently.
- ❖ Three areas of study that can be grouped under the classical approach are scientific management, administrative management, and bureaucratic management.

(i) Scientific Management:

- ❖ Frederick Winslow Taylor is known as the father of scientific management. Scientific management (also called Taylorism or the Taylor system) is a theory of management that analyzes and synthesizes workflows, with the objective of improving labor productivity.
- ❖ In other words, Traditional rules of thumb are replaced by precise procedures developed after careful study of an individual at work.

(ii) Administrative Management:

- ❖ Administrative management focuses on the management process and principles of management.
- ❖ In contrast to scientific management, which deals largely with jobs and work at the individual level of analysis, administrative management provides a more general theory of management.
- ❖ Henri Fayol is the major contributor to this approach of management thought.

(iii) Bureaucratic Management.

- ❖ Bureaucratic management focuses on the ideal form of organization.
- ❖ Max Weber was the major contributor to bureaucratic management.
- ❖ Based on observation, Weber concluded that many early organizations were inefficiently managed, with decisions based on personal relationships and loyalty.
- ❖ He proposed that a form of organization, called a bureaucracy, characterized by division of labor, hierarchy, formalized rules, impersonality, and the selection and promotion of employees based on ability, would lead to more efficient management.
- ❖ Weber also contended that managers' authority in an organization should be based not on tradition or charisma but on the position held by managers in the organizational hierarchy.

THE BEHAVIORAL APPROACH:

- ❖ The behavioral approach of management thought developed, in part, because of perceived weaknesses in the assumptions of the classical approach. The classical approach emphasized efficiency, process, and principles.
- ❖ Some felt that this emphasis disregarded important aspects of organizational life, particularly as it related to human behavior. Thus, the behavioral approach focused on trying to understand the factors that affect human behavior at work.

(i) Human Relations:

- ❖ The Hawthorne Experiments began in 1924 and continued through the early 1930s. A variety of researchers participated in the studies, including Elton Mayo.
- ❖ One of the major conclusions of the Hawthorne studies was that workers' attitudes are associated with productivity.
- ❖ Another was that the workplace is a social system and informal group influence could exert a powerful effect on individual behavior. A third was that the style of supervision is an important factor in increasing workers' job satisfaction.

(ii) Behavioral Science:

- ❖ Behavioral science and the study of organizational behavior emerged in the 1950s and 1960s.
- ❖ The behavioral science approach was a natural progression of the human relations movement.
- ❖ It focused on applying conceptual and analytical tools to the problem of understanding and predicting behavior in the workplace.
- ❖ The behavioral science approach has contributed to the study of management through its focus on personality, attitudes, values, motivation, group behavior, leadership, communication, and conflict, among other issues.

** THE QUANTITATIVE APPROACH:**

- ❖ The quantitative approach focuses on improving decision making via the application of quantitative techniques.
- ❖ Its roots can be traced back to scientific management.

(i) Management Science (Operations Research):

- ❖ Uses mathematical and statistical approaches to solve management problems.
- ❖ It developed during World War II as strategists tried to apply scientific knowledge and methods to the complex problems of war.
- ❖ Industry began to apply management science after the war. The advent of the computer made many management science tools and concepts more practical for industry.

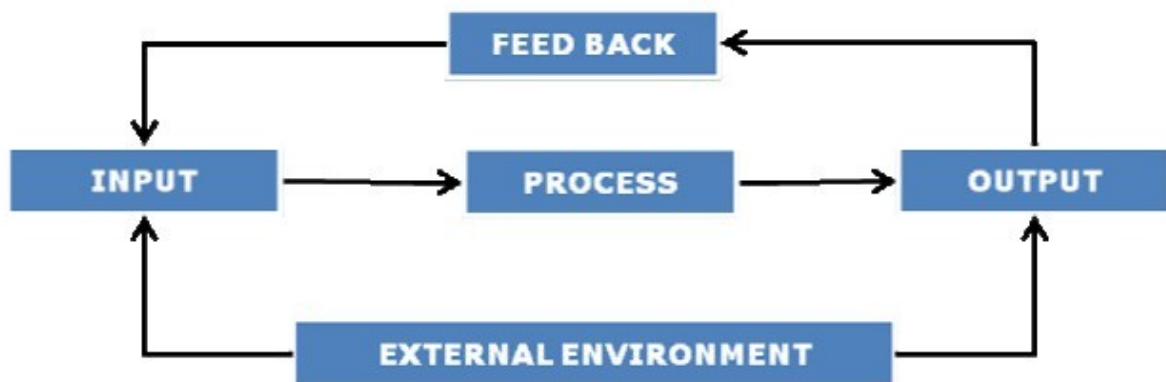
(ii) Production and Operations Management.

- ❖ This approach focuses on the operation and control of the production process that transforms resources into finished goods and services.

- ❖ It has its roots in scientific management but became an identifiable area of management study after World War II.
- ❖ Operations management emphasizes productivity and quality of both manufacturing and service organizations.
- ❖ W. Edwards Deming exerted a tremendous influence in shaping modern ideas about improving productivity and quality.
- ❖ Major areas of study within operations management include capacity planning, facilities location, facilities layout, materials requirement planning, scheduling, purchasing and inventory control, quality control, computer integrated manufacturing, just-in-time inventory systems, and flexible manufacturing systems.

SYSTEMS APPROACH:

The simplified block diagram of the systems approach is given below.



- ❖ The systems approach focuses on understanding the organization as an open system that transforms inputs into outputs.
- ❖ The systems approach began to have a strong impact on management thought in the 1960s as a way of thinking about managing techniques that would allow managers to relate different specialties and parts of the company to one another, as well as to external environmental factors.
- ❖ The systems approach focuses on the organization as a whole, its interaction with the environment, and its need to achieve equilibrium

CONTINGENCY APPROACH:

- ❖ The contingency approach focuses on applying management principles and processes as dictated by the unique characteristics of each situation.
- ❖ It emphasizes that there is no one best way to manage and that it depends on various situational factors, such as the external environment, technology, organizational characteristics, characteristics of the manager, and characteristics of the subordinates.

HENRY FAYOL'S 14 PRINCIPLES OF MANAGEMENT:

The principles of management are given below:

1. **Division of work:** The work should be divided into different task and each task is performed by a person who is specialised in that area.
2. **Authority and Responsibility:** The right to give order is called authority. The obligation to accomplish is called responsibility. Authority and Responsibility are the two sides of the management coin. They exist together. They are complementary and mutually interdependent.
3. **Discipline:** The objectives, rules and regulations, the policies and procedures must be honoured by each member of an organization. There must be penalties (punishment) for non-obedience or indiscipline. No organization can work smoothly without discipline.
4. **Unity of Command:** In order to avoid any possible confusion and conflict, each member of an organization must receive orders and instructions only from one superior (boss).
5. **Unity of Direction:** All members of an organization must work together to accomplish common objectives.
6. **Emphasis on Subordination of Personal Interest to General or Common Interest:** This is also called principle of co-operation. Each shall work for all and all for each. General or common interest must be supreme in any joint enterprise.
7. **Remuneration:** Fair pay with non-financial rewards can act as the best incentive or motivator for good performance. Exploitation of employees in any manner must be eliminated.
8. **Centralization:** There must be a good balance between centralization and decentralization of authority and power. Extreme centralization and decentralization must be avoided.
9. **Scalar Chain:** The unity of command brings about a chain or hierarchy of command linking all members of the organization from the top to the bottom.
10. **Order:** Fayol suggested that there is a place for everything. Order or system alone can create a sound organization and efficient management.
11. **Equity:** An organization consists of a group of people involved in joint effort. Hence, equity (i.e., justice) must be there. Without equity, we cannot have sustained and adequate joint collaboration.
12. **Stability of Tenure:** A person needs time to adjust himself with the new work and demonstrate efficiency in due course. Hence, employees and managers must have job security.
13. **Esprit of Co-operation:** Union is strength. But unity demands co-operation.
14. **Initiative:** Creative thinking and capacity to take initiative can give us sound managerial planning and execution of predetermined plans.

SCIENTIFIC MANAGEMENT:

Father of Scientific Management F.W. Taylor (1856 –1915)

“The art of knowing exactly what you want men to do and see that they do it in the best and cheapest way.”

Management a Science based upon certain clearly defined principles.

Principles of Scientific Management,

- ❏ Science not rule of thumb.
- ❖ Harmony not discord.
- ❖ Co-operation not individualism.
- ❖ Maximum output in place of restricted output.
- ❖ Development of each individual to his greatest efficiency and prosperity.
- ❖ Mental Revolution – Workers and Management, Workmen towards their work, their fellowmen and towards their employees. Mental attitude of the two parties.

Techniques of Scientific Management

1. Time Study
2. Motion Study
3. Scientific task Planning
4. Standardization and simplification
5. Differential piece rate system
6. Functional foremanship – According to Taylor, one supervisor cannot be an expert in all aspects of work supervision.

In system of Functional Foremanship in which eight supervisors supervise a workers job.

- a. Route Clerk
- b. Instruction card clerk
- c. Time and cost clerk
- d. Shop disciplinarian
- e. Gang boss
- f. Speed boss
- g. Repair boss
- h. Inspector

1.11. BUSINESS ORGANIZATION

- ❖ A business organization is an individual or group of people that collaborate to achieve certain commercial goals.
- ❖ Some business organizations are formed to earn income for owners. Other business organizations, called non-profits, are formed for public purposes.
- ❖ These businesses often raise money and utilize other resources to provide or support public programs.

TYPES OF BUSINESS ORGANIZATION:

1. **PRIVATE SECTOR-** it is the part of the economy, sometimes referred to as the citizen sector, which is run by private individuals or groups, usually as a means of enterprise for profit, and is not controlled by the State.

2. **PUBLIC SECTOR-**

- ❖ The part of an economy that is controlled by the state.
- ❖ The public sector is the part of the economy concerned with providing various governmental services.
- ❖ In most countries the public sector includes such services as the military, police, infrastructure (public roads, bridges, tunnels, water supply, sewers, electrical grids, telecommunications, etc.), public transit, public education, along with health care and those working for the government itself, such as elected officials.
- ❖ The public sector might provide services that a non-payer cannot be excluded from (such as street lighting), services which benefit all of society rather than just the individual who uses the service.

3. **PRIVATELY HELD-**

A privately held company or close corporation is a business company owned either by non-governmental organizations or by a relatively small number of shareholders or company members which does not offer or trade its company stock (shares) to the general public on the stock market exchanges, but rather the company's stock is offered, owned and traded or exchanged privately.

4. **PUBLICALLY HELD-**

A public, publicly traded, publicly held company, or public corporation is a corporation whose ownership is dispersed among the general public in many shares of stock which are freely traded on a stock exchange or in over the counter markets. In some jurisdictions, public companies over a certain size must be listed on an exchange.

5. **SOLE PROPRIETORS-** owned by a single person.

Merits:

- ❖ Easiest and least expensive form of ownership to organize.
- ❖ Sole proprietors are in complete control, within the law, to make all decisions.
- ❖ Sole proprietors receive all income generated by the business to keep or reinvest.
- ❖ Profits from the business flow-through directly to the owner's personal tax return.
- ❖ The business is easy to dissolve, if desired.

Demerits:

- ❖ Unlimited liability and are legally responsible for all debts against the business.
- ❖ Their business and personal assets are 100% at risk.
- ❖ Has almost been ability to raise investment funds.
- ❖ Are limited to using funds from personal savings or consumer loans.
- ❖ Have a hard time attracting high-caliber employees, or those that are motivated by the opportunity to own a part of the business.
- ❖ Employee benefits such as owner's medical insurance premiums are not directly deductible from business income (partially deductible as an adjustment to income).

6. PARTNERSHIP- owned by a group of person together towards a goal.**Merits:**

- ❖ Partnerships are relatively easy to establish; however time should be invested in developing the partnership agreement.
- ❖ With more than one owner, the ability to raise funds may be increased.
- ❖ The profits from the business flow directly through to the partners' personal taxes.
- ❖ Prospective employees may be attracted to the business if given the incentive to become a partner.

Demerits:

- ❖ Partners are jointly and individually liable for the actions of the other partners.
- ❖ Profits must be shared with others.
- ❖ Since decisions are shared, disagreements can occur.
- ❖ Some employee benefits are not deductible from business income on tax returns.
- ❖ The partnerships have a limited life; it may end upon a partner withdrawal or death.

COMPARISON CHART:

BASIS FOR COMPARISON	SOLE PROPRIETORSHIP	PARTNERSHIP
Meaning	A type of business organization, in which only one person is the owner as well as operator of the business, is known as Sole Proprietorship.	A business form in which two or more persons agree to carry on business and share profits & losses mutually is known as Partnership.
Governing Act	No specific statute	Indian Partnership Act, 1932

Owner	Known as sole trader or sole proprietor.	Individually known as partners and collectively known as firm.
Incorporation	Not required	Voluntary
Minimum members	Only one	Two
Maximum members	Only one	100 partners
Liability	Borne by the proprietor only.	Shared by the partners.
Decision making	Quick	Delay
Duration	Uncertain	Depends on the desire and capacity of the partners.
Profit & Loss	Proprietor is solely responsible for the profits & losses.	Shared in agreed ratio
Secrecy	Business secrets are not open to any person except the proprietor.	Business secrets are open to each and every partner.
Finance	Scope for raising capital is limited.	Scope for raising capital is comparatively high.

1.12. ORGANIZATION CULTURE AND ENVIRONMENT:

☂ **This affects the functions of manager.**

1) INTERNAL ENVIRONMENTAL FACTORS:

- ❖ The internal environment is the environment that has a direct impact on the business.
- ❖ The internal factors are generally controllable because the company has control over these factors.
- ❖ It can alter or modify these factors. The internal environmental factors are resources, capabilities and culture.

i) Resources: A good starting point to identify company resources is to look at tangible, intangible and human resources. Tangible resources are the easiest to identify and evaluate: financial resources and physical assets are identified and

valued in the firm's financial statements. Such intangible resources include reputational assets (brands, image, etc.) and technological assets (proprietary technology and know-how). **ii) Capabilities:** Resources are not productive on their own. The most productive tasks require that resources collaborate closely together within teams. The term organizational capabilities are used to refer to a firm's capacity for undertaking a particular productive activity.

iii) Culture: It is the specific collection of values and norms that are shared by people and groups in an organization and that helps in achieving the organizational goals.

2) EXTERNAL ENVIRONMENT FACTORS:

- ❖ It refers to the environment that has an indirect influence on the business.
- ❖ The factors are uncontrollable by the business.
- ❖ The two types of external environment are task environment and general environment.

a) TASK ENVIRONMENTAL FACTORS:

☞ These are external factors close to the company that have a direct impact on the organizations process. These factors include:

i) Shareholders: Any person or company that owns at least one share (a percentage of ownership) in a company is known as shareholder. A shareholder may also be referred to as a "stockholder". As organization requires greater inward investment for growth they face increasing pressure to move from private ownership to public. However this movement unleashes the forces of shareholder pressure on the strategy of organizations.

ii) Suppliers : An individual or an organization involved in the process of making a product or service available for use or consumption by a consumer or business user is known as supplier. Increase in raw material prices will have a knock on affect on the marketing mix strategy of an organization. **iii) Distributors:** Entity that buys non-competing products or product-lines, warehouses them, and resells them to retailers or direct to the end users or customers is known as distributor. Most distributors provide strong manpower and cash support to the supplier or manufacturer's promotional efforts. They usually also provide a range of services (such as product information, estimates, technical support, after-sales services, credit) to their customers. Often getting products to the end customers can be a major issue for firms. The distributors used will determine the final price of the product and how it is presented to the end customer.

iv) Customers: A person, company, or other entity which buys goods and services produced by another person, company, or other entity is known as customer. Organizations survive on the basis of meeting the needs, wants and providing benefits for their customers. Failure to do so will result in a failed business strategy.

v) **Competitors:** A company in the same industry or a similar industry which offers a similar product or service is known as competitor. The presence of one or more competitors can reduce the prices of goods and services as the companies attempt to gain a larger market share. Competition also requires companies to become more efficient in order to reduce costs. Fast-food restaurants McDonald's and Burger King are competitors, as are Coca-Cola and Pepsi, and Wal-Mart and Target.

vi) **Media:** Positive or adverse media attention on an organisations product or service can in some cases make or break an organisation.. Consumer programmes with a wider and more direct audience can also have a very powerful and positive impact, hforcing organisations to change their tactics.

b) GENERAL ENVIRONMENTAL FACTORS:

i) **Political Factors** Political factors include government regulations and legal issues and define both formal and informal rules under which the firm must operate. Some examples include: • tax policy • employment laws

• environmental regulations • trade restrictions and tariffs • political stability ii)

Economic Factors: Economic factors affect the purchasing power of potential customers and the firm's cost of capital. The following are examples of factors in the macroeconomy: • economic growth • interest rates • exchange rates

• inflation rate

iii) **Social Factors:** Social factors include the demographic and cultural aspects of the external macro environment. These factors affect customer needs and the size of potential markets. Some social factors include: • health consciousness • population growth rate • age distribution • career attitudes • emphasis on safety

iv) **Technological Factors:** Technological factors can lower barriers to entry, reduce minimum efficient production levels, and influence outsourcing decisions. Some technological factors include: • R&D activity • automation • technology incentives • rate of technological change

1.13.TRENDS AND CHALLENGES OF MANAGEMENT IN GLOBAL SCENARIO :

Current trends in management:

1. Globalization
2. Technology
3. Sustainability and corporate social responsibility
4. Study of psychology
5. Business ecosystem

Issues in management:

1. Globalization

2. Quality and productivity
3. Ethics and social responsibility
4. Technological development
5. Innovation and changes
6. Work force diversity
7. Multicultural effects

UNIT II PLANNING

Nature and purpose of planning – planning process – types of planning – objectives – setting objectives – policies – Planning premises – Strategic Management – Planning Tools and Techniques – Decision making steps and process.

2.0 PLANNING:

- ❖ Planning is the first managerial function to be performed.
- ❖ It is concerned with deciding in advance what is to be done in future, when, where and by whom it is to be done. 🚗 It is a process of thinking before doing.



2.1. DEFINITION:

According to Koontz O'Donnel - "Planning is an intellectual process, the conscious determination of courses of action, the basing of decisions on purpose, acts and considered estimates".

2.1.1. ADVANTAGES:

1. Reduces uncertainty
2. Ensures economical operations
3. Facilitates control
4. Improves motivation
5. Gives competitive edge
6. Avoids duplication of efforts

2.1.2. DISADVANTAGES:

1. Limitations of forecasts
2. Rigidity in administration
3. Time consuming process
4. Costly affair
5. Influence of external factors
6. Psychological factors

2.2. NATURE AND PURPOSE OF PLANNING:

2.2.1. Nature of Planning:

1. **PLANNING IS GOAL-ORIENTED:** Every plan must contribute in some positive way towards the accomplishment of group objectives. Planning has no meaning without being related to goals.
2. **PRIMACY OF PLANNING:** Planning is the first of the managerial functions. It precedes all other management functions.
3. **PERVASIVENESS OF PLANNING:** Planning is found at all levels of management. Top management looks after strategic planning. Middle management is in charge of administrative planning. Lower management has to concentrate on operational planning.
4. **EFFICIENCY, ECONOMY AND ACCURACY:** Efficiency of plan is measured by its contribution to the objectives as economically as possible. Planning also focuses on accurate forecasts.
5. **CO-ORDINATION:** Planning co-ordinates the what, who, how, where and why of planning. Without co-ordination of all activities, we cannot have united efforts.
6. **LIMITING FACTORS:** A planner must recognize the limiting factors (money, manpower etc) and formulate plans in the light of these critical factors.
7. **FLEXIBILITY:** The process of planning should be adaptable to changing environmental conditions.
8. **PLANNING IS AN INTELLECTUAL PROCESS:** The quality of planning will vary according to the quality of the mind of the manager.

2.2.2. Purpose Of Planning:

As a managerial function planning is important due to the following reasons:-

1. **TO MANAGE BY OBJECTIVES:** All the activities of an organization are designed to achieve certain specified objectives. However, planning makes the objectives more concrete by focusing attention on them.

2. TO OFFSET UNCERTAINTY AND CHANGE: Future is always full of uncertainties and changes. Planning foresees the future and makes the necessary provisions for it.

3. TO SECURE ECONOMY IN OPERATION: Planning involves the selection of most profitable course of action that would lead to the best result at the minimum costs.

4. TO HELP IN CO-ORDINATION: Co-ordination is, indeed, the essence of management, the planning is the base of it. Without planning it is not possible to co-ordinate the different activities of an organization.

5. TO MAKE CONTROL EFFECTIVE: The controlling function of management relates to the comparison of the planned performance with the actual performance. In the absence of plans, a management will have no standards for controlling other's performance.

6. TO INCREASE ORGANIZATIONAL EFFECTIVENESS: Mere efficiency in the organization is not important; it should also lead to productivity and effectiveness. Planning enables the manager to measure the organizational effectiveness in the context of the stated objectives and take further actions in this direction.

2.2.3. FEATURES OF PLANNING:

- ❖ It is primary function of management.
- ❖ It is an intellectual process.
- ❖ Focuses on determining the objectives.
- ❖ Involves choice and decision making.
- ❖ It is a continuous process.

2.3. TYPES OF PLANNING:

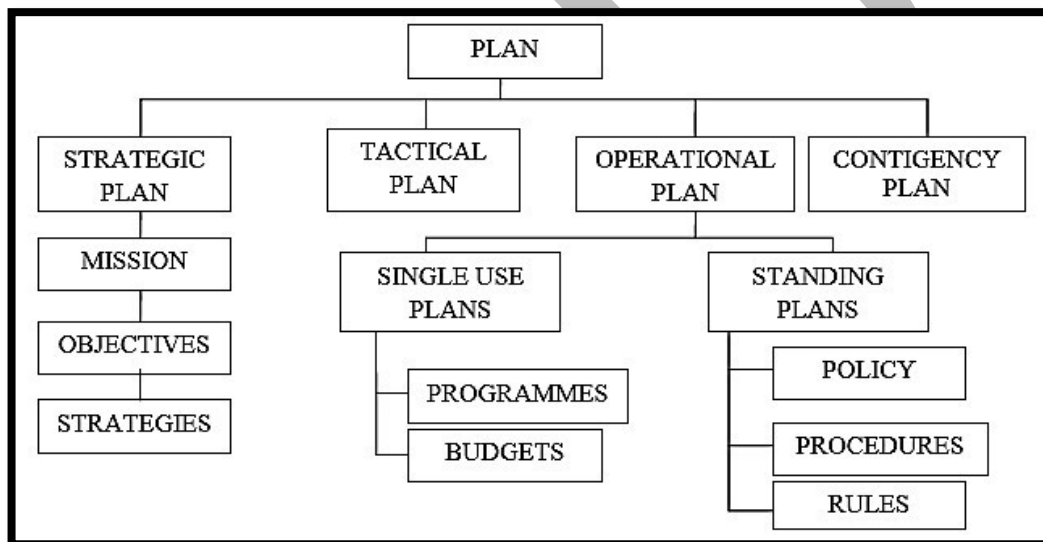
<u>Focus</u>		<u>Time period</u>
nc	Strategic	Long range (<5 yrs)
	Operational	Medium range (2-5 yrs)
	Tactic	Short range (>2 yrs)
	Contingency	

STRATEGIC PLANNING is carried out by top-level management. Long-term plans are drawn in this process, spanning a number of years. Additionally, an organization's mission statement is included in the strategic plan.

TACTICAL PLANNING covers specific areas of an organization. Short-term plans are made for up to a year in some cases. Middle-level management in an organization executes tactical planning. Tactical plans build up towards a strategic plan.

Specific procedures and processes make up **OPERATIONAL PLANNING**. It involves outlining routine activities carried out often in an organization. Plans made could either be single-use or continuing plans. Low-level management executes tactical planning.

CONTINGENCY PLANNING involves identifying alternative courses of action that can be implemented if and when the original plan proves inadequate because of changing environments.



2.3.1. STEPS INVOLVED IN STRATEGIC PLANNING PROCESS

1. GETTING PREPARED:

- ☞ Decide on the team who will be involved in the planning process , gather all needed information ensuring all information is up to date and as accurate as possible which is very important to ensure sound decisions results from this whole process. Identify any specific issues that need to be addressed.

2. CLARIFY THE MISSION AND VISION STATEMENTS:

- ☞ Identify, clarify and reach consensus on the company's mission and vision statements, corporate values and culture, the main goal of why the company exists and create an image of what success looks like for your company.

3. IDENTIFY YOUR CURRENT AND FUTURE MARKET POSITION. (PERFORM A SWOT ANALYSIS):

- ❖ Gather up-to-date information on internal strengths and weaknesses and external opportunities and threats so you can develop an understanding of all critical issues. Use the SWOT tool to organize your information

“Winners recognize their limitations but focus on their strengths;
Losers recognize their strengths but focus on their limitations”

- ❖ A weakness can be converted into strength by recognizing it and by making an effort in that Direction.
- ❖ Opportunities and threats also need to be recognized.

Importance of SWOT analysis

- ❖ It analyses whether the business is healthy or sick.
- ❖ An organization comes to know about the internal and external factors that affect its success or failure.
- ❖ It helps in the formation of a strategy so as to make preparations for the possible threats from the competitors.
- ❖ It helps to evaluate a business environment in a detailed manner so as to take strategic decisions for the future course of action.

4. AGREE ON PRIORITIES:

- 📋 As in any planning process, all priorities need to be set and agreed as well as broad strategies for handling critical issues and what outcomes are to be sought. It is important that you and your planning team agree on all major and key priorities.

5. PUT THE PLAN TOGETHER:

- 📋 In this step you should start putting all the bits and pieces of your plan together to facilitate implementation and constant review.

6. DISTRIBUTE TASKS AND ASSIGN ACTIONS:

- 📋 Now that your plan has been placed together in one document, its time to start assigning specific tasks to each specific team, department or individual.

7. ROLL-OUT THE PLAN:

- 📋 Now your plan needs to be communicated and circulated to everyone in your organization to ensure alignment.

8. HOLD EVERYONE ACCOUNTABLE:

- ❖ The plan will not be effective without processes and metrics that ensures everyone is doing their part.
- ❖ The plan needs to be constantly monitored and performance needs to be measured through either monthly or quarterly strategy staff meetings.
- ❖ To hold people accountable and making sure that the plan activities are actually happening and corrective actions and adjustments can be taken to rectify, tweak and effectively manage performance in light of the strategic plan.

2.4. OBJECTIVES:

- ❖ Objectives may be defined as the goals which an organisation tries to achieve.
- ❖ Objectives are described as the end- points of planning.
- ❖ According to Koontz and O'Donnell, "an objective is a term commonly used to indicate the end point of a management programme." 🚗 Planning has no meaning if it is not related to certain objectives.

2.4.1. Features of Objectives:

- ❖ The objectives must be predetermined.
- ❖ A clearly defined objective provides the clear direction for managerial effort.
- ❖ Objectives must be realistic.
- ❖ Objectives must be measurable.
- ❖ Objectives must have social sanction.
- ❖ All objectives are interconnected and mutually supportive.
- ❖ Objectives may be short-range, medium-range and long-range.
- ❖ Objectives may be constructed into a hierarchy.

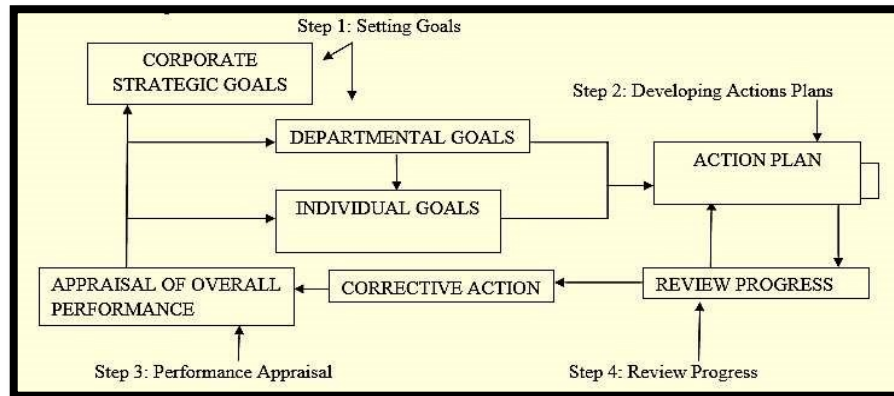
2.4.2. Advantages of Objectives:

- ❖ Clear definition of objectives encourages unified planning.
- ❖ Objectives provide motivation to people in the organization.
- ❖ When the work is goal-oriented, unproductive tasks can be avoided.
- ❖ Objectives provide standards which aid in the control of human efforts in an organization.
- ❖ Objectives serve to identify the organization and to link it to the groups upon which its existence depends.
- ❖ Objectives act as a sound basis for developing administrative controls.
- ❖ Objectives contribute to the management process: they influence the purpose of the organization, policies, personnel, leadership as well as managerial control.

2.4.3. Process of Setting Objectives:

The typical MBO process consists of:

1. Establishing a clear and precisely defined statement of objectives for the employee.
2. Developing an action plan indicating how these objectives are to be achieved.
3. Reviewing the performance of the employees.
4. Appraising performance based on objective achievement.



1) Setting objectives: For Management by Objectives (MBO) to be effective, individual managers must understand the specific objectives of their job and how those objectives fit in with the overall company.

- ❖ Objectives set by the board of directors.
- ❖ The managers of the various units or sub-units, or sections of an organization should know not only the objectives of their unit but should also actively participate in setting these objectives and make responsibility for them.
- ❖ Management by Objective (MBO) systems, objectives are written down for each level of the organization, and individuals are given specific aims and targets.
- ❖ Managers need to identify and set objectives both for themselves, their units, and their organizations.

2) Developing action plans: Actions plans specify the actions needed to address each of the top organizational issues and to reach each of the associated goals, who will complete each action and according to what timeline. An overall, toplevel action plan that depicts how each strategic goal will be reached is developed by the top level management. The format of the action plan depends on the objective of the organization.

3) Reviewing Progress: Performance is measured in terms of results. Job performance is the net effect of an employee's effort as modified by abilities, role perceptions and results produced. Effort refers to the amount of energy an employee uses in performing a job. Abilities are personal characteristics used in performing a job and usually do not fluctuate widely over short periods of time. Role perception refers to the direction, in which employees believe they should

channel their efforts on their jobs, and they are defined by the activities and behaviors they believe are necessary.

4) Performance appraisal: Performance appraisals communicate to employees how they are performing their jobs, and they establish a plan for improvement.

- ❖ Performance appraisals are extremely important to both employee and employer, as they are often used to provide predictive information related to possible promotion.
- ❖ Appraisals can also provide input for determining both individual and organizational training and development needs.
- ❖ Performance appraisals encourage performance improvement. Feedback on behavior, attitude, skill or knowledge clarifies for employees the job expectations their managers hold for them.
- ❖ In order to be effective, performance appraisals must be supported by documentation and management commitment.

Advantages Setting Objectives:

- ❖ Motivation – Involving employees in the whole process of goal setting and increasing employee empowerment. This increases employee job satisfaction and commitment.
- ❖ Better communication and Coordination – Frequent reviews and interactions between superiors and subordinates helps to maintain harmonious relationships within the organization and also to solve many problems.
- ❖ Clarity of goals
- ❖ Subordinates have a higher commitment to objectives they set themselves than those imposed on them by another person.
- ❖ Managers can ensure that objectives of the subordinates are linked to the organization's objectives.

Limitations:

There are several limitations to the assumptive base underlying the impact of managing by objectives, including:

- ❖ It over-emphasizes the setting of goals over the working of a plan as a driver of outcomes.
- ❖ It underemphasizes the importance of the environment or context in which the goals are set. That context includes everything from the availability and quality of resources, to relative buy-in by leadership and stake-holders.

- ❖ Companies evaluated their employees by comparing them with the "ideal" employee. Trait appraisal only looks at what employees should be, not at what they should do. When this approach is not properly set, agreed and managed by organizations, self-centered employees might be prone to distort results, falsely representing achievement of targets that were set in a short-term, narrow fashion. In this case, managing by objectives would be counterproductive.

2.5. MANAGEMENT BY OBJECTIVES (MBO):

Accordingly to Odiorne "MBO is a process whereby the superior and subordinate managers of an organisation jointly identify common goals, define each individual's major areas of responsibilities in terms of the results expected of him, and use these measures as guides for operating the unit and assessing the contribution of each of its members".

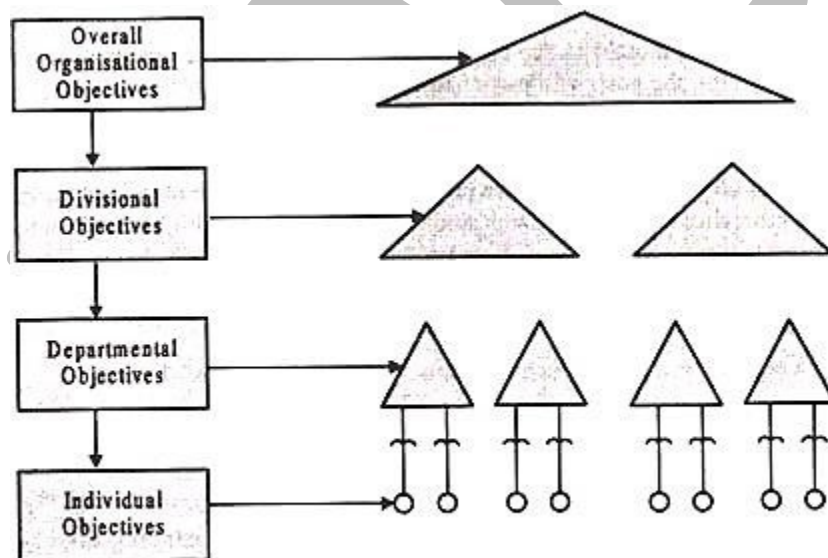


Fig. 17.7: Management by Objectives

MBO provides specific objectives for each succeeding level (i.e., divisional, departmental, individual in the organisation). In other words MBO is a process by which objectives cascade down through the organisation as depicted in Fig.

2.5.1. Advantages of MBO:

- ❖ The need to clarify objectives is stressed and suggestion for improvement is obtained from all levels of management.
- ❖ All managers have a clear idea of the important areas of their work and of the standards required.

- ❖ The performance of staff can be assumed and their needs for improvement highlighted.
- ❖ Greater participation may improve morale and communication.
- ❖ It makes individuals more aware of organisational goal.

2.5.2. Disadvantages of MBO:

- ❖ It takes a few years to be effective.
- ❖ Some companies always tend to raise goals. If these are too high, employees become frustrated.
- ❖ Appraisals are sometimes made on personality traits rather than on performance.
- ❖ Some employees do not want to be held responsible and goals forced upon them may lead to ill-feeling.

2.5.3. BENEFITS OF MANAGEMENT BY OBJECTIVES:

1. **IMPROVES MANAGEMENT:** Objectives cannot be established without planning, and results-oriented planning is the only kind that makes sense. MBO forces managers to think about planning for results, rather than merely planning work or activities. In order to make objectives realistic, Management by Objectives also requires that managers think of the way they will accomplish results and the resources and assistance they will require.
2. **ENCOURAGES PERSONAL COMMITMENT:** MBO encourages employees to commit themselves to their goals because they have before them clearly defined objectives. Moreover, the fact that they often participate in goal-setting, improves their commitment to work. As a matter of fact, people become enthusiastic when they control their own fate.
3. **CLARIFIES ORGANIZATION:** MBO forces management to clarify organizational roles and structures. So far as possible, organizational positions are built around the key results expected of the people occupying them. Moreover, the companies that embark on MBO programs can easily discover deficiencies in their organization and take necessary steps to rectify.
4. **DEVICE FOR ORGANIZATIONAL CONTROL AND SYSTEMATIC EVALUATION:** It serves as a device for organizational control integration. MBO helps in making a more systematic evaluation of performance.
5. **DEVELOPS EFFECTIVE CONTROL:** There is no better incentive for self-control and no better way to know the standards for control than having a set of clean goals. When each and every employee knows what to achieve, control becomes very easy and automatic.

6. **IMPROVING PRODUCTIVITY:** Management by Objectives helps in improving productivity as the management team concentrates on the important task of reducing costs.
7. **MOTIVATING THE SUBORDINATES:** It stimulates the subordinates' motivation.
8. **PERSONAL SATISFACTION:** It provides greater opportunity to managers for personal satisfaction on account of participation in objective setting and rational performance appraisal.
9. **LOCATING WEAK AND PROBLEM AREAS:** It helps in locating weak and problem areas because of improved communication and organization structure.

2.5.4. WEAKNESSES OF MANAGEMENT BY OBJECTIVES:

With all its advantages, a system of MBO may also have a number of weaknesses, arising out of the inability in applying the MBO concepts judiciously. The weaknesses are;

1. Failure to teach the philosophy of MBO which is built on concepts of selfcontrol and self-direction that are aimed at making managers as professionals.
2. Failure to give proper guidelines to goal setters by making them well aware of the corporate goals in advance.
3. Difficulty in setting verifiable goals which help in the process of control.
4. Emphasis on short-run goals often jeopardizes the achievement of the long-term objectives.
5. The danger of inflexibility also causes a serious problem since managers may strive for goals that have been made obsolete by revised corporate objectives, changed premises, or modified policies.

2.6. POLICIES:

Policies are general statements or understandings that guide managers' thinking in decision making. They usually do not require action but are intended to guide managers in their commitment to the decision they ultimately make.

The essentials of policy formation may be listed as below.

- ❖ A policy should be definite, positive and clear. It should be understood by everyone in the organization.
- ❖ A policy should be translatable into the practices.
- ❖ A policy should be flexible and at the same time have a high degree of permanency.
- ❖ A policy should be formulated to cover all reasonable anticipatable conditions.

- ❖ A policy should be founded upon facts and sound judgment.
- ❖ A policy should conform to economic principles, statutes and regulations.
- ❖ A policy should be a general statement of the established rule.

Importance of Policies:

- ❖ Policies are useful for the following reasons:
- ❖ They provide guides to thinking and action and provide support to the subordinates.
- ❖ They delimit the area within which a decision is to be made.
- ❖ They save time and effort by pre-deciding problems and
- ❖ They permit delegation of authority to managers at the lower levels.

2.7. STRATEGIC MANAGEMENT:

- ❖ The term 'Strategy' has been adapted from war and is being increasingly used in business to reflect broad overall objectives and policies of an enterprise. Literally speaking, the term 'Strategy' stands for the war-art of the military general, compelling the enemy to fight as per out chosen terms and conditions.
- ❖ According to Koontz and O' Donnell, "Strategies must often denote a general programme of action and deployment of emphasis and resources to attain comprehensive objectives".
- ❖ Strategies are plans made in the light of the plans of the competitors because a modern business institution operates in a competitive environment.
- ❖ They are a useful framework for guiding enterprise thinking and action.
- ❖ A perfect strategy can be built only on perfect knowledge of the plans of others in the industry.
- ❖ This may be done by the management of a firm putting itself in the place of a rival firm and trying to estimate their plans.

2.7.1. Characteristics of Strategy:

- ❖ It is the right combination of different factors.
- ❖ It relates the business organization to the environment.
- ❖ It is an action to meet a particular challenge, to solve particular problems or to attain desired objectives.
- ❖ Strategy is a means to an end and not an end in itself.
- ❖ It is formulated at the top management level.
- ❖ It involves assumption of certain calculated risks.

2.7.2. Types of Strategies:

According to Michel Porter, the strategies can be classified into three types. They are

1. Cost leadership strategy
2. Differentiation strategy
3. Focus strategy

1. Cost Leadership Strategy:

- 🚗 This generic strategy calls for being the low cost producer in an industry for a given level of quality. The firm sells its products either at average industry prices to earn a profit higher than that of rivals, or below the average industry prices to gain market share. In the event of a price war, the firm can maintain some profitability while the competition suffers losses. Even without a price war, as the industry matures and prices decline, the firms that can produce more cheaply will remain profitable for a longer period of time. The cost leadership strategy usually targets a broad market. Some of the ways that firms acquire cost advantages are by improving process efficiencies, gaining unique access to a large source of lower cost materials, making optimal outsourcing and vertical integration decisions, or avoiding some costs altogether. If competing firms are unable to lower their costs by a similar amount, the firm may be able to sustain a competitive advantage based on cost leadership.

2. Differentiation Strategy:

- 🚗 A differentiation strategy calls for the development of a product or service that offers unique attributes that are valued by customers and that customers perceive to be better than or different from the products of the competition. The value added by the uniqueness of the product may allow the firm to charge a premium price for it. The firm hopes that the higher price will more than cover the extra costs incurred in offering the unique product. Because of the product's unique attributes, if suppliers increase their prices the firm may be able to pass along the costs to its customers who cannot find substitute products easily.

3. Focus Strategy:

- 🚗 The focus strategy concentrates on a narrow segment and within that segment attempts to achieve either a cost advantage or differentiation. The premise is that the needs of the group can be better serviced by focusing entirely on it. A firm using a focus strategy often enjoys a high degree of customer loyalty, and this entrenched loyalty discourages other firms from competing directly. Because of their narrow market focus, firms pursuing a

focus strategy have lower volumes and therefore less bargaining power with their suppliers.

2.8. PLANNING TOOLS AND TECHNIQUES:

ENVIRONMENT ASSESSMENT TECHNIQUES

1. Environmental Scanning
2. Forecasting
3. Benchmarking

TECHNIQUES FOR ALLOCATING RESOURCES

4. Budgeting
5. Scheduling
6. Breakeven Analysis
7. Linear Programming

CONTEMPORARY PLANNING

8. Project Management
9. Scenario Planning

1. ENVIRONMENTAL SCANNING:

Careful monitoring of an organization's internal and external environments for detecting opportunities & threats that influence its current and future plans.

➤ COMPETITOR INTELLIGENCE

Gathering information about competitors — who they are, what they are doing.

➤ GLOBAL SCANNING

Screening a broad scope of information on global forces that might affect the organization.

2. FORECASTING

A prediction, projection, or estimate of some future activity, event, or occurrence.

TYPES OF FORECASTS:

1. **Economic Forecasts:** Predict a variety of economic indicators, like money supply, inflation rates, interest rates, etc.
2. **Technological Forecasts:** Predict rates of technological progress and innovation.
3. **Demand Forecasts:** Predict the future demand for a company's products or services.

TYPES OF FORECASTING METHODS:

1. **Qualitative Methods:** These types of forecasting methods are based on judgments, opinions, intuition, emotions, or personal experiences and are subjective in nature. They do not rely on any rigorous mathematical computations.
2. **Quantitative Methods:** These types of forecasting methods are based on mathematical (quantitative) models, and are objective in nature. They rely heavily on mathematical computations.

FORECASTING TECHNIQUES:

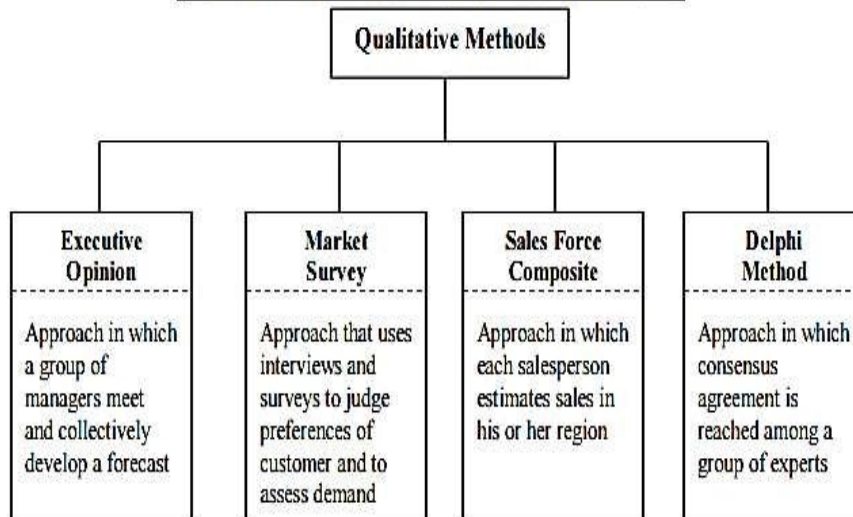
a) QUANTITATIVE FORECASTING

Applying a set of mathematical rules to a series of hard data to predict outcomes (e.g., units to be produced).

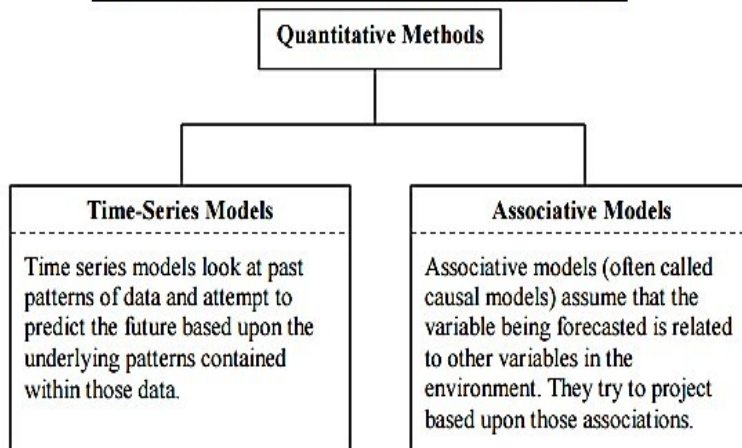
b) QUALITATIVE FORECASTING

Using experts' judgments and opinions.

QUALITATIVE FORECASTING METHODS



QUANTITATIVE FORECASTING METHODS



3. BENCHMARKING: (ROLE MODEL)

Measurement of the quality of a firm's policies, products, programs, strategies, etc., and their comparison with standard measurements, or similar measurements of the best-in-class firms.

SIX STEPS TO BETTER BENCHMARKING:

1. Identify (what is to be benchmarked).
2. Data collection.
3. Data analysis.
4. Reporting.
5. Learning from best practices.
6. Planning and implementing improvement actions.

TECHNIQUES FOR ALLOCATING RESOURCES:

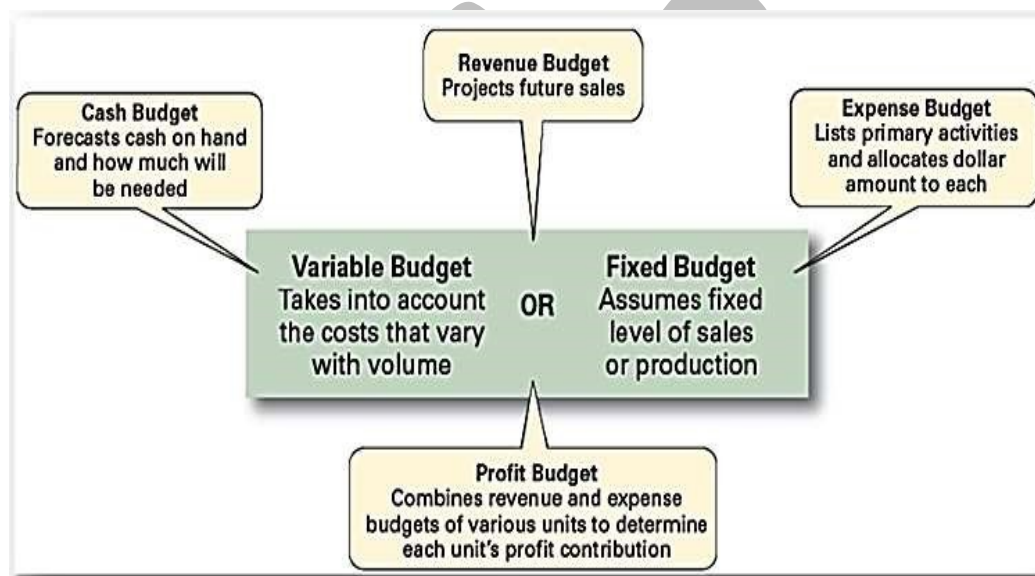
🚗 THE ASSETS OF THE ORGANIZATION

- Financial: debt, equity, and retained earnings
- Physical: buildings, equipment, and raw materials
- Human: experiences, skills, knowledge, and competencies
- Intangible: brand names, patents, reputation, trademarks, copyrights, and databases.

4.BUDGETS:

Numerical plans for allocating resources (e.g., revenues, expenses, and capital expenditures).

TYPES OF BUDGETS:



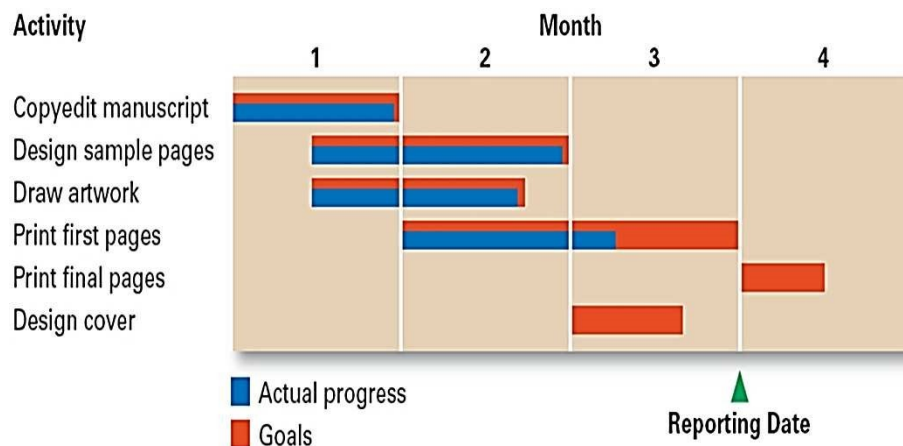
5.SCHEDULES:

Plans that allocate resources by detailing;

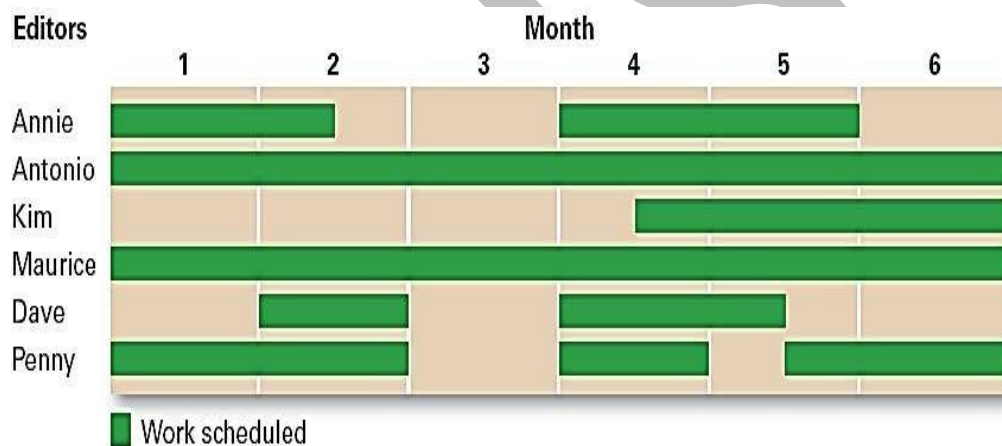
- What activities have to be done?
- The order in which they are to be completed.
- Who is to do each?
- When they are to be completed. It includes,

- ❖ GANTT CHARTS
- ❖ LOAD CHARTS
- ❖ PERT NETWORK ANALYSIS

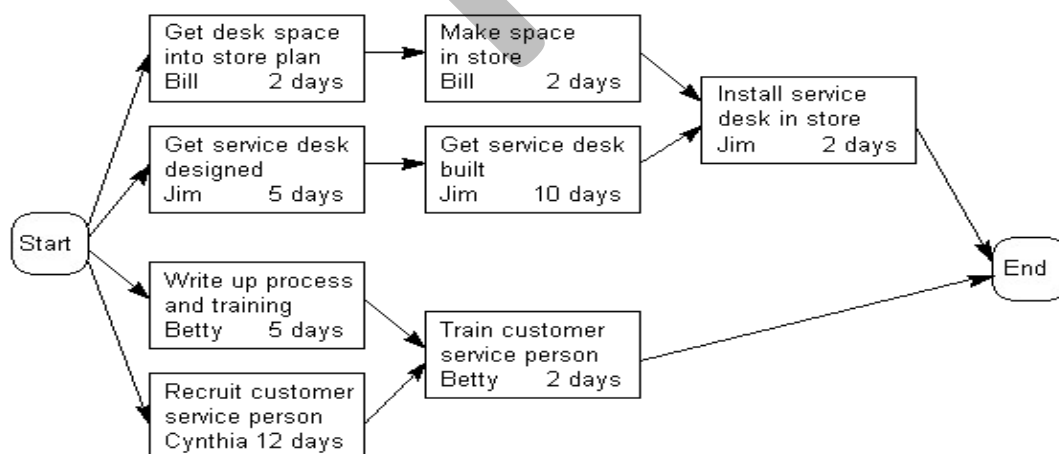
- **GANTT CHART:** A chart that depicts progress in relation to time, often used in planning and tracking a project.



- **LOAD CHART:** A modified Gantt chart that lists entire departments or specific resources on the vertical axis. Allows managers to plan and control capacity utilization.



- **PROGRAM EVALUATION AND REVIEW TECHNIQUE (PERT):**
A model for project management designed to analyze and represent the task involve in completing a project.

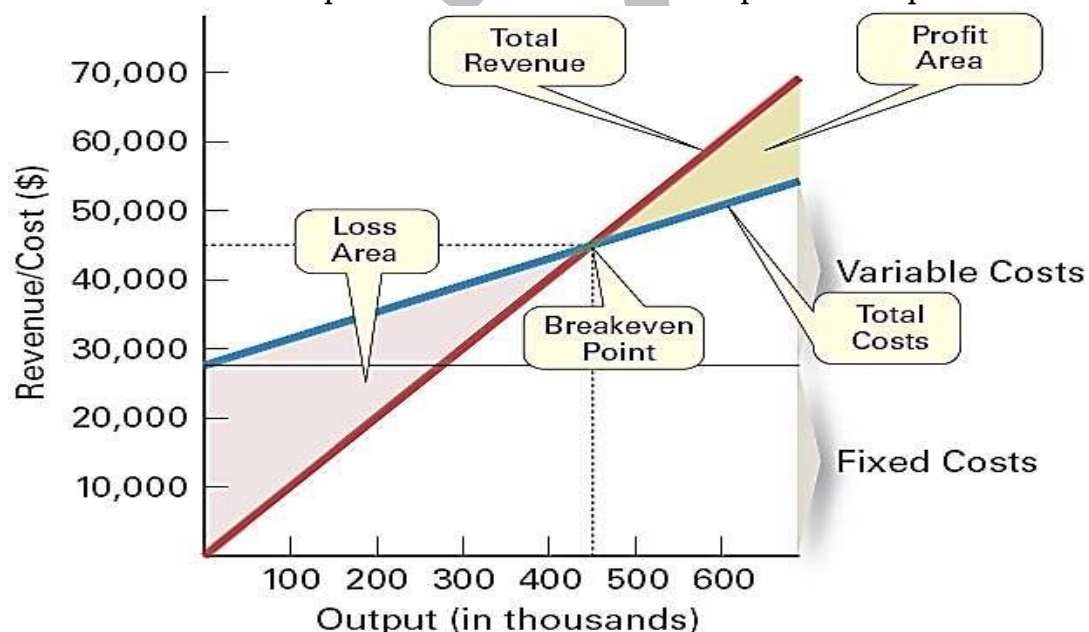


STEPS IN DEVELOPING A PERT NETWORK:

1. Identify every significant activity that must be achieved for a project to be completed.
2. Determine the order in which these events must be completed.
3. Diagram the flow of activities from start to finish, identifying each activity and its relationship to all other activities.
4. Compute a time estimate for completing each activity.
5. Using the network diagram that contains time estimates for each activity, determine a schedule for the start and finish dates of each activity and for the entire project.

6. BREAK EVEN:

The break even is the point at which the cost or expenses is equal to revenues.

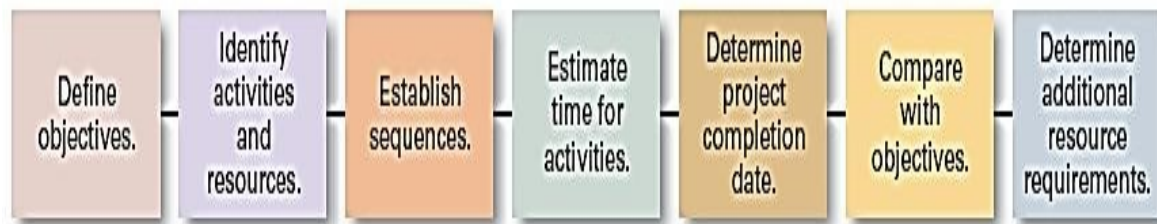


7. LINEAR PROGRAMMING:

A mathematical method for determining a way to achieve a best outcome using proportional relationships between two variables.

8. CONTEMPORARY PLANNING TECHNIQUES:

1. **Project management:** Project management is the discipline of planning, organizing, securing and managing resources to bring about successful completion of project.
2. **Scenario planning:** A consistent view of what the future is likely to be.



- ❖ **SCENARIO PLANNING:** An attempt not tries to predict the future but to reduce uncertainty by playing out potential situations under different specified conditions.
- ❖ **CONTINGENCY PLANNING:** Developing scenarios that allow managers determine in advance what their actions should be should a considered event actually occur.

2.9. DECISION MAKING:

- ❖ The word decision has been derived from the Latin word "decidere" which means "cutting off".
- ❖ Thus, decision involves cutting off of alternatives between those that are desirable and those that are not desirable.
- ❖ In the words of George R. Terry, "Decision-making is the selection based on some criteria from two or more possible alternatives".

2.9.1. Characteristics of Decision Making:

- ❖ Decision making implies that there are various alternatives and the most desirable alternative is chosen to solve the problem or to arrive at expected results.
- ❖ The decision-maker has freedom to choose an alternative.
- ❖ Decision-making may not be completely rational but may be judgemental and emotional.
- ❖ Decision-making is goal-oriented.
- ❖ Decision-making is a mental or intellectual process because the final decision is made by the decision-maker.
- ❖ A decision may be expressed in words or may be implied from behaviour.
- ❖ Choosing from among the alternative courses of operation implies uncertainty about the final result of each possible course of operation.
- ❖ Decision making is rational. It is taken only after a thorough analysis and reasoning and weighing the consequences of the various alternatives.

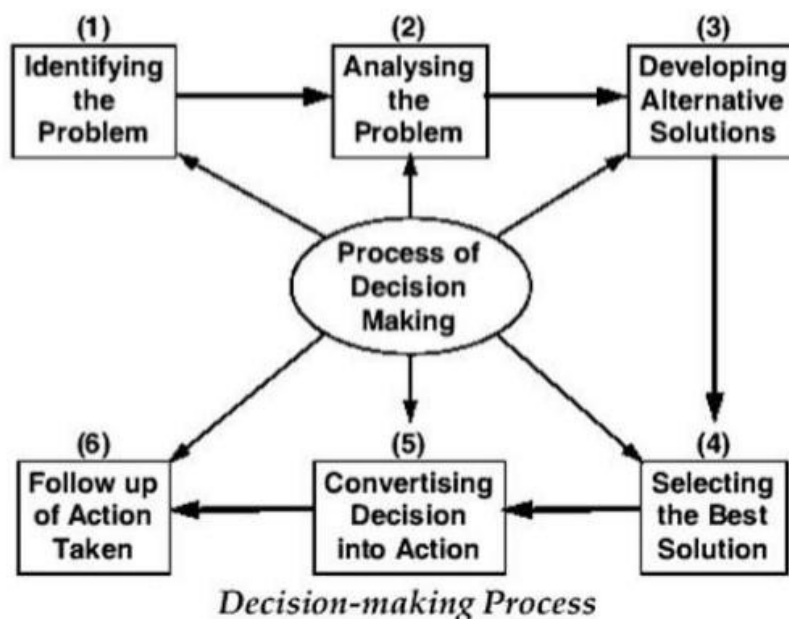
2.9.2. Types of Decisions:

Programmed decisions: Programmed decisions are routine and repetitive and are made within the framework of organizational policies and rules. These policies and rules are established well in advance to solve recurring problems in the organization. Programmed decisions have short-run impact. They are, generally, taken at the lower level of management.

Non-Programmed Decisions: Non-programmed decisions are decisions taken to meet non-repetitive problems. Non-programmed decisions are relevant for solving unique/ unusual problems in which various alternatives cannot be decided in advance. A common feature of non-programmed decisions is that they are novel and non-recurring and therefore, readymade solutions are not available. Since these decisions are of high importance and have long-term consequences, they are made by top level management.

Strategic and Tactical Decisions: Organizational decisions may also be classified as strategic or tactical.

2.9.3. DECISION MAKING PROCESS:



1. **Specific Objective:** The need for decision making arises in order to achieve certain specific objectives. The starting point in any analysis of decision making involves the determination of whether a decision needs to be made.
2. **Problem Identification:** A problem is a felt need, a question which needs a solution. In the words of Joseph L Massie "A good decision is dependent upon the recognition of the right problem". The objective of problem identification is that if the problem is precisely and specifically identifies, it

will provide a clue in finding a possible solution. A problem can be identified clearly, if managers go through diagnosis and analysis of the problem. **Diagnosis:** Diagnosis is the process of identifying a problem from its signs and symptoms.

3. **Search for Alternatives:** A problem can be solved in several ways; however, all the ways cannot be equally satisfying. Therefore, the decision maker must try to find out the various alternatives available in order to get the most satisfactory result of a decision. A decision maker
4. **Evaluation of Alternatives:** After the various alternatives are identified, the next step is to evaluate them and select the one that will meet the choice criteria. /the decision maker must check proposed alternatives against limits, and if an alternative does not meet them, he can discard it. Having narrowed down the alternatives which require serious consideration, the decision maker will go for evaluating how each alternative may contribute towards the objective supposed to be achieved by implementing the decision.
5. **Choice of Alternative:** The evaluation of various alternatives presents a clear picture as to how each one of them contribute to the objectives under question. A comparison is made among the likely outcomes of various alternatives and the best one is chosen.
6. **Action:** Once the alternative is selected, it is put into action. The actual process of decision making ends with the choice of an alternative through which the objectives can be achieved.
7. **Results:** When the decision is put into action, it brings certain results. These results must correspond with objectives, the starting point of decision process, if good decision has been made and implemented properly. Thus, results provide indication whether decision making and its implementation is proper.

2.9.4. RATIONAL DECISION MAKING MODEL:

The Rational Decision Making Model is a model which emerges from Organizational Behavior. The process is one that is logical and follows the orderly path from problem identification through solution. It provides a structured and sequenced approach to decision making. Using such an approach can help to ensure discipline and consistency is built into your decision making process.

1. **Defining the problem:** This is the initial step of the rational decision making process. First the problem is identified and then defined to get a clear view of the situation.
2. **Identify decision criteria:** Once a decision maker has defined the problem, he or she needs to identify the decision criteria that will be important in solving the problem. In this step, the decision maker is determining what's relevant in making the decision. This step brings the decision maker's interests, values, and personal preferences into the process.
3. **Weight the criteria:** The decision-maker weights the previously identified criteria in order to give them correct priority in the decision.
4. **Generate alternatives:** The decision maker generates possible alternatives that could succeed in resolving the problem. No attempt is made in this step to appraise these alternatives, only to list them.
5. **Rate each alternative on each criterion:** The decision maker must critically analyze and evaluate each one. The strengths and weakness of each alternative become evident as they compared with the criteria and weights established in second and third steps.
6. **Compute the optimal decision:** Evaluating each alternative against the weighted criteria and selecting the alternative with the highest total score.

2.9.5. DECISION MAKING UNDER VARIOUS CONDITIONS:

The conditions for making decisions can be divided into three types.

a) Certainty, b) Uncertainty and c) Risk

- a) **Certainty:** In a situation involving certainty, people are reasonably sure about what will happen when they make a decision. The information is available and is considered to be reliable, and the cause and effect relationships are known.
- b) **Uncertainty:** In a situation of uncertainty, on the other hand, people have only a meager database, they do not know whether or not the data are reliable, and they are very unsure about whether or not the situation may change. Moreover, they cannot evaluate the interactions of the different variables. For example, a corporation that decides to expand its Operation to an unfamiliar country may know little about the country, culture, laws, economic environment, and politics. The political situation may be volatile that even experts cannot predict a possible change in government.

c) **Risk:** In a situation with risks, factual information may exist, but it may be incomplete. to improve decision making One may estimate the objective probability of an outcome by using, for example, mathematical models On the other hand, subjective probability, based on judgment and experience may be used All intelligent decision makers dealing with uncertainty like to know the degree and nature of the risk they are taking in choosing a course of action. One of the deficiencies in using the traditional approaches of operations research for problem solving is that many of the data used in model are merely estimates and others are based on probabilities. The ordinary practice is to have staff specialists conic up with best estimates.

Define “Mission”: Mission may be defined as “a statement which defines the role that an organization plays in the society”

Define “objectives”: The term “objective” or “goals” are often used interchangeably. Objective are the end results towards which the activities of attain its objectives.

What is mean by strategy: Strategy of an organization is the programmers of action and deployment of resources to attain its objectives.

Define “policies”: Policies are general statement or understanding which provide guidance in decision making to various managers.

What is procedure: Procedure is a chronological order of action required to implement a policy and to achieve an objectives.

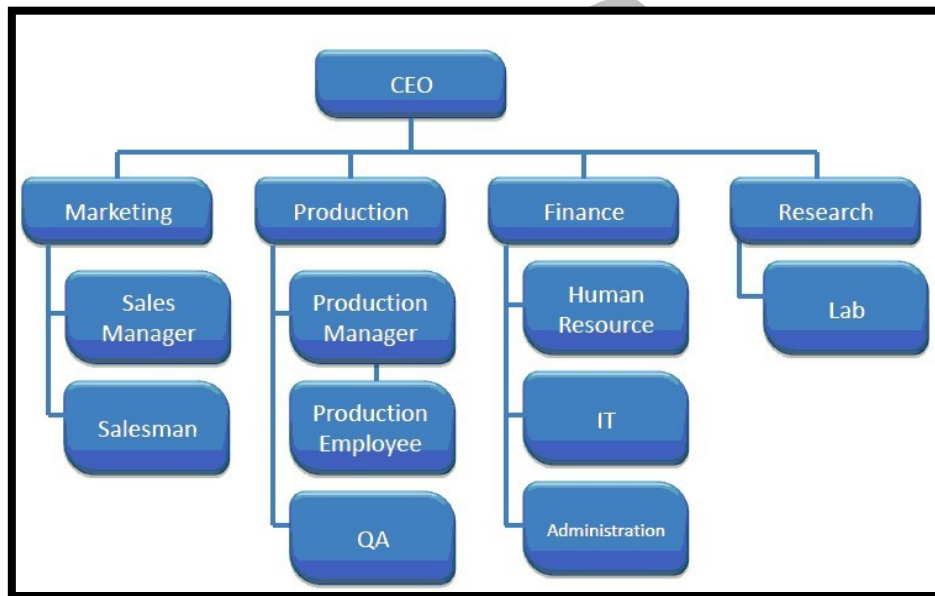
What is programme: Programme is a broad term which includes goals , polices , procedure , rules , task assignment , step to be taken, resources to be employed to carryout a given course of action.

UNIT- III ORGANIZING

Nature and purpose of organizing - Organization structure - Formal and informal groups organization - Line and Staff authority - Departmentation - Span of control - Centralization and Decentralization - Delegation of authority - **Staffing** - Selection and Recruitment - Orientation - Career Development - Career stages - Training - Performance Appraisal.

3.0. ORGANIZING:

- 🚗 Organization refers the process of determining, arranging, grouping and assigning the activities to be performed for the attainment of objectives.



3.1.DEFINITION OF ORGANIZING:

- 🚗 According to **Koontz and O'Donnell**, "Organization involves the grouping of activities necessary to accomplish goals and plans, the assignment of these activities to appropriate departments and the provision of authority, delegation and co-ordination."

3. 2.NATURE OR CHARACTERISTICS OF ORGANIZING:

- ❖ **Common objectives:** Every organization exists to achieve some common objectives. All efforts of the organization are directed towards this goal.
- ❖ **Specialization or Division of Labour:** The total work of an organization is divided into functions and sub-functions in order to get the benefits of specialization.

- ❖ **Authority of structure or chain of command:** The chain of superior and subordinate relationships is known as chain of command.
- ❖ **Group of persons:**
 - ✓ An organization is basically a group of persons.
 - ✓ Activity groupings and authority provisions must take into account of the limitations & customs of people as they constitute the dynamic element of an organization.
- ❖ **Co-ordination:** There is a mechanism for coordinating different activities and parts of an organization so that it functions as an integrated whole.
- ❖ **Communication:** Communication channels are necessary for mutual understanding and cooperation among members of an organization.
- ❖ **Environment:** It must be desired to work efficiently in a changing environment.
- ❖ **Rules and Regulations:** For effective functioning of an organization, it should have some rules and regulations either written or implied form, such as in customary behaviour.

3.3. PURPOSE OF ORGANIZATION / ORGANIZATIONAL ACTIVITIES:

(It is the backbone of management)

- ❖ **Facilitate administration:**
 - ✓ Administration aims at earning the highest profit by utilizing the available resources properly.
 - ✓ A properly designed organization facilitates both management and operation of the enterprises.
 - ✓ It provides the proper division of labour, consistent delegation of authority, and clear authority relationships.
 - ✓ Organisation is the mechanism through which managers direct, coordinate and control the business.
- ❖ **Increases the efficiency of management:** A good organization will utilize the resources effectively in such a way so as to avoid delay, duplication and confusion in performance.
- ❖ **Facilitates growth and diversification:**
 - ✓ The growth of organization means an increase in the scale of operation.
 - ✓ Diversification means the start of production of a new type of products.
 - ✓ The enormous size and diversification of activities of an enterprise is the direct outcome of the organizing ability of the management.
- ❖ **Facilitates co-ordination and communication:** Better coordination between various departments is achieved by grouping activities.

- ❖ **Permits optimum use of Technological innovations:**
Sound organization structure is flexible and provides adequate scope for innovative changes in the enterprise.
- ❖ **Simulates creativity and initiative:** A sound organization stimulates creative thinking Freedom given to personal work, increase the spirit of constructive and creative approach in management.

3.4. ORGANIZING PROCESS:

The various steps involved in this process are:

1. Determination of Objectives.
2. Grouping of activities.
3. Assignment of duties.
4. Delegation of authority.
5. Establishment of structural relationship.
6. Co-ordination of activities.

1. Determination of Objectives:

- ❖ Organization is always related to certain objectives.
- ❖ Therefore, it is essential for the management to identify the objectives before starting any activity.
- ❖ Organization structure is built on the basis of the objectives of the enterprise.

2. Grouping of activities:

- ❖ If the members of the group are to pool their efforts effectively, there must be proper division of the major activities.
- ❖ The first step in organizing group effort is the **division of the total job into essential activities.**
- ❖ Each job should be properly classified and grouped.
- ❖ For example, the work of an industrial concern may be divided into the following major functions – **production, financing, personnel, sales, purchase, etc.**

3. Assignment of duties:

- ❖ Here, specific job assignments are made to different subordinates for ensuring a certainty of work performance.
- ❖ Each individual should be given a specific job to do according to his ability and made responsible for that.

4. Delegation of Authority:

- ❖ Since so many individuals work in the same organization, it is the responsibility of management to lay down structure of relationship in the organization.
- ❖ Authority without responsibility is a dangerous thing and similarly responsibility without authority is an empty vessel.
- ❖ Everybody should clearly know to whom he is accountable; corresponding to the responsibility authority is delegated to the subordinates for enabling them to show work performance.

5. Establishment of structural relationship:

- 🚗 The **relationship between various positions and channels of communications** should be clearly defined when a group of persons work together for a common goals.

6. Co-ordination of activities:

- 🚗 In order to get the optimum performance, co-ordination is necessary to see whether all activities are going on to accomplish the objectives of the organization or not.

3.5. FORMAL AND INFORMAL ORGANIZATION:

- ❖ **The formal organization** refers to the structure of jobs and positions with clearly defined functions and relationships as prescribed by the top management.
- ❖ This type of organization is built by the management to realize objectives of an enterprise and is bound by rules, systems and procedures.
- ❖ Everybody is assigned a certain responsibility for the performance of the given task and given the required amount of authority for carrying it out.
- ❖ **Informal organization**, it arises naturally on the basis of common language, common hobby, common liking & disliking, social contacts, friendship, etc.
- ❖ **Informal organization**, which does not appear on the organization chart, supplements the formal organization in achieving organizational goals effectively and efficiently.
- ❖ The working of informal groups and leaders is not as simple as it may appear to be. **(WhatsApp group)**

3.5.1. FORMAL ORGANIZATION:

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- ❖ This type of organization is built by the management to realize objectives of an enterprise and is bound by rules, systems and procedures.
- ❖ Everybody is assigned a certain responsibility for the performance of the given task and given the required amount of authority for carrying it out.
- ❖ Chester I Bernard defines formal organization as - "**a system of consciously coordinated activities or forces of two or more persons. It refers to the structure of well-defined jobs, each bearing a definite measure of authority, responsibility and accountability.**" Characteristic Features of formal organization:

1. It is flexible and properly planned.
2. It is based on the principle of division of labour and efficiency in operations.
3. Organizations charts are usually drawn.
4. Unity of command is normally maintained.
5. The responsibilities and accountability at all levels of organizations should be clearly defined.
6. It concentrates more on the performance of jobs but not on the individuals.

Advantages of formal organization

1. The formal organization structure concentrates on the jobs to be performed. It, therefore, makes everybody responsible for a given task.
2. A formal organization is bound by rules, regulations and procedures. It thus ensures law and order in the organization.
3. The organization structure enables the people of the organization to work together for accomplishing the common objectives of the enterprise.
4. It motivates the employees.

Disadvantages of formal organization

1. The formal organization does not take into consideration the sentiments of organizational members.
2. The formal organization does not consider the goals of the individuals. It is designed to achieve the goals of the organization only.
3. The formal organization is bound by rigid rules, regulations and procedures. This makes the achievement of goals difficult.

3.5.2. INFORMAL ORGANIZATION:

- ❖ Informal organization refers to the relationship between people in the organization based on personal attitudes, emotions, prejudices, likes, dislikes etc.
- ❖ **An informal organization is an organization which is not established by any formal authority, but arises from the personal and social relations of the people.**
- ❖ These groups may be based on same taste, language, culture or some other factor.
- ❖ These groups are not pre-planned, but they develop automatically within the organization according to its environment. **Characteristics features**

of informal organization

1. The membership of informal organizations is voluntary. It arises spontaneously and not by deliberate or conscious efforts.
2. Formation of informal organizations is a natural process. It is not based on rules, regulations and procedures.
3. Informal organizations are based on common taste, problem, language, religion, culture, etc. it is influenced by the personal attitudes, emotions, whims, likes and dislikes etc. of the people in the organization.
4. Informal organization is not established by any formal authority. It is unplanned and arises spontaneously.
5. Informal organizations reflect human relationships. It arises from the personal and social relations amongst the people working in the organization.
6. The inter-relations amongst the people in an informal organization cannot be shown in an organization chart.
7. In the case of informal organization, the people cut across formal channels of communications and communicate amongst themselves.
8. Membership of informal groups can be overlapping as a person may be member of a number of informal groups.

Advantages of Informal organization:

1. It blends with the formal organization to make it more effective.
2. Many things which cannot be achieved through formal organization can be achieved through informal organization.
3. The presence of informal organization in an enterprise makes the managers plan and act more carefully.
4. Informal organization acts as a means by which the workers achieve a sense of security and belonging. It provides social satisfaction to group members.
5. An informal organization has a powerful influence on productivity and job satisfaction.

6. The informal leader lightens the burden of the formal manager and tries to fill in the gaps in the manager's ability.
7. Informal organization helps the group members to attain specific personal objectives.
8. Informal organization is the best means of employee communication. It is very fast.
9. Informal organization gives psychological satisfaction to the members. It acts as a safety valve for the emotional problems and frustrations of the workers of the organization because they get a platform to express their feelings.
10. It serves as an agency for social control of human behavior.

Disadvantages of Informal organization:

1. It spreads rumour among the workers regarding the functioning of the organizations unnecessarily.
2. It indirectly reduces the effort of management to promote the greater productivity.
3. It may function as counter-productive. They may be a barricade of achieving the objectives of the organizations.

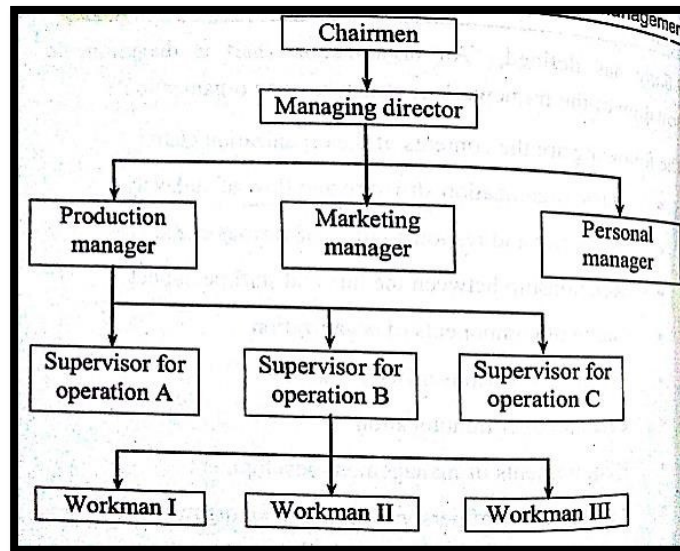
3.5.3. DIFFERENCES BETWEEN FORMAL AND INFORMAL ORGANIZATION:

DIFFERENCES BETWEEN FORMAL AND INFORMAL ORGANIZATION

Formal Organization	Informal Organization
1. Formal organization is established with the explicit aim of achieving well-defined goals.	1. Informal organization springs on its own. Its goals are ill defined and intangible.
2. Formal organization is bound together by authority relationships among members. A hierarchical structure is created, constituting top management, middle management and supervisory management.	2. Informal organization is characterized by a generalized sort of power relationships. Power in informal organization has bases other than rational legal right.
3. Formal organization recognizes certain tasks which are to be carried out to achieve its goals.	3. Informal organization does not have any well-defined tasks.
4. The roles and relationships of people in formal organization are impersonally defined	4. In informal organization the relationships among people are interpersonal.
5. In formal organization, much emphasis is placed on efficiency, discipline, conformity, consistency and control.	5. Informal organization is characterized by relative freedom, spontaneity, by relative freedom, spontaneity, homeliness and warmth.
6. In formal organization, the social and psychological needs and interests of members of the organization get little attention.	6. In informal organization the sociopsychological needs, interests and aspirations of members get priority.
7. The communication system in formal organization follows certain pre-determined patterns and paths.	7. In informal organization, the communication pattern is haphazard, intricate and natural.
8. Formal organization is relatively slow to respond and adapt to changing situations and realities.	8. Informal organization is dynamic and very vigilant. It is sensitive to its surroundings.

3.6. ORGANIZATIONAL CHARTS:

- ❖ An organizational chart is **a diagram that shows the structure of an organization clearly.**
- ❖ It shows the organizational relationships and relative ranks of its parts and positions or jobs.
- ❖ In the word of J Batty, "An organisation chart is a diagrammatic representation of the framework or structure of an organisation."



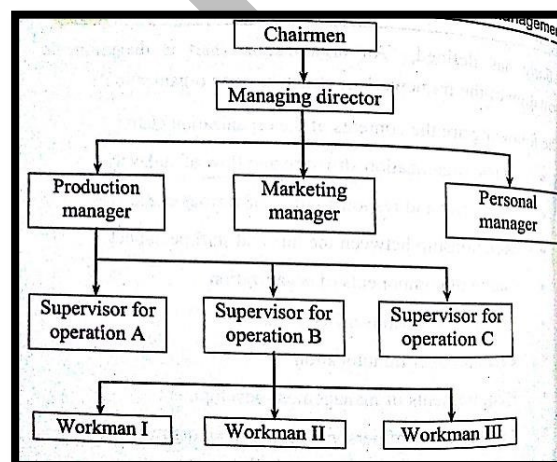
The following are the contents of the organization chart:

1. Authority and responsibilities of various executives.
2. Relationship between line and staff authority.
3. Name of components of organizations.
4. Positions of various office personnel.
5. Channel of communication.
6. Ways of promotions and salary particulars.

3.6.1. Types of organizational chart:

1. Top-down chart or vertical chart:

- ❖ The lines of communication flow from top to the bottom in vertical lines.
- ❖ In this chart, the highest position is placed in the top the next highest follows the next highest one and so on.

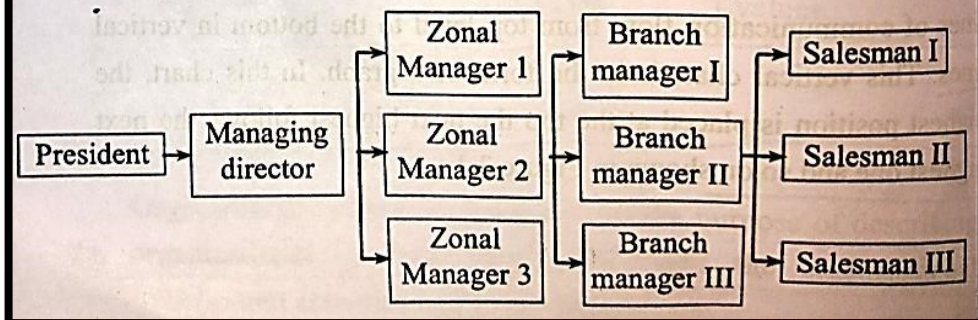


2. Horizontal chart or left to right chart:

- ☞ The chart in which the **lines of command are flowing horizontally instead of vertical.**

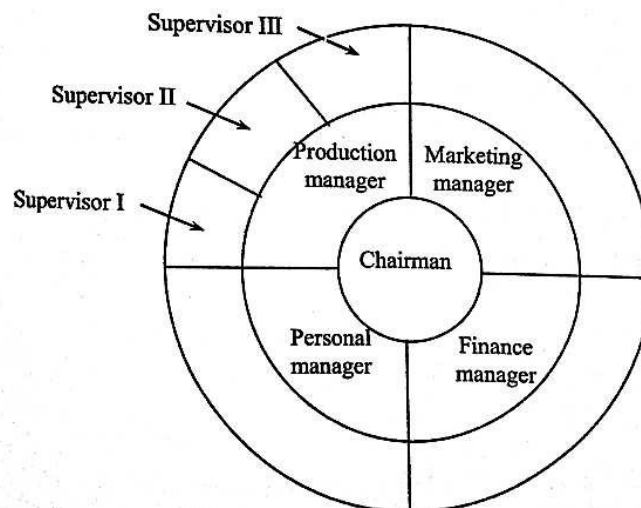
(ii) Horizontal chart or Left to right chart:

The chart in which the lines of command are flowing horizontally instead of vertical is known as *horizontal chart*. There is no much difference between vertical and horizontal charts. In this chart, the highest position is shown at the extreme left and the lowest position at the extreme right as shown in Figure 3.2.



3. Circular chart or concentric chart:

- ❖ In this chart, **the position of the top executive is in the centre of the chart.**
- ❖ The subordinates of these top executives are shown in all directions outward from the centre.



Advantages of organizational chart:

- ❖ It shows clearly the various positions in the organization and their relationship.
- ❖ It provides good clues to the lines of promotion.
- ❖ The strength and weakness of an organization are evaluated.

3.7. ORGANIZATIONAL STRUCTURE:

- ❖ An organizational structure defines **how activities such as task allocation, coordination and supervision are directed toward the achievement of organizational objectives.**
- ❖ It is the typically hierarchical arrangement of lines of authority, communications, rights and duties of an organization.
- ❖ Organizational structure determines how the **roles, power and responsibilities are assigned, controlled, and coordinated, and how information flows between the different levels of management.**
- ❖ A structure depends on the organization's objectives and strategy.
- ❖ It may be classified into the following two categories;

Based on the *power flow* within the organization

- i. Bureaucratic Organization
- ii. Organic structure

Based on the *formation of departments* or groups, organizations may be classified into the following types;

- i. Functional structure
- ii. Divisional structure
- iii. Matrix structure

BUREAUCRATIC ORGANIZATION

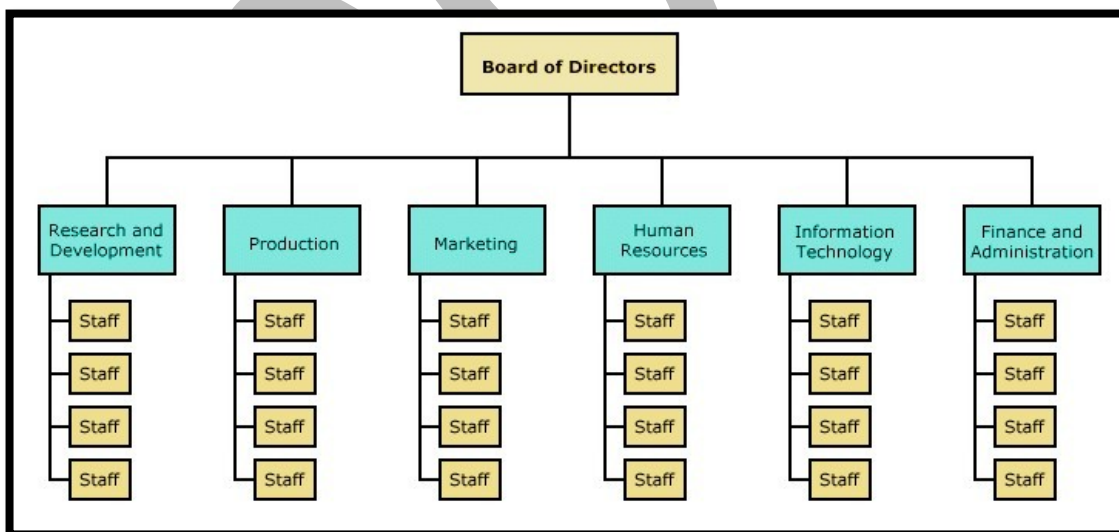
- ❖ A bureaucratic organization is a form of management that has a pyramidal command structure.
- ❖ The bureaucratic organization is very organized with a high degree of formality in the way it operates.
- ❖ Organizational charts generally exist for every department, and decisions are made through an organized process.
- ❖ A strict command and control structure is present at all times.
- ❖ Bureaucracies are meant to be orderly, fair and highly efficient.

ORGANIC ORGANIZATION

- ❖ An organic organization is a type of informal organization originally described by British theorists Tom Burns and George Stalker.
- ❖ According to Burns and Stalker, an organic organization is one that is very flexible and is able to adapt well to changes.
- ❖ Its structure is identified as having little job specialization, few layers of management, decentralized decision-making and not much direct supervision.

Based on the *formation of departments* or groups, **Functional Structure:**

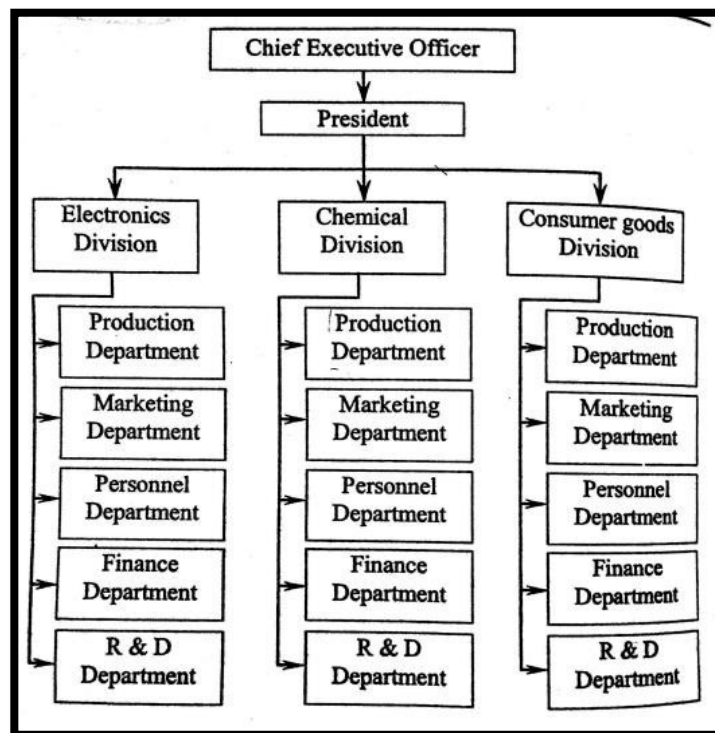
- ❖ Functional structure is set up so that **each portion of the organization is grouped according to its purpose.**
- ❖ In this type of organization, for example, there may be a marketing department, a sales department and a production department.
- ❖ The functional structure works very well for small businesses in which each department can rely on the talent and knowledge of its workers and support itself.
- ❖ However, one of the drawbacks to a functional structure is that the coordination and communication between departments can be restricted by the organizational boundaries of having the various departments working separately.



Divisional Structure:

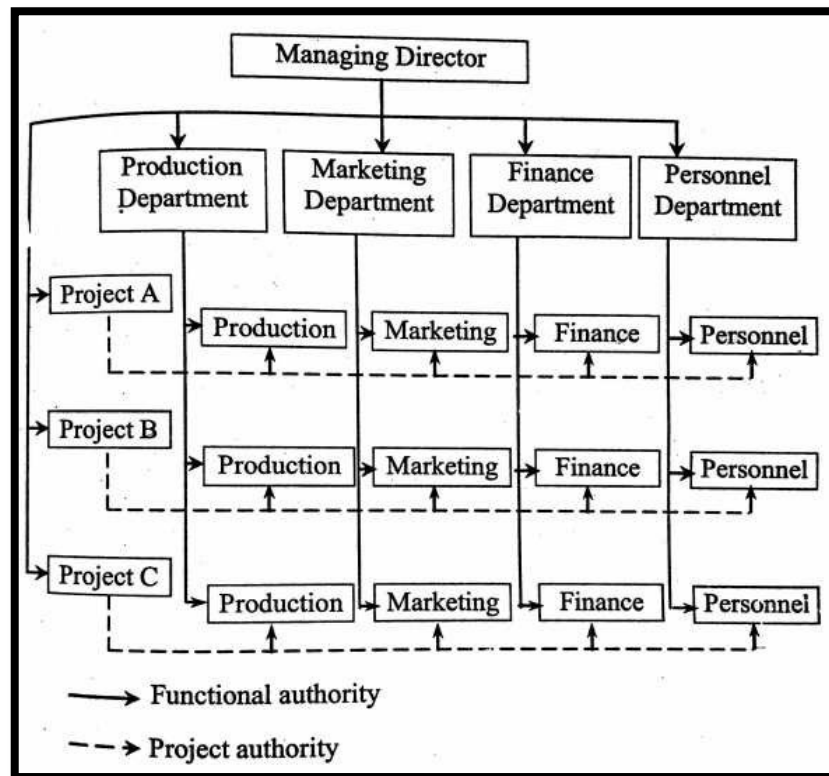
- ❖ In Divisional structure, the organization is divided into several fairly autonomous divisions. These each division are divided according to their organizational outputs.
- ❖ Each division is headed by a manager who is responsible for all functions within his division.
- ❖ Each division has its own production, marketing, R&D, finance

departments.



Matrix Structure:

- ❖ The third main type of organizational structure, called the matrix structure, is a hybrid of divisional and functional structure.
- ❖ Typically used in large multinational companies, the matrix structure allows for the benefits of functional and divisional structures to exist in one organization.
- ❖ This can create power struggles because most areas of the company will have a dual management--a functional manager and a product or divisional manager working at the same level and covering some of the same managerial territory.



3.7.1. Comparison between functional and divisional organization structure:

BASIS FOR COMPARISON	FUNCTIONAL STRUCTURE	DIVISIONAL STRUCTURE
Meaning	Functional Structure is one in which the reporting relationships of the organization are bifurcated according to their functional area.	An organizational structure wherein the organizational functions are classified into divisions as per product or service lines, market, is called Divisional Structure.
Basis	Functional areas	Specialized divisions
Responsibility	Difficult to fix responsibility on a particular department.	Easy to fix responsibility for performance.
Autonomy of decisions	Managers do not have autonomy of decisions.	Managers have autonomy of decisions.
Cost	Economical, as the functions are not repeated.	Expensive as it involves repetition of resources.
Appropriate for	Small and simple organizations.	Large and dynamic organizations.

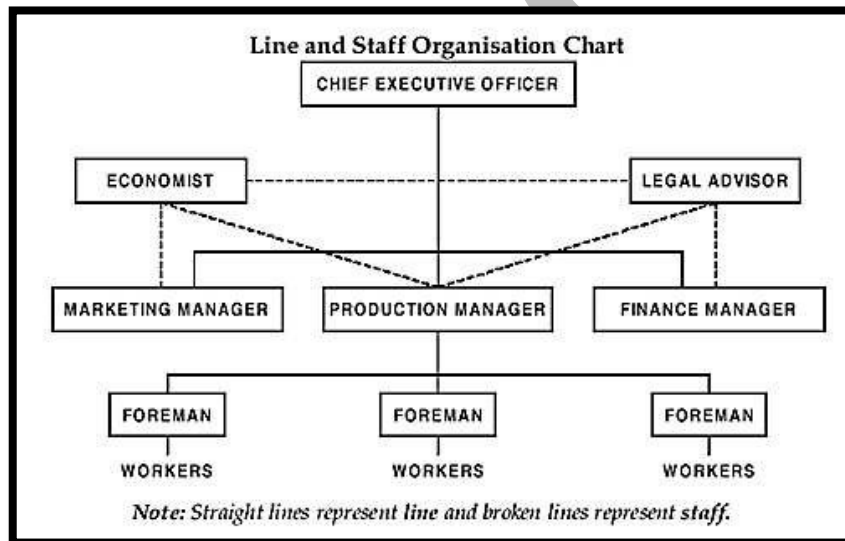
3.8. LINE AND STAFF AUTHORITY Line

Authority:

- ❖ Managers with line authority are those people in the organization who are directly responsible for achieving organizational goals.
- ❖ Line authority is represented by the standard chain of command starting with the board of directors and extending down activities of the organization that are carried out.
- ❖ Line authority is based primarily on authentic power.

Staff Authority:

- ❖ Staff authority belongs to those individuals or groups in an organization who provide services and advice to line managers.



E.X:

- 🌐 **Production and sales are line function and Accounting is staff function in manufacturing organization**

3.8.1. COMPARISON BETWEEN LINE AND STAFF AUTHORITY:

S.NO	LINE AUTHORITY	STAFF AUTHORITY
1.	It has the right to decide or command	It has the right to advice, assistance and information
2.	It contributes directly to attain the organizational goal.	It assists line in effective attainment of objectives.
3.	It creates superior-subordinate relationship.	Extension of line and supports line.

4.	It flows from top to bottom.	It flows in any direction.
5.	It makes the operating decision.	It provides ideas for decision.
6.	Authority is relatively unlimited.	Authority is relatively restricted.

3.9. DEPARTMENTATION:

- ❖ DEPARTMENTATION refers to the process of grouping activities into departments.
- ❖ Departmentation is the process of grouping of work activities into departments, divisions, and other homogenous units.

Key Factors in Departmentation

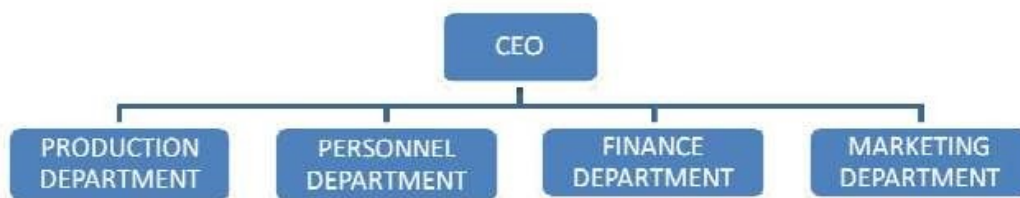
- ❖ It should facilitate control.
- ❖ It should ensure proper coordination.
- ❖ It should take into consideration the benefits of specialization.
- ❖ It should not result in excess cost.
- ❖ It should give due consideration to Human Aspects.

Departmentation takes place in various patterns like departmentation by functions, products, customers, geographic location, process, and its combinations.

3.9.1. BASES OF DEPARTMENTATION

1. Departmentation by Functional Basis –

- ❖ Grouping of activities in accordance with the function of an enterprise.
- ❖ Each major function of the enterprise is grouped into a department.



Merits:

- ✓ It is a logical and time proven method.

- ✓ It follows the principles of specialization.
- ✓ Authority and responsibility can be clearly defined and fixed.
- ✓ Since the top managers are responsible for the end results control shall become effective.

Demerits:

- ✓ This type of departmentation shall develop a loyalty towards the functions and not towards the enterprise as whole.
- ✓ Co-ordination of different function shall become difficult.
- ✓ Only the departmental heads are held responsible for defective work.

2. Departmentation by Territorial basis –

- ❖ A company may have separate departments to serve the southern region, northern region etc.
- ❖ It has the advantage of the intimate knowledge of local conditions.



Merits:

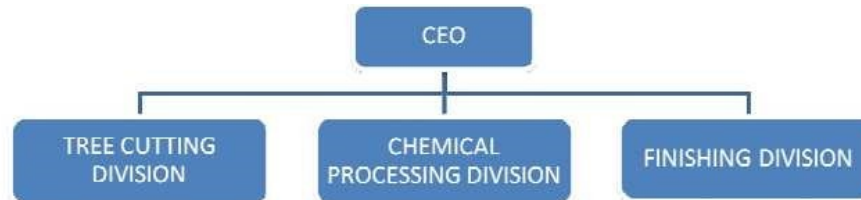
- ✓ It motivates each regional head to achieve high performance.
- ✓ Provides each regional head an opportunity to adapt to his local situation and customer need with speed and accuracy.
- ✓ It affords valuable top-management training and experience to middle level executives enables the organization to take advantage of locational factors, such as availability of raw materials, labour, market, etc.
- ✓ Enables the Organisation to compare regional performances and invest more resources in profitable regions and withdraw resources from unprofitable ones.

Demerits:

- ✓ May give rise to duplication of various activities. Many routine and service functions performed by all the regional units can be performed centrally by the head office very economically.
- ✓ Various regional units may become so engrossed in short run competition among them that they may forget the overall interest of the total organization.

3. Departmentation by Process basis –

- ❖ It is done on the basis of several discrete stages in the process or technologies involved in the manufacture of a product.
- ❖ A cotton textile mill has separate departments for ginning, spinning, weaving, dyeing and printing and packing and sales.



Merits:

- ✓ Facilitates the use of heavy and costly equipment in an efficient manner.
- ✓ It follows the principle of specialization – each dept is engaged in doing a special type of work. This increases efficiency.
- ✓ It is suitable for Organisation which is engaged in the manufacture of those products which involve a number of processes.

Demerits:

- ✓ Difficult to compare the performance of different process based departments.

4. Departmentation by Product basis –

- ❖ It is suited for a large organization manufacturing a variety of products.
- ❖ For each major product a semi-autonomous department is created and is put under the charge of a manager who may also be made responsible for producing a profit of a given magnitude.
- ❖ Product department is the logical pattern to follow when each product requires raw materials, manufacturing, technology and marketing methods and that are markedly different from those used by other products in the Organisation..



Merits:

- ✓ Relieves top management of operating task responsibility. It can therefore better concentrate on such centralized activities like finance, R& D and control.
- ✓ Enables the top management to compare the performance of different products and invest more resources in profitable products and withdraw resources from unprofitable ones.
- ✓ Those who work within a department derive greater satisfaction from identification with a recognizable goal.

Demerits:

- ✓ Results in duplication of staff and facilities
- ✓ Employment of large number of managerial personnel is required.
- ✓ Equipment in each product department may not be fully used.

5. Departmentation by Customer basis –

- 🚗 An enterprise may be divided into a number of departments on the basis of the customers that it services.



Merits:

- ✓ It ensures full attention to major customer groups and helps the company to earn goodwill.

Demerits:

- ✓ It may result in under utilization of resources and facilities in some department.
- ✓ There may be duplication of facility.

3.10. SPAN OF CONTROL:

- ❖ Span of Control means the number of subordinates that can be managed efficiently and effectively by a superior in an organization.
- ❖ It suggests how the relations are designed between a superior and a subordinate in an organization.

3.10.1. FACTORS AFFECTING SPAN OF CONTROL:

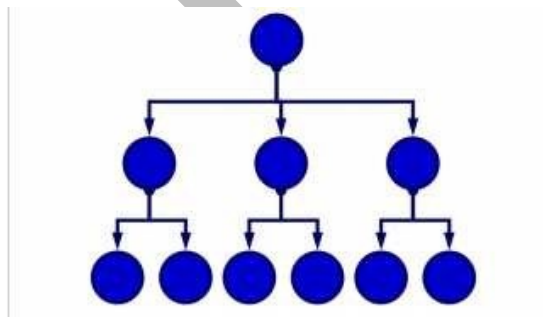
- Capacity of Superior:** Different ability and capacity of leadership, communication affect management of subordinates.

- b) Capacity of Subordinates:** Efficient and trained subordinates affect the degree of span of management.
- c) Nature of Work:** Different types of work require different patterns of management.
- d) Degree of Centralization or Decentralization:** Degree of centralization or decentralization affects the span of management by affecting the degree of involvement of the superior in decision making.
- e) Degree of Planning:** Plans which can provide rules, procedures in doing the work higher would be the degree of span of management.
- f) Communication Techniques:** Pattern of communication, its means, and media affect the time requirement in managing subordinates and consequently span of management.
- g) Use of Staff Assistance:** Use of Staff assistance in reducing the work load of managers enables them to manage more number of subordinates.
- h) Supervision of others:** If subordinate receives supervision form several other personnel besides his direct supervisor. In such a case, the work load of direct superior is reduced and he can supervise more number of persons.

🌐 Span of control is of two types:

1. Narrow span of control
2. Wide span of control

1. **Narrow span of control:** Narrow Span of control means a single manager or supervisor oversees few subordinates. This gives rise to a tall organizational structure.

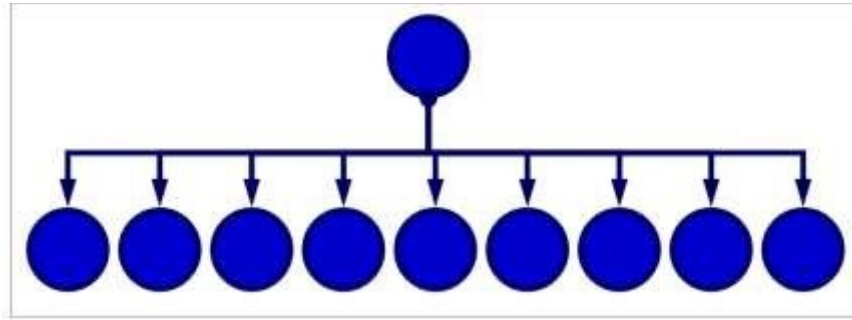


Advantages:

- ❖ Close supervision
 - ❖ Close control of subordinates
 - ❖ Fast communication
- Disadvantages:**

- ❖ Too much control
- ❖ Many levels of management
- ❖ High costs
- ❖ Excessive distance between lowest level and highest level.

2. Wide span of control: Wide span of control means a single manager or supervisor oversees a large number of subordinates. This gives rise to a flat organizational structure.



Advantages:

- ❖ More Delegation of Authority
- ❖ Development of Managers
- ❖ Clear policies

Disadvantages:

- ❖ Overloaded supervisors.
- ❖ Danger of superior's loss of control.
- ❖ Requirement of highly trained managerial personnel.
- ❖ Block in decision making.

3.11. DELEGATION OF AUTHORITY

- ❖ A manager alone cannot perform all the tasks assigned to him. In order to meet the targets, the manager should delegate authority.
- ❖ **Delegation of Authority means division of authority and powers downwards to the subordinate.**
- ❖ Delegation is about entrusting someone else to do parts of your job. Delegation of authority can be defined as subdivision and sub allocation of powers to the subordinates in order to achieve effective results.

3.11.1. Elements of Delegation:

1. Authority –

- ❖ Authority is the right to give commands, orders and get the things done.
- ❖ The top level management has greatest authority.

- ❖ Authority always flows from top to bottom.
- ❖ Authority should be accompanied with an equal amount of responsibility.

2. Responsibility –

- ❖ A person who is given the responsibility should ensure that he accomplishes the tasks assigned to him.

3. Accountability –

- ❖ It means giving explanations for any variance in the actual performance from the expectations set.

3.11.2. DELEGATION PROCESS

The steps involved in delegation are given below

1. Allocation of duties –

- ❖ The delegator first tries to define the task and duties to the subordinate.
- ❖ He also has to define the result expected from the subordinates.
- ❖ Clarity of duty as well as result expected has to be the first step in delegation.

2. Granting of authority –

- ❖ Subdivision of authority takes place when a superior divides and shares his authority with the subordinate.
- ❖ It is for this reason; every subordinate should be given enough independence to carry the task given to him by his superiors.
- ❖ The managers at all levels delegate authority and power which is attached to their job positions.
- ❖ The subdivision of powers is very important to get effective results.

3. Assigning of Responsibility and Accountability –

- ❖ The delegation process does not end once powers are granted to the subordinates.
- ❖ They at the same time have to be obligatory towards the duties assigned to them.
- ❖ Responsibility is said to be the factor or obligation of an individual to carry out his duties in best of his ability as per the directions of superior.
- ❖ Therefore, it is that which gives effectiveness to authority. At the same time, responsibility is absolute and cannot be shifted.

4. Creation of accountability –

- ❖ Accountability, on the other hand, is the obligation of the individual to carry out his duties as per the standards of performance.
- ❖ Therefore, it is said that **authority is delegated, responsibility is created and accountability is imposed.**
- ❖ Accountability arises out of responsibility and responsibility arises out of authority.
- ❖ Therefore, it becomes important that with every authority position an equal and opposite responsibility should be attached.

3.12. CENTRALIZATION AND DECENTRALIZATION CENTRALIZATION:

CENTRALIZATION:

- ❖ It is the process of transferring and assigning decision-making authority to higher levels of an organizational hierarchy.
- ❖ The span of control of top managers is relatively broad, and there are relatively many tiers in the organization.

Characteristics

- ❖ Philosophy / emphasis on: top-down control, leadership, vision, strategy.
- ❖ Decision-making: strong, authoritarian, visionary, charismatic.
- ❖ Organizational change: shaped by top, vision of leader.
- ❖ Execution: decisive, fast, coordinated. Able to respond quickly to major issues and changes.
- ❖ Uniformity. Low risk of dissent or conflicts between parts of the organization.

Advantages of Centralization

- ❖ Provide Power and prestige for manager
- ❖ Promote uniformity of policies, practices and decisions
- ❖ Minimal extensive controlling procedures and practices
- ❖ Minimize duplication of function

Disadvantages of Centralization

- ❖ Neglected functions for mid. Level, and less motivated beside personnel.
- ❖ Nursing supervisor functions as a link officer between nursing director and first-line management.

DECENTRALIZATION:

- ❖ It is the process of transferring and assigning decision-making authority to lower levels of an organizational hierarchy.

- ❖ The span of control of top managers is relatively small, and there are relatively few tears in the organization, because there is more autonomy in the lower ranks. **Characteristics**
- ❖ Philosophy / emphasis on: bottom-up, political, cultural and learning dynamics.
- ❖ Decision-making: democratic, participative, detailed.
- ❖ Organizational change: emerging from interactions, organizational dynamics.
- ❖ Execution: evolutionary, emergent. Flexible to adapt to minor issues and changes.
- ❖ Participation, accountability. Low risk of not-invented-here behaviour.

Three Forms of decentralization:

1. **De-concentration.** The weakest form of decentralization. Decision making authority is redistributed to lower or regional levels of the same central organization.
2. **Delegation.** A more extensive form of decentralization. Through delegation the responsibility for decision-making are transferred to semiautonomous organizations not wholly controlled by the central organization, but ultimately accountable to it.
3. **Devolution.** A third type of decentralization is devolution. The authority for decision making is transferred completely to autonomous organizational units.

Advantages of Decentralization

- ❖ Raise morale and promote interpersonal relationships 🚗 Relieve from the daily administration
- ❖ Bring decision-making close to action
- ❖ Develop Second-line managers
- ❖ Promote employee's enthusiasm and coordination
- ❖ Facilitate actions by lower-level managers

Disadvantages of Decentralization

- ❖ Top-level administration may feel it would decrease their status.
- ❖ Managers may not permit full and maximum utilization of highly qualified personnel.
- ❖ Increased costs. It requires more managers and large staff.
- ❖ It may lead to overlapping and duplication of effort.

STAFFING

3.13. HUMAN RESOURCE MANAGEMENT:

- ❖ Human Resource Management includes conducting job analyses, planning personnel needs, recruiting the right people for the job, orienting and training, managing wages and salaries, providing benefits and incentives, evaluating performance, resolving disputes, and communicating with all employees at all levels.
- ❖ Examples of core qualities of HR management are extensive knowledge of the industry, leadership, and effective negotiation skills.

3.14. STAFFING OR HUMAN RESOURCES MANAGEMENT:

- ❖ Staffing involves filling the positions needed in the organization structure by appointing competent and qualified persons for the job.
- ❖ The staffing process encompasses man power planning, recruitment, selection, and training.

3.15. DEFINITION OF STAFFING:

Staffing is the part of the management process which is concerned with the procurement utilization, maintenance and development of large satisfied work force on the organization.

3.16. NEED OF STAFFING:

- ❖ Massive increase in the number of employees.
- ❖ Technological innovations that require more skilled experienced staff. 
- ❖ Changing employee roles and-values.
- ❖ Increasing the percentage of woman employees.
- ❖ Widening the functions of the management.



Effective attainment of organization goals.

- ❖ Effective utilization of skills and potential of the work force, Provision of job satisfaction to employees.

3.17. FACTORS AFFECTING STAFFING:

EXTERNAL FACTORS:

- 1. Political factors:** Political stability, political parties and their political gimmicks, formation of new political parties, trade unions etc.
- 2. Economic factors:** national income, per capita income, distribution of income & wealth etc.
- 3. Social factors:** Social environment consists of social roles, social values, caste structure, occupational structure, social forward and backward sections, religions, culture etc.
- 4. Legal factors:** There are various legal provisions which affect the staffing policy of organization. The Act 1986, provide the restrictions of free recruitment of child labor.
- 5. Customers:** If the services of the organization are poor they may develop negative attitude towards the organization.
- 6. Women in Management:**

Internal factors:

- 1. Size of the organization:** A small organization cannot have the same staffing practices which large organizations may have.
- 2. Organizational Image:** The Image of an organization in human resource market depends on its staffing practices, like facilities for training and development, compensation and incentives, and work culture. If all these factors are positive, an organization may be in a better position to attract the candidates and customers.
- 3. Technological factors:** The procurement of skilled employees and their increase in numbers to match the changing job requirements has become a complicated task.
- 4. Changes in Employee Roles:** Nowadays the management improves the staffing process by
 - ❖ Providing various fringe benefits to improve morale.
 - ❖ Introducing negotiating machinery to redress grievance. 
 - Encouraging employee participation in decision making.

5. **Education:** Well educated employees always challenge and question the management decision and want a voice in the company's affairs affecting their interest.

3.18. STAFFING PROCESS:



a) Manpower planning:

- ❖ Manpower Planning which is also called as Human Resource Planning consists of putting right number of people, right kind of people at the right place, right time, doing the right things for which they are suited for the achievement of goals of the organization.
- ❖ The primary function of man power planning is to analyze and evaluate the human resources available in the organization, and to determine how to obtain the kinds of personnel needed to staff positions ranging from assembly line workers to chief executives.

b) Recruitment:

- ❖ Recruitment is the process of finding and attempting to attract job candidates who are capable of effectively filling job vacancies.
- ❖ **Job descriptions** and **job specifications** are important in the recruiting process because they specify the nature of the job and the qualifications required of job candidates.

c) Selection:

- ❖ Selecting a suitable candidate can be the biggest challenge for any organization.
- ❖ The success of an organization largely depends on its staff.
- ❖ Selection of the right candidate builds the foundation of any organization's success and helps in reducing turnovers.

d) Training and Development:

- ❖ Training and Development is a planned effort to facilitate employee learning of job related behaviors in order to improve employee performance.
- ❖ Experts sometimes distinguish between the terms “training” and “development”; “training” denotes efforts to increase employee skills on present jobs, while “development” refers to efforts oriented toward improvements relevant to future jobs.



In practice, though, the distinction is often blurred (mainly because upgrading skills in present jobs usually improves performance in future jobs).

3.19. RECRUITMENT PROCESS:

Recruitment is the process of finding and attempting to attract job candidates who are capable of effectively filling job vacancies. The recruitment process consists of the following steps

1. Identification of vacancy
2. Preparation of job description and job specification
3. Selection of sources
4. Advertising the vacancy 5. Managing the response

a) Identification of vacancy:

- ❖ The recruitment process begins with the human resource department receiving requisitions for recruitment from any department of the company.
- ❖ These contain:
 - ✓ Posts to be filled
 - ✓ Number of persons
 - ✓ Duties to be performed
 - ✓ Qualifications required

b) Preparation of job description and job specification:

- ❖ A job description is a list of the general tasks, or functions, and responsibilities of a position.
- ❖ It may often include to whom the position reports, specifications such as the qualifications or skills needed by the person in the job, or a salary range.
- ❖ A job specification describes the knowledge, skills, education, experience, and abilities you believe are essential to performing a particular job.

c) Selection of sources:

- ❖ Every organization has the option of choosing the candidates for its recruitment processes from two kinds of sources: internal and external sources.
- ❖ The sources within the organization itself (like transfer of employees from one department to other, promotions) to fill a position are known as the internal sources of recruitment.



Recruitment candidates from all the other sources (like outsourcing agencies etc.) are known as the external sources of the recruitment.

d) Advertising the vacancy: After choosing the appropriate sources, the vacancy is communicated to the candidates by means of a suitable media such as television, radio, newspaper, internet, direct mail etc. **e)**

Managing the response:

- ❖ After receiving an adequate number of responses from job seekers, the sieving process of the resumes begins.
- ❖ This is a very essential step of the recruitment selection process, because selecting the correct resumes that match the job profile, is very important.
- ❖ Naturally, it has to be done rather competently by a person who understands all the responsibilities associated with the designation in its entirety.
- ❖ Candidates with the given skill set are then chosen and further called for interview.
- ❖ Also, the applications of candidates that do not match the present nature of the position but may be considered for future requirements are filed separately and preserved.
- ❖ The recruitment process is immediately followed by the selection process.

3.20. JOB ANALYSIS:

- ❖ Job Analysis is the process of describing and recording aspects of jobs and specifying the skills and other requirements necessary to perform the job.
- ❖ The outputs of job analysis are
 - a) Job description
 - b) Job specification

3.20.1. Job Description (JD):

- ❖ A job description (JD) is a written statement of what the job holder does how it is done, under what conditions it is done and why it is done.
- ❖ It describes what the job is all about, throwing light on job content, environment and conditions of employment.
- ❖ It is descriptive in nature and defines the purpose and scope of a job.
- ❖ The main purpose of writing a job description is to differentiate the job from other jobs and state its outer limits.

Contents A job description usually covers the following information:

Job title: Tells about the job title, code number and the department where it is done.



- ❖ **Job summary:** A brief write-up about what the job is all about.
- ❖ **Job activities:** A description of the tasks done, facilities used, extent of supervisory help, etc.
- ❖ **Working conditions:** The physical environment of job in terms of heat, light, noise and other hazards.
- ❖ **Social environment:** Size of work group and interpersonal interactions required to do the job.

3.20.2. Job Specification:

- ❖ Job specification summarizes the human characteristics needed for satisfactory job completion.
- ❖ It tries to describe the key qualifications someone needs to perform the job successfully.
- ❖ It spells out the important attributes of a person in terms of education, experience, skills, knowledge and abilities (SKAs) to perform a particular job.
- ❖ The job specification is a logical outgrowth of a job description.
- ❖ For each job description, it is desirable to have a job specification.
- ❖ This helps the organization to find what kinds of persons are needed to take up specific jobs.

Contents A job specification usually covers the following information::

- ❖ Education
- ❖ Experience
- ❖ Skill, Knowledge, Abilities
- ❖ Work Orientation Factors
- ❖ Age

3.21. SELECTION PROCESS:

- ❖ Selecting a suitable candidate can be the biggest challenge for any organisation.
- ❖ The success of an organization largely depends on its staff.
- ❖ Selection of the right candidate builds the foundation of any organization's success and helps in reducing turnovers.



Though there is no fool proof selection procedure that will ensure low turnover and high profits,

The following steps generally make up the selection process-



a) Initial Screening:

- ❖ Initial Screening eliminates unqualified applicants and helps save time.
- ❖ Applications received from various sources are studied and irrelevant ones are discarded.

b) Preliminary Interview:

- ❖ It is used to eliminate those candidates who do not meet the minimum eligibility criteria laid down by the organization.
- ❖ The skills, academic and family background, competencies and interests of the candidate are examined during preliminary interview.
- ❖ Preliminary interviews are less formalized and planned than the final interviews.





- ❖ The candidates are given a brief up about the company and the job profile; and it is also examined how much the candidate knows about the company. Preliminary interviews are also called screening interviews.

c) Filling Application Form:

A candidate who passes the preliminary interview and is found to be eligible for the job is asked to fill in a formal application form.

Such a form is designed in a way that it records the personal as well professional details of the candidates such as age, qualifications, reason for leaving previous job, experience, etc.

d) Personal Interview:

- ❖ It helps them in obtaining more information about the prospective employee.
- ❖ It also helps them in interacting with the candidate and judging his communication abilities, his ease of handling pressure etc.

e) References check:

- ❖ References can be classified into - former employer, former customers, business references, reputable persons.
- ❖ Such references are contacted to get a feedback on the person in question including his behaviour, skills, conduct etc.

f) Background Verification:

- ❖ A background check is a review of a person's commercial, criminal and (occasionally) financial records.

g) Final Interview:

- ❖ Final interview is a process in which a potential employee is evaluated by an employer for prospective employment in their organization.
- ❖ During this process, the employer hopes to determine whether or not the applicant is suitable for the job.
- ❖ Different types of tests are conducted to evaluate the capabilities of an applicant, his behaviour, special qualities etc.



h) Physical Examination:

- ☒ If all goes well, then at this stage, a physical examination is conducted to make sure that the candidate has sound health and does not suffer from any serious ailment.

i) Job Offer:

- ☒ A candidate who clears all the steps is finally considered right for a particular job and is presented with the job offer.
An applicant can be dropped at any given stage if considered unfit for the job.



3.22. CARRER DEVELOPMENT

- ❖ Career development not only improves job performance but also brings about the growth of the personality.
- ❖ Individuals not only mature regarding their potential capacities but also become better individuals.

3.22.1. PURPOSE OF DEVELOPMENT:

Management development attempts to improve managerial performance by imparting

- Knowledge
- Changing attitudes
- Increasing skills

The major objective of development is managerial effectiveness through a planned and a deliberate process of learning. This provides for a planned growth of managers to meet the future organizational needs.

3.22.2. DEVELOPMENT PROCESS:

The development process consists of the following steps

- 1. Setting Development Objectives:** It develops a framework from which executive need can be determined.
- 2. Ascertaining Development Needs:** It aims at organizational planning & forecast the present and future growth.
- 3. Determining Development Needs:** This consists of
 - ❖ Appraisal of present management talent
 - ❖ Management Manpower Inventory

The above two processes will determine the skill deficiencies that are relative to the future needs of the organization.

4. Conducting Development Programs:

- ❖ It is carried out on the basis of needs of different individuals, differences in their attitudes and behavior, also their physical, intellectual and emotional qualities.
- ❖ Thus a comprehensive and well-conceived program is prepared depending on the organizational needs and the time & cost involved.

5. Program Evaluation: It is an attempt to assess the value of training in order to achieve organizational objectives.

3.23. TRAINING:

- ❖ Training is a process of learning a sequence of programmed behaviour.
- ❖ It improves the employee's performance on the current job and prepares them for an intended job.

3.23.1. PURPOSE OF TRAINING:

- 1) **To improve Productivity:** Training leads to increased operational productivity and increased company profit.
- 2) **To improve Quality:** Better trained workers are less likely to make operational mistakes.
- 3) **To improve Organizational Climate:** Training leads to improved production and product quality which enhances financial incentives. This in turn increases the overall morale of the organization.
- 4) **To increase Health and Safety:** Proper training prevents industrial accidents.
- 5) **Personal Growth:** Training gives employees a wider awareness, an enlarged skill base and that leads to enhanced personal growth.

3.23.2. STEPS IN TRAINING PROCESS:

1) **Identifying Training needs:** A training program is designed to assist in providing solutions for specific operational problems or to improve performance of a trainee.

- **Organizational determination and Analysis:** Allocation of resources that relate to organizational goal.
- **Operational Analysis:** Determination of a specific employee behaviour required for a particular task.
- **Man Analysis:** Knowledge, attitude and skill one must possess for attainment of organizational objectives.

2) **Getting ready for the job:** The trainer has to be prepared for the job. And also who needs to be trained - the newcomer or the existing employee or the supervisory staff.

Preparation of the learner:

- Putting the learner at ease
- Stating the importance and ingredients of the job • Creating interest
- Placing the learner as close to his normal working position

- Familiarizing him with the equipment, materials and trade terms

3) Presentation of Operation and Knowledge: The trainer should clearly tell, show, illustrate and question in order to convey the new knowledge and operations. The trainee should be encouraged to ask questions in order to indicate that he really knows and understands the job.

4) Performance Try out: The trainee is asked to go through the job several times. This gradually builds up his skill, speed and confidence.

5) Follow-up: This evaluates the effectiveness of the entire training effort

3.23.3. TRAINING METHODS

Training methods can be broadly classified as

- a) on-the-job training and
- b) off-the-job training

a) On-the-job training: On the job training occurs when workers pick up skills whilst working alongside experienced workers at their place of work. The various types of on-the-job training are

1. Job rotation
2. Apprenticeship and coaching
3. Experiences
4. Temporary promotions

b) Off-the-job training:

- ❖ This occurs when workers are taken away from their place of work to be trained.
- ❖ This may take place at training agency or local college, although many larger firms also have their own training centres.
- ❖ Training can take the form of lectures or self-study and can be used to develop more general skills and knowledge that can be used in a variety of situations.

The various types of off-the-job training are

- (i) **Instructor presentation:** The trainer orally presents new information to the trainees, usually through lecture. Instructor presentation may include classroom lecture, seminar, workshop, and the like.
- (ii) **Group discussion:** The trainer leads the group of trainees in discussing a topic.

- (iii) **Demonstration:** The trainer shows the correct steps for completing a task, or shows an example of a correctly completed task.
- (iv) **Assigned reading:** The trainer gives the trainees reading assignments that provide new information.
- (v) **Exercise:** The trainer assigns problems to be solved either on paper or in real situations related to the topic of the training activity.
- (vi) **Case study:** The trainer gives the trainees information about a situation and directs them to come to a decision or solve a problem concerning the situation.
- (vii) **Role play:** Trainees act out a real-life situation in an instructional setting.
- (viii) **Field visit and study tour:** Trainees are given the opportunity to observe and interact with the problem being solved or skill being learned.

3.24. CAREER STAGES:

- ❖ A person's working life can be divided into many stages.
- ❖ Four distinct career stages have been identified: trial, establishment/advancement, mid-career, and late career.
- ❖ Each stage represents different career needs and interests of the individual.

a) Trial stage: (15-25 years)

- ❖ The trial stage begins with an individual's exploration of career-related matters and ends usually at about age 25 with a commitment on the part of the individual to a particular occupation.
- ❖ Until the decision is made to settle down, the individual may try a number of jobs and a number of organizations.
- ❖ Unfortunately for many organizations, this trial and exploration stage results in high level of turnover among new employees.
- ❖ Employees in this stage need opportunities for self-exploration and a variety of job activities or assignments.

b) Establishment Stage: (22-44 years)

- ❖ The establishment/advancement stage tends to occur between ages 25 and 44.
- ❖ In this stage, the individual has made his or her career choice and is concerned with achievement, performance, and advancement.

- ❖ This stage is marked by high employee productivity and career growth, as the individual is motivated to succeed in the organization and in his or her chosen occupation.
- ❖ Opportunities for job challenge and use of special competencies are desired in this stage.
- ❖ The employee strives for creativity and innovation through new job assignments.
- ❖ Employees also need a certain degree of autonomy in this stage so that they can experience feelings of individual achievement and personal success.

c) Mid-Career Crisis Sub Stage: (35-44 years)

- 🚗 The period occurring between the mid-thirties and mid-forties during which people often make a major reassessment of their progress relative to their original career ambitions and goals.

d) Maintenance stage: (45-64 years)

- ❖ The mid-career stage, which occurs roughly between the ages 45 and 64, has also been referred to as the maintenance stage.
- ❖ This stage is typified by a continuation of established patterns of work behavior.
- ❖ The person is no longer trying to establish a place for himself or herself in the organization, but seeks to maintain his or her position.
- ❖ This stage is viewed as a mid-career plateau in which little new ground is broken.
- ❖ The individual in this stage may need some technical updating in his or her field.
- ❖ The employee should be encouraged to develop new job skills in order to avoid early stagnation and decline.

e) Late-career stage: (65 years onwards)

- 🚗 In this stage the career lessens in importance and the employee plans for retirement and seeks to develop a sense of identity outside the work environment.

3.25. PERFORMANCE APPRAISAL:

- ❖ Performance appraisal is the process of obtaining, analyzing and recording information about the relative worth of an employee.

- ❖ The focus of the performance appraisal is measuring and improving the actual performance of the employee and also the future potential of the employee. Its aim is to measure what an employee does.

3.25.1. OBJECTIVES OF PERFORMANCE APPRAISAL:

1. To review the performance of the employees over a given period of time.
2. To judge the gap between the actual and the desired performance.
3. To help the management in exercising organizational control.
4. Helps to strengthen the relationship and communication between superior – subordinates and management – employees.
5. To diagnose the strengths and weaknesses of the individuals so as to identify the training and development needs of the future.
6. To provide feedback to the employees regarding their past performance.
7. Provide information to assist in the other personal decisions in the organization.
8. Provide clarity of the expectations and responsibilities of the functions to be performed by the employees.
9. To judge the effectiveness of the other human resource functions of the organization such as recruitment, selection, training and development.
10. To reduce the grievances of the employees.

3.25.2. PROCESS OF PERFORMANCE APPRAISAL:

a) Establishing performance standards:

- ❖ The first step in the process of performance appraisal is the setting up of the standards which will be used to as the base to compare the actual performance of the employees.
- ❖ This step requires setting the criteria to judge the performance of the employees as successful or unsuccessful and the degrees of their contribution to the organizational goals and objectives.
- ❖ The standards set should be clear, easily understandable and in measurable terms.

In case the performance of the employee cannot be measured, great care should be taken to describe the standards.

b) Communicating the standards:

- ❖ After establishing the standards, it is the responsibility of the management to communicate the standards to all the employees of the organization.
- ❖ The employees should be informed and the standards should be clearly explained to them. This will help them to understand their roles and to know what exactly is expected from them.

- ❖ The standards should also be communicated to the appraisers or the evaluators and if required, the standards can also be modified at this stage itself according to the relevant feedback from the employees or the evaluators.

c) Measuring the actual performance:

- ❖ The most difficult part of the Performance appraisal process is measuring the actual performance of the employees that is the work done by the employees during the specified period of time.
- ❖ It is a continuous process which involves monitoring the performance throughout the year.
- ❖ This stage requires the careful selection of the appropriate techniques of measurement, taking care that personal bias does not affect the outcome of the process and providing assistance rather than interfering in an employees work.

d) Comparing the actual with the desired performance:

- ❖ The actual performance is compared with the desired or the standard performance. The comparison tells the deviations in the performance of the employees from the standards set.
- ❖ The result can show the actual performance being more than the desired performance or, the actual performance being less than the desired performance depicting a negative deviation in the organizational performance.
- ❖ It includes recalling, evaluating and analysis of data related to the employees' performance.

e) Discussing results:

- ❖ The result of the appraisal is communicated and discussed with the employees on one-to-one basis.
- ❖ The focus of this discussion is on communication and listening.
- ❖ The results, the problems and the possible solutions are discussed with the aim of problem solving and reaching consensus.
- ❖ The feedback should be given with a positive attitude as this can have an effect on the employees' future performance.
- ❖ The purpose of the meeting should be to solve the problems faced and motivate the employees to perform better.

f) Decision making:

- ❖ The last step of the process is to take decisions which can be taken either to improve the performance of the employees, take the required corrective

actions, or the related HR decisions like rewards, promotions, demotions, transfers etc

UNIT IV DIRECTING

Foundations of individual and group behaviour – **motivation** – motivation theories – motivational techniques – job satisfaction – job enrichment – **leadership** – types and theories of leadership – **communication** – process of communication – barrier in communication – effective communication – communication and IT.

DIRECTING:

- ❖ Directing is defined as the process of instructing, guiding and inspiring the performance of the workers to achieve predetermined goals.
- ❖ Directing is said to be the heart of management process.
- ❖ Planning, organizing, staffing has got no importance if direction function does not take place.
- ❖ Directing including the following elements.
 - i. **Leadership**
 - ii. **Motivation**
 - iii. **Communication**

Characteristics:

- ❖ Elements of Management.
- ❖ Dual objectives.
- ❖ Continuing Function.
- ❖ Pervasive Function.
- ❖ Creative Function.
- ❖ Linking function.
- ❖ Management of Human Factor.

Scope of Directing:

- ❖ Initiates action.
- ❖ Ensures coordination.
- ❖ Improves efficiency.
- ❖ Facilitates change.
- ❖ Assists stability and growth.

Techniques of Directing:

- ✓ Delegation
- ✓ Supervision
- ✓ Orders and instructions
- ✓ Motivation
- ✓ Leadership
- ✓ Communication

FOUNDATIONS OF INDIVIDUAL AND GROUP BEHAVIOUR:

- ❖ Organizational behaviour is concerned with people's thought, feelings, emotions and action in setting up a work.
- ❖ Understanding an individual behaviour is in itself a challenge, but understanding group behaviour in an organizational environment is a massive managerial task.

Individual Behaviour:

- ❖ People, through their individuality and uniqueness, bring unconsciously something (either positive or negative) to others. It can be values, emotions, but also skills, abilities, creativity, etc.
- ❖ When hiring a new employee, companies expect that this individual will add a value to the company through its characteristics.
- ❖ Therefore, the study of individual behaviour is essential within an organisation as these characteristics influence how a person will behave at work and interact with others.

Several factors impact how an individual behave:

- **Genetic and diversity factors:** which combined “primary dimensions” which are unchangeable (e.g.: age/gender/physical attributes) and secondary dimensions which may change throughout the life (e.g.: educational background, religion, belief, health)
- **Abilities and skills:** including mental abilities (e.g.: emotional intelligence, tacit knowledge) and physical abilities (e.g.: motor skills, body coordination)
- **Perception:** is “the basic cognitive process that transforms sensory stimuli into meaningful information.” In others words, it is the way something is seen and feel by an individual.
- **Attitude:** can be defined as a mental state of readiness: “a state of being prepared for something” .It is closely link with the personality and the perception of the individual.

– **Personality:** defined as the way a person feels, behaves and thinks, results from the heredity, the cultural forces, the social class and the relationship of an individual.

Group Behaviour:

A group consists of a number of individuals working together for a common goal.

- ❖ Individuals form groups.
- ❖ They live in groups.
- ❖ They work and move in groups.
- ❖ They influence work and work behaviour.
- ❖ They cannot be ignored.
- ❖ They exert significant influence on the organisation.
- ❖ They are inseparable from organisation.
- ❖ They form foundation of human resources.

Need for a group:

- ❖ Individuals communicate with each other, discuss their work performances and take suggestions from each other to make it better.
- ❖ An individual cannot perform each and every task .group efforts are required for its completion.
- ❖ Group efforts affect an individual, his attitude and behaviour.
- ❖ Group has the ability to satisfy the needs of its members.
- ❖ A group can judge in a better way as compared to an individual.
- ❖ While accomplishing tasks, all members of a group together use their creative and innovation ideas than a single individual. 🚗 Groups make the environment at workplace livelier.

TYPES OF GROUP:

Groups can be classified in many different ways on various bases.

Following are the basic groups:

1. Formal Groups:

- ❖ Formal groups are created as part of organisation structure to accomplish organisational tasks.
- ❖ A work group in a plant is the example of formal group.
- ❖ They are bound by hierarchical authority in the organisation.
- ❖ They have to follow rules, regulation and policy of the organisation. These groups are required by the system.

- ❖ The organisation provides a system of rules and regulation for attaining organisational objectives.

According to A.L. Stencombe, “a formal group is said to be any social arrangement in which the activities of some persons are planned by others to achieve a common purpose”.

(a) Command Group:

- ❖ Command group consists of subordinates who are directly responsible to a supervisor.
- ❖ Command groups are structured by the organisation.
- ❖ The subordinates working in enforcement department of a town planning authority are reporting to and directly responsible to the enforcement officer.
- ❖ There is a specific department established for the purpose and is busy throughout with its activities.

(b) Task Group:

- ❖ Task group is formed to complete a project.
- ❖ This type of group is also known as task force.
- ❖ The job of the group is to complete the task within allotted time period.
- ❖ If one task is completed they are allotted new task to work with Project teams, quality circles, audit teams are the examples of task group.

2. Informal Groups:

- ❖ Informal groups exist within the formal organisations and arise because of individuals' social needs and desire to develop and maintain relations with people.
- ❖ Working at a plant or office leads to formation of informal groups. They work together and this leads to their interaction.
- ❖ Through interaction groups are formed. These groups are spontaneous and emotional.
- ❖ These are the groups formed by the employees themselves at the workplace while working together.

Informal groups are of following types:

(a) Interest Group:

A group of employees are coming together for attaining a common purpose. Employees coming together for payment of bonus increase in salary,

medical benefits and other facilities are the examples of interest group. The people with common interest come together.

(b) Membership Group:

A group of persons are belonging to the same profession knowing each other e.g. teachers of the same faculty in the university.

(c) Friendship Group:

A group is outside from the plant or office, having similar views, tastes, opinions, belonging to same age group. They form clubs and associations based on the friendship.

(d) Reference Group:

It is a primary group where people shape their ideas, beliefs, values etc. They want support from the group. Family is an important reference group. A team of players playing a game is a reference group.

CREATIVITY AND INNOVATION:

- ✓ Creativity is related to 'imagination', but innovation is related to 'implementation'.
- ✓ There cannot be innovation without creativity. There can be creativity without innovation but it has no value

Creativity:

🚗 It is defined as the ability to produce new and useful ideas.

Steps involved in creativity:



a) Preparation:

- ❖ This is the first stage at which the base for creativity and innovation is defined; the mind is prepared for subsequent use in creative thinking.
- ❖ During preparation the individual is encouraged to appreciate the fact that every opportunity provides situations that can educate and experiences from which to learn.
- ❖ This can be done through reading about various topics and/or subjects and engaging in discussions with others.

b) Investigation:

- ❖ This stage of enhancing entrepreneurial creativity and innovation involves the business owner taking time to study the problem at hand and what its various components are.

c) Transformation:

- ❖ The information thus accumulated and acquired should then be subjected to convergent and divergent thinking which will serve to highlight the inherent similarities and differences.
- ❖ Convergent thinking will help identify aspects that are similar and connected while divergent thinking will highlight the differences.
- ❖ This twin manner of thinking is of particular importance in realizing creativity and innovation for the following reasons:
 - ✓ One will be able to scan the details and see what the bigger picture is the situation/problem's components can be reordered and in doing so new patterns can be identified.
 - ✓ It will help visualize a number of approaches that can be used to simultaneously tackle the problem and the opportunity.
 - ✓ One's decision-making abilities will be bettered such that the urge to make snap decisions will be resisted.

d) Incubation: At this stage in the quest for creativity and innovation it is imperative that the subconscious reflect on the accumulated information, i.e. through incubation, and this can be improved or augmented when the entrepreneur:

- ❖ Engages in an activity completely unrelated to the problem/opportunity under scrutiny.
- ❖ Takes time to daydream i.e. letting the mind roam beyond any restrictions self-imposed or otherwise.
- ❖ Relax and play
- ❖ Study the problem/opportunity in a wholly different environment

e) **Illumination:** This happens during the incubation stage and will often be spontaneous. The realizations from the past stages combine at this instance to form a breakthrough.

f) **Verification:**

- ❖ This is where the entrepreneur attempts to ascertain whether the creativity of thought and the action of innovation are truly effective as anticipated.
- ❖ It may involve activities like simulation, piloting, prototype building, test marketing, and various experiments.
- ❖ While the tendency to ignore this stage and plunge headlong with the breakthrough may be tempting, the transformation stage should ensure that the new idea is put to the test.

MOTIVATION:

- ❖ It is the process of stimulating people to actions to accomplish the goals.
- ❖ Management is the art of getting work done by the subordinates in order to attain the common goals of organization.
- ❖ Getting work done is a difficult task. For this purpose, the management should inspire and motivate the people for the accomplishment of goals.
- ❖ "Motivation" is a Latin word, meaning "to move".
- ❖ Motivation may be defined as those forces that cause people to behave in certain ways.

According to Koontz O'Donnell, **"Motivation is a general term applying to the entire class of drives, desires, needs, wishes and similar forces that induce an individual or a group of people to work"** **Nature and Characteristics of Motivation:**

- ❖ Psychologists generally agree that all behaviour is motivated, and that people have reasons for doing the things they do or for behaving in the manner that they do.
- ❖ Motivating is the work a manager performs to inspire, encourage and impel people to take required action.

The characteristics of motivation are given below:-

i. **Motivation is an Internal Feeling:**

- ❖ Motivation is a psychological phenomenon which generates in the mind of an individual the feeling that he lacks certain things and needs those things.

- ❖ Motivation is a force within an individual that drives him to behave in a certain way.

ii. Motivation is related to Needs:

- ❖ Needs are deficiencies which are created whenever there is a physiological or psychological imbalance.
- ❖ In order to motivate a person, we have to understand his needs that call for satisfaction.
- iii. Motivation Produces Goal-Directed Behaviour:**
- ❖ Goals are anything which will alleviate a need and reduce a drive. An individual's behaviour is directed towards a goal.

iv. Motivation can be either Positive or Negative:

- ❖ Positive or incentive motivation is generally based on reward.
- ❖ According to Flippo - "positive motivation is a process of attempting to influence others to do your will through the possibility of gain or reward".
- ❖ Negative or fear motivation is based on force and fear.
- ❖ Fear causes persons to act in a certain way because they are afraid of the consequences if they don't.

Importance of Motivation:

A manager's primary task is to motivate others to perform the tasks of the organization.

1. Puts human resources into action.
2. Improves level of efficiency of employees.
3. Leads to achievement of organizational goals.
4. Builds friendly relationship.
5. Leads to stability of work force.

The various benefits of motivation are:-

Motivation is one of the important elements in the directing process.

1. By motivating the workers, a manager directs or guides the workers' actions in the desired direction for accomplishing the goals of the organization.
2. Workers will tend to be as efficient as possible by improving upon their skills and knowledge so that they are able to contribute to the progress of the organization thereby increasing productivity.
3. For performing any tasks, two things are necessary.

They are: (a) ability to work and (b) willingness to work. Without willingness to work, ability to work is of no use. The willingness to work can be created only by motivation.

4. Organizational effectiveness becomes, to some degree, a question of management's ability to motivate its employees, to direct at least a reasonable effort towards the goals of the organization.
5. Motivation contributes to good industrial relations in the organization.
6. Motivation is the best remedy for resistance to changes. When changes are introduced in an organization, generally, there will be resistance from the workers. But if the workers of an organization are motivated, they will accept.
7. Motivation facilitates the maximum utilization of all factors of production, human, physical and financial resources and thereby contributes to higher production.
8. Motivation promotes a sense of belonging among the workers. The workers feel that the enterprise belongs to them and the interest of the enterprise is their interests.
9. Many organizations are now beginning to pay increasing attention to developing their employees as future resources upon which they can draw as they grow and develop.

Motivation Process:

1. Analysis of situation.
2. Preparing, selecting and applying a set of opportunity motivating tools.
3. Follow-up.

Types Of motivation:

1. **Positive motivation:** it involves a proper recognition of employee's efforts and appreciation of employee contribution towards the goal achievement.
2. **Negative motivation:** it is based on force, fear and threats.
3. **Extrinsic motivation:** it is induced by external factors which are primarily financial in nature. This motivation includes higher pay, holidays, vacation, rest periods, retirement benefits, health and medical insurance, incentives, rewards, etc.
4. **Intrinsic motivation:** it is available at the time of performance of work. It provides the satisfaction during the performance of work. Some intrinsic motivations are praise, recognition, esteem, power, etc.

MOTIVATION THEORIES:

Some of the motivation theories are discussed below

a)McGREGOR'STHEORY X AND THEORY Y:

McGregor states that people inside the organization can be managed in two ways. The first is basically negative, which falls under the category X and the other is basically positive, which falls under the category Y. After viewing the way in which the manager dealt with employees, McGregor concluded that a manager's view of the nature of human beings is based on a certain grouping of assumptions and that he or she tends to mould his or her behaviour towards subordinates according to these assumptions.

Under the assumptions of theory X: (negative)

- ❖ Employees inherently do not like work and whenever possible, will attempt to avoid it.
- ❖ Because employees dislike work, they have to be forced, coerced or threatened with punishment to achieve goals.
- ❖ Employees avoid responsibilities and do not work fill formal directions are issued.
- ❖ Most workers place a greater importance on security over all other factors and display little ambition.

In contrast under the assumptions of theory Y: (positive) 🚗

Physical and mental effort at work is as natural as rest or play.

- ❖ People do exercise self-control and self-direction and if they are committed to those goals.
- ❖ Average human beings are willing to take responsibility and exercise imagination, ingenuity and creativity in solving the problems of the organization.
- ❖ That the way the things are organized, the average human being's brainpower is only partly used.

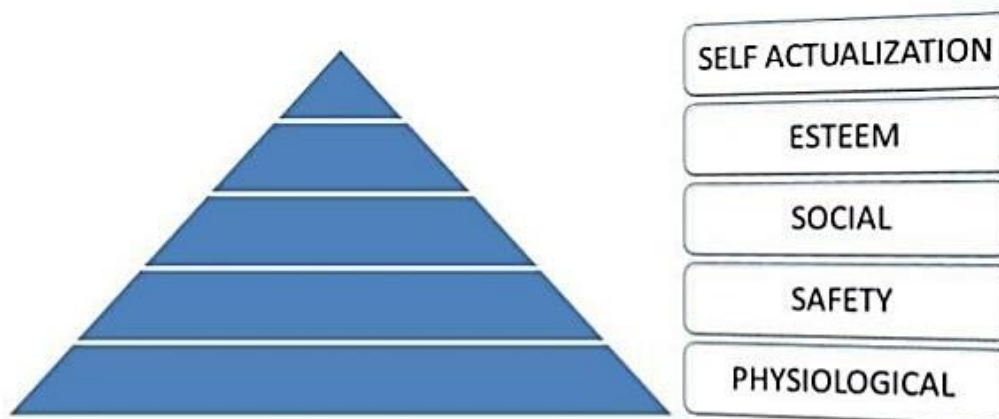
On analysis of the assumptions it can be detected that theory X assumes that lower-order needs dominate individuals and theory Y assumes that higher-order needs dominate individuals. An organization that is run on Theory X lines tends to be authoritarian in nature, the word "authoritarian" suggests such ideas as the "power to enforce obedience" and the "right to command." In contrast Theory Y organizations can be described as "participative", where the aims of the organization and of the individuals in it are integrated; individuals can achieve

their own goals best by directing their efforts towards the success of the organization.

b) ABRAHAM MASLOW'S "NEED HIERARCHY THEORY":

One of the most widely mentioned theories of motivation is the hierarchy of needs theory put forth by psychologist Abraham Maslow. Maslow saw human needs in the form of a hierarchy, ascending from the lowest to the highest, and he concluded that when one set of needs is satisfied, this kind of need ceases to be a motivator.

As per his theory these needs are:



(i) **Physiological needs:** These are important needs for sustaining the human life. Food, water, warmth, shelter, sleep, medicine and education are the basic physiological needs which fall in the primary list of need satisfaction. Maslow was of an opinion that until these needs were satisfied to a degree to maintain life, no other motivating factors can work.

(ii) **Security or Safety needs:** These are the needs to be free of physical danger and of the fear of losing a job, property, food or shelter. It also includes protection against any emotional harm. **(Job security)**

(iii) **Social needs:** Since people are social beings, they need to belong and be accepted by others. People try to satisfy their need for affection, acceptance and friendship. **(Canteen, Cafeteria-Relaxation)**

(iv) **Esteem needs:** According to Maslow, once people begin to satisfy their need to belong, they tend to want to be held in esteem both by themselves and by others. This kind of need produces such satisfaction as power, prestige status and self-confidence. It includes both internal esteem factors like self-respect, autonomy and achievements and external esteem factors such as states, recognition and attention. **(Respect)**

(v) **Need for self-actualization:** Maslow regards this as the highest need in his hierarchy. It is the drive to become what one is capable of becoming; it includes growth, achieving one's potential and self-fulfilment. It is to maximize one's potential and to accomplish something. **(Growth)**

C) FREDERICK HERZBERG'S MOTIVATION-HYGIENE THEORY:

Frederick has tried to modify Maslow's need Hierarchy theory. His theory is also known as two-factor theory or Hygiene theory.

Hygiene Factor Or Dissatisfied Factor	Motivational Factor Or Satisfied Factor
Factors which May cause dissatisfaction in the working environment but cannot motivate by them.	Factors which motivate and may make workers more effective.
E.X: Security, status, relationship with subordinates, personal life, salary, work conditions, relationship with supervisor and company policy and administration	E.X: Growth prospectus job advancement, responsibility, challenges, recognition and achievements.

He stated that there are certain satisfiers and dissatisfies for employees at work. Intrinsic factors are related to job satisfaction, while extrinsic factors are associated with dissatisfaction. He devised his theory on the question: "What do people want from their jobs?" He asked people to describe in detail, such situations when they felt exceptionally good or exceptionally bad. From the responses that he received, he concluded that opposite of satisfaction is not dissatisfaction. Removing dissatisfying characteristics from a job does not necessarily make the job satisfying. He states that presence of certain factors in the organization is natural and the presence of the same does not lead to motivation. However, their non-presence leads to de-motivation. In similar manner there are certain factors, the absence of which causes no dissatisfaction, but their presence has motivational impact.

d) VICTOR VROOM'S EXPECTANCY THEORY:

The most widely accepted explanations of motivation have been propounded by Victor Vroom. His theory is commonly known as expectancy theory. The theory argues that the strength of a tendency to act in a specific way depends on the strength of an expectation that the act will be followed by a given outcome and on the attractiveness of that outcome to the individual to make this

simple, expectancy theory says that an employee can be motivated to perform better when there is a belief that the better performance will lead to good performance appraisal and that this shall result into realization of personal goal in form of some reward.

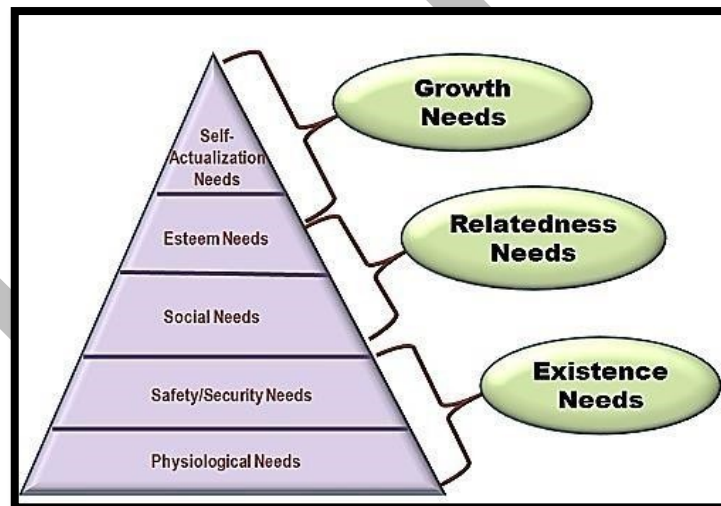
Therefore an employee is: **Motivation = Valence X Expectancy.**

The theory focuses on three things:

- ❖ Efforts and performance relationship
- ❖ Performance and reward relationship
- ❖ Rewards and personal goal relationship

e) CLAYTON ALDERFER'S ERG THEORY:

It is the extension of Maslow's Needs Hierarchy, wherein the Maslow's five needs are categorized into three categories, Viz. Existence Needs, Relatedness Needs, and Growth Needs.



Alderfer has tried to rebuild the hierarchy of needs of Maslow into another model named ERG i.e. Existence – Relatedness – Growth. According to him there are 3 groups of core needs as mentioned above. The existence group is concerned mainly with providing basic material existence. The second group is the individuals need to maintain interpersonal relationship with other members in the group. The final group is the intrinsic desire to grow and develop personally.

The major conclusions of this theory are:

- ❖ In an individual, more than one need may be operative at the same time.
- ❖ If a higher need goes unsatisfied than the desire to satisfy a lower need intensifies. It also contains the frustration-regression dimension.

f) McCLELLAND'S THEORY OF NEEDS:

David McClelland has developed a theory on three types of motivating needs:

- i. Need for Power
- ii. Need for Affiliation
- iii. Need for Achievement

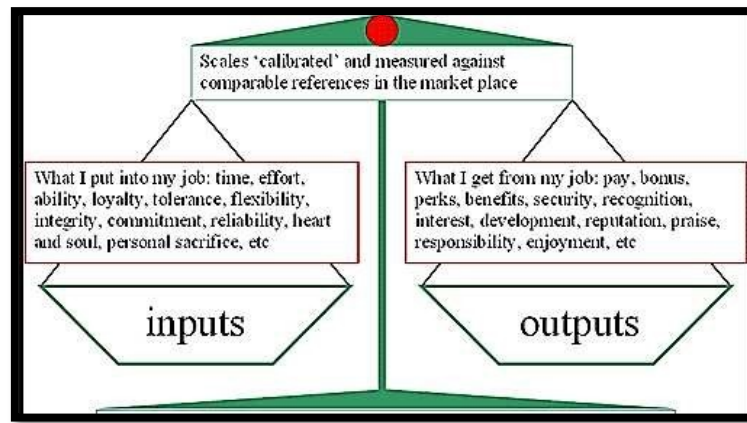
Basically people for high need for power are inclined towards influence and control. They like to be at the centre and are good orators. They are demanding in nature, forceful in manners and ambitious in life. They can be motivated to perform if they are given key positions or power positions. In the second category are the people who are social in nature. They try to affiliate themselves with individuals and groups. They are driven by love and faith. They like to build a friendly environment around themselves. Social recognition and affiliation with others provides them motivation. People in the third area are driven by the challenge of success and the fear of failure. Their need for achievement is moderate and they set for themselves moderately difficult tasks. They are analytical in nature and take calculated risks. Such people are motivated to perform when they see at least some chances of success. McClelland observed that with the advancement in hierarchy the need for power and achievement increased rather than Affiliation. He also observed that people who were at the top, later ceased to be motivated by this drives.

g) STACEY ADAMS' EQUITY THEORY:

As per the equity theory of J. Stacey Adams, people are motivated by their beliefs about the reward structure as being fair or unfair, relative to the inputs. People have a tendency to use subjective judgment to balance the outcomes and inputs in the relationship for comparisons between different individuals. Accordingly:

$$\frac{\text{Out comes by a person}}{\text{Inputs by a person}} = \frac{\text{Out comes by another person}}{\text{Input by another person}}$$

If people feel that they are not equally rewarded they either reduce the quantity or quality of work or migrate to some other organization. However, if people perceive that they are rewarded higher, they may be motivated to work harder.



h) SKINNER'S REINFORCEMENT THEORY:

B.F. Skinner, who propounded the reinforcement theory, holds that by designing the environment properly, individuals can be motivated. Instead of considering internal factors like impressions, feelings, attitudes and other cognitive behavior, individuals are directed by what happens in the environment external to them. Skinner states that work environment should be made suitable to the individuals and that punishment actually leads to frustration and demotivation. Hence, the only way to motivate is to keep on making positive changes in the external environment of the organization.

Special Motivational Techniques:

1. Money
2. Participation
3. Job security
4. Power of authority
5. Incentives
6. Quality of working life

JOB SATISFACTION :

- ❖ Employee satisfaction (Job satisfaction) is the terminology used to describe whether employees are happy and contented and fulfilling their desires and needs at work.
- ❖ Many measures purport that employee satisfaction is a factor in employee motivation, employee goal achievement, and positive employee morale in the workplace.
- ❖ Employee satisfaction, while generally a positive in your organization, can also be a downer if mediocre employees stay because they are satisfied with your work environment.

- ❖ Employee satisfaction is often measured by anonymous employee satisfaction surveys administered periodically that gauge employee satisfaction in areas such as:
- ❖ Management,
- ❖ Understanding of mission and vision,
- ❖ Empowerment,
- ❖ Teamwork,
- ❖ Communication, and
- ❖ Co-worker interaction.

JOB DESIGN:

- ❖ It is the process of Work arrangement (or rearrangement) aimed at reducing or overcoming job dissatisfaction and employee alienation arising from repetitive and mechanistic tasks.
- ❖ Through job design, organizations try to raise productivity levels by offering non-monetary rewards such as greater satisfaction from a sense of personal achievement in meeting the increased challenge and responsibility of one's work.

Approaches to job design include:

Job Enlargement: Job enlargement changes the jobs to include more and/or different tasks. Job enlargement should add interest to the work but may or may not give employees more responsibility.

Job Rotation: Job rotation moves employees from one task to another. It distributes the group tasks among a number of employees.

Job Enrichment: Job enrichment allows employees to assume more responsibility, accountability, and independence when learning new tasks or to allow for greater participation and new opportunities

LEADERSHIP:

Definition:

Leadership is defined as influence, the art or process of influencing people so that they will strive willingly and enthusiastically toward the achievement of group goals.

- ❖ Leaders act to help a group attain objectives through the maximum application of its capabilities.
- ❖ Leaders must instil values

- ❖ Whether it is concern for quality, honesty and calculated risk taking or for employees and customers.

Importance of Leadership:

1. Motivating employees.
2. Leader develops team work.
3. Better utilization of man power.
4. Creating confidence to followers.
5. Directing group activities.
6. Building morale.
7. Maintaining discipline.

Leadership Qualities:

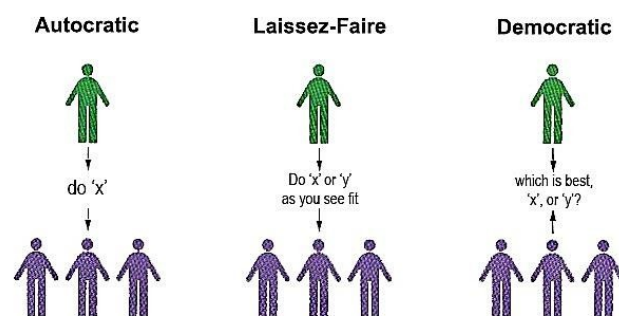
1. Honesty.
2. Confidence.
3. Patience.
4. Focus.
5. Dedication.
6. Consistency.
7. Motivate others.
8. Effective communication.
9. Individuality.
10. Personal dignity.

Leadership Styles:

The leadership style we will discuss here are:

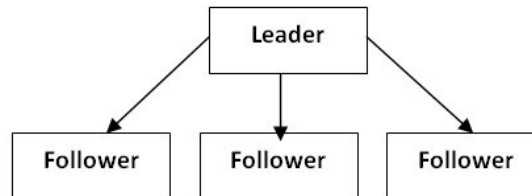
- a) **Autocratic style**
- b) **Democratic Style**
- c) **Laissez Faire Style**

Leadership Styles



a) Autocratic style:

Manager retains as much power and decision-making authority as possible. The manager does not consult employees, nor are they allowed to give any input. Employees are expected to obey orders without receiving any explanations. The motivation environment is produced by creating a structured set of rewards and punishments.



Autocratic leadership is a classical leadership style with the following Characteristics:

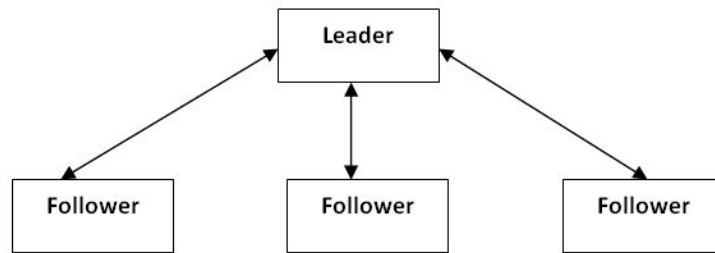
- ❖ Manager seeks to make as many decisions as possible
- ❖ Manager seeks to have the most authority and control in decision making
- ❖ Manager seeks to retain responsibility rather than utilize complete delegation
- ❖ Consultation with other colleagues in minimal and decision making becomes a solitary process
- ❖ Managers are less concerned with investing their own leadership development, and prefer to simply work on the task at hand.

Advantages:

- ❖ Reduced stress due to increased control
- ❖ A more productive group 'while the leader is watching'
- ❖ Improved logistics of operations Faster decision making
- ❖ Short-termistic approach to management.
- ❖ Manager perceived as having poor leadership
- ❖ Skills Increased workload for the manager
- ❖ People dislike being ordered around
- ❖ Teams become dependent upon their leader

b) Democratic Style:

Democratic Leadership is the leadership style that promotes the sharing of responsibility, the exercise of delegation and continual consultation.



The style has the following characteristics:

- ❖ Manager seeks consultation on all major issues and decisions.
- ❖ Manager effectively delegate tasks to subordinates and give them full control and responsibility for those tasks.
- ❖ Manager welcomes feedback on the results of initiatives and the work environment.
- ❖ Manager encourages others to become leaders and be involved in leadership development.

Advantages

- ❖ Positive work environment
- ❖ Successful initiatives
- ❖ Creative thinking
- ❖ Reduction of friction and office politics
- ❖ Reduced employee turnover

Disadvantages

- ❖ Takes long time to take decisions
- ❖ Danger of pseudo participation
- ❖ Like the other styles, the democratic style is not always appropriate.
- ❖ It is most successful when used with highly skilled or experienced employees or when implementing operational changes or resolving individual or group problems.

c) Laissez-Faire Style:

This French phrase means “leave it be” and is used to describe a leader who leaves his/her colleagues to get on with their work. The style is largely a “hands off” view that tends to minimize the amount of direction and face time required.

Advantages

- ❖ No work for the leader
- ❖ Frustration may force others into leadership roles
- ❖ Allows the visionary worker the opportunity to do what they want, free from interference
- ❖ Empowers the group

Disadvantages

- ❖ It makes employees feel insecure at the unavailability of a manager.
- ❖ The manager cannot provide regular feedback to let employees know how well they are doing.
- ❖ Managers are unable to thank employees for their good work.
- ❖ The manager doesn't understand his or her responsibilities and is hoping the employees can cover for him or her.

LEADERSHIP THEORIES:

The various leadership theories are

a) Great Man Theory:

Assumptions:

- ❖ Leaders are born and not made.
- ❖ Great leaders will arise when there is a great need.

Description:

Early research on leadership was based on the study of people who were already great leaders. These people were often from the aristocracy, as few from lower classes had the opportunity to lead. This contributed to the notion that leadership had something to do with breeding. The idea of the Great Man also strayed into the mythic domain, with notions that in times of need, a Great Man would arise, almost by magic. This was easy to verify, by pointing to people such as Eisenhower and Churchill, let alone those further back along the timeline, even to Jesus, Moses, Mohammed and the Buddah.

Discussion:

Gender issues were not on the table when the 'Great Man' theory was proposed. Most leaders were male and the thought of a Great Woman was generally in areas other than leadership. Most researchers were also male, and concerns about andocentric bias were a long way from being realized.

b) Trait Theory:

Assumptions:

- ❖ People are born with inherited traits.
- ❖ Some traits are particularly suited to leadership.
- ❖ People who make good leaders have the right (or sufficient) combination of traits.

Description:

Early research on leadership was based on the psychological focus of the day, which was of people having inherited characteristics or traits. Attention was thus put on discovering these traits, often by studying successful leaders, but with the

underlying assumption that if other people could also be found with these traits, then they, too, could also become great leaders.

McCall and Lombardo (1983) researched both success and failure identified four primary traits by which leaders could succeed or 'derail': Emotional stability and composure: Calm, confident and predictable, particularly when under stress. Admitting error: Owning up to mistakes, rather than putting energy into covering up. Good interpersonal skills: able to communicate and persuade others without resort to negative or coercive tactics. Intellectual breadth: Able to understand a wide range of areas, rather than having a narrow (and narrow-minded) area of expertise.

c) Behavioral Theory:

Assumptions:

- ❖ Leaders can be made, rather than are born.
- ❖ Successful leadership is based in definable, learnable behavior.

Description:

Behavioral theories of leadership do not seek inborn traits or capabilities. Rather, they look at what leaders actually do. If success can be defined in terms of describable actions, then it should be relatively easy for other people to act in the same way. This is easier to teach and learn than to adopt the more ephemeral 'traits' or 'capabilities'.

d) Participative Leadership:

Assumptions:

- ❖ Involvement in decision-making improves the understanding of the issues involved by those who must carry out the decisions.
- ❖ People are more committed to actions where they have involved in the relevant decision-making.
- ❖ People are less competitive and more collaborative when they are working on joint goals.
- ❖ When people make decisions together, the social commitment to one another is greater and thus increases their commitment to the decision.
- ❖ Several people deciding together make better decisions than one person alone.

Description:

A Participative Leader, rather than taking autocratic decisions, seeks to involve other people in the process, possibly including subordinates, peers, superiors and other stakeholders. Often, however, as it is within the managers' whim to give or deny control to his or her subordinates, most participative activity is

within the immediate team. The question of how much influence others are given thus may vary on the manager's preferences and beliefs, and a whole spectrum of participation is possible.

e) Situational Leadership:

Assumptions:

- ❖ The best action of the leader depends on a range of situational factors.

Description:

- ❖ When a decision is needed, an effective leader does not just fall into a single preferred style.
- ❖ In practice, as they say, things are not that simple. Factors that affect situational decisions include motivation and capability of followers.
- ❖ This, in turn, is affected by factors within the particular situation.
- ❖ The relationship between followers and the leader may be another factor that affects leader behavior as much as it does follower behavior.
- ❖ The leaders' perception of the follower and the situation will affect what they do rather than the truth of the situation.
- ❖ The leader's perception of themselves and other factors such as stress and mood will also modify the leaders' behavior.

f) Contingency Theory:

Assumptions:

- 🚗 The leader's ability to lead is contingent upon various situational factors, including the leader's preferred style, the capabilities and behaviors of followers and also various other situational factors.

Description:

Contingency theories are a class of behavioral theory that contend that there is no one best way of leading and that a leadership style that is effective in some situations may not be successful in others. An effect of this is that leaders who are very effective at one place and time may become unsuccessful either when transplanted to another situation or when the factors around them change. Contingency theory is similar to situational theory in that there is an assumption of no simple one right way. The main difference is that situational theory tends to focus more on the behaviors that the leader should adopt, given situational factors (often about follower behavior), whereas contingency theory takes a broader view that includes contingent factors about leader capability and other variables within the situation.

g) Transactional Leadership:

Assumptions:

- ❖ People are motivated by reward and punishment.
- ❖ Social systems work best with a clear chain of command.
- ❖ When people have agreed to do a job, a part of the deal is that they cede all authority to their manager.
- ❖ The prime purpose of a subordinate is to do what their manager tells them to do.

Description:

The transactional leader works through creating clear structures whereby it is clear what is required of their subordinates, and the rewards that they get for following orders. Punishments are not always mentioned, but they are also well understood and formal systems of discipline are usually in place.

The early stage of Transactional Leadership is in negotiating the contract whereby the subordinate is given a salary and other benefits, and the company (and by implication the subordinate's manager) gets authority over the subordinate.

When the Transactional Leader allocates work to a subordinate, they are considered to be fully responsible for it, whether or not they have the resources or capability to carry it out. When things go wrong, then the subordinate is considered to be personally at fault, and is punished for their failure (just as they are rewarded for succeeding).

h) Transformational Leadership:**Assumptions:**

- ❖ People will follow a person who inspires them.
- ❖ A person with vision and passion can achieve great things.
- ❖ The way to get things done is by injecting enthusiasm and energy.

Description:

Working for a Transformational Leader can be a wonderful and uplifting experience. They put passion and energy into everything. They care about you and want you to succeed. Transformational Leaders are often charismatic, but are not as narcissistic as pure Charismatic Leaders, who succeed through a belief in themselves rather than a belief in others. One of the traps of Transformational Leadership is that passion and confidence can easily be mistaken for truth and reality. Transformational Leaders, by definition, seek to transform. When the organization does not need transforming and people are happy as they are, then such a leader will be frustrated. Like wartime leaders, however, given the right situation they come into their own and can be personally responsible for saving entire companies

COMMUNICATION:

Definition:

- ❖ Communication is the process of passing information from one person to another person.
- ❖ Communication is derived from the Latin word Communis which implies common. Communication is the interchange of thoughts and information.
- ❖ Communication is the exchange of messages between people for the purpose of achieving common meanings.
- ❖ Unless common meanings are shared, managers find it extremely difficult to influence others.
- ❖ Whenever group of people interact, communication takes place.

Importance of communication:

- ❖ For ensuring good coordination, communication is must.
- ❖ Most of the problems for human occur due to lack or insufficient communication.
- ❖ Communication is the process of initiating, transmitting, and receiving information.

Purpose of Communication:

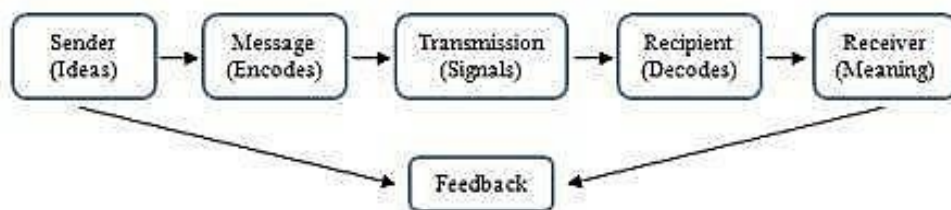
1. Improves Managerial Performance
2. Facilitates Leadership
3. Increases job Satisfaction
4. Reduces time and efforts
5. Enhances coordination
6. Help public relations

Elements of Communication:

1. Sender
2. Message – The Subject matter of Communication
3. Encoding – act of translating the msg into words, pictures, symbols
4. Channel – Media used
5. Receiver –
6. Decoding – interprets the msg to draw meaning from it. He converts symbols, signs or pictures into meaning
7. Feedback –

THE COMMUNICATION PROCESS:

- ❖ Communication is important in building and sustaining human relationships at work.
- ❖ Communication can be thought of as a process or flow.
- ❖ Before communication can take place, a purpose, expressed as a message to be conveyed is needed. It passes between the sender and the receiver.
- ❖ The result is transference of meaning from one person to another. The figure below depicts the communication process. 🚗 This model is made up of seven parts:



(1) Sender:

The person who intends to convey the message with the intention of passing information and ideas to others is known as sender or communicator.

(2) Ideas:

This is the subject matter of the communication. This may be an opinion, attitude, feelings, views, orders, or suggestions.

(3) Encoding:

Since the subject matter of communication is theoretical and intangible, its further passing requires use of certain symbols such as words, actions or pictures etc. Conversion of subject matter into these symbols is the process of encoding.

(4) Communication Channel:

The person who is interested in communicating has to choose the channel for sending the required information, ideas etc. This information is transmitted to the receiver through certain channels which may be either formal or informal.

(5) Receiver:

Receiver is the person who receives the message or for whom the message is meant for. It is the receiver who tries to understand the message in the best possible manner in achieving the desired objectives.

(6) Decoding:

The person who receives the message or symbol from the communicator tries to convert the same in such a way so that he may extract its meaning to his complete understanding.

(7) Feedback:

Feedback is the process of ensuring that the receiver has received the message and understood in the same sense as sender meant it.

Guidelines for effective Communication:

1. Senders of message must clarify in their minds what they want to communicate. Purpose of the message and making a plan to achieve the intended end must be clarified.
2. Encoding and decoding be done with symbols that are familiar to the sender and the receiver of the message.
3. For the planning of the communication, other people should be consulted and encouraged to participate.
4. It is important to consider the needs of the receivers of the information. Whenever appropriate, one should communicate something that is of value to them, in the short run as well as in the more distant future.
5. In communication, tone of voice, the choice of language and the congruency between what is said and how it is said influence the reactions of the receiver of the message.
6. Communication is complete only when the message is understood by the receiver. And one never knows whether communication is understood unless the sender gets a feedback.
7. The function of communication is more than transmitting the information. It also deals with emotions that are very important in interpersonal relationships between superiors, subordinates and colleagues in an organization.
8. Effective communicating is the responsibility not only of the sender but also of the receiver of the information.

BARRIERS TO EFFECTIVE COMMUNICATION:

Barriers to communication are factors that block or significantly distort successful communication. Effective managerial communication skills helps overcome some, but not all, barriers to communication in organizations. The more prominent barriers to effective communication which every manager should be aware of are given below:

1. **Physical Barriers:** The barriers are environment factors that reduce the sending and receiving of communication. It includes physical distance

distracting noises and other interferences. Difficulty in passing of message mainly increases with increase in physical distance.

2. **Perceptual Barriers:** The most common problem faced these days is that of the difference in opinion between two people. The varied perceptions of every individual give rise to a need for effective communication.
3. **Emotional Barriers:** Another main barrier is the fear and mistrust that form the roots of our emotional barrier which stop us from communicating effectively with our co-workers.
4. **Language Barriers:** Language that describes what we would want to express and communicate to others, May at times, serve as a barrier to them. In today's global scenario, the greatest compliment we can pay to another person is by speaking and effectively communicating to them in their local language. We need to understand that the native language of employees can be different from anyone else's.
5. **Cultural Barriers:** The world is made up of diverse cultures. A cultural barrier arises when two individuals in an organization belong to different religions, states or countries.

CHANNELS OF COMMUNICATION:

1. **Formal Communication** – follows the route formally laid down in the organization structure
 - a. **Downward Communication** – flow of communication from superior to subordinate
 - b. **Upward Communication** - flow of communication from subordinate to superior
 - c. **Horizontal Communication** – transmission of information among the positions at the same level of the Organization.
2. **Informal Communication or Grapevine** – Communication among people through informal contacts or relations.

Channels of communication: (In detail)

- a) **Formal Communication:** Formal communication follows the route formally laid down in the organization structure. There are three directions in which communications flow: downward, upward and laterally (horizontal).
 - i) **Downward Communication:** Downward communication involves a message travelling to one or more receivers at the lower level in the hierarchy.

The message frequently involves directions or performance feedback. The downward flow of communication generally corresponds to the formal organizational communications system, which is usually synonymous with the chain of command or line of authority. This system has received a great deal of attention from both managers and behavioral scientists since it is crucial to organizational functioning.

ii) Upward Communication: In upward communication, the message is directed toward a higher level in the hierarchy. It often takes the form of progress reports or information about successes and failures of the individuals or work groups reporting to the receiver of the message. Sometimes employees also send suggestions or complaints upward through the organization's hierarchy. The upward flow of communication involves two distinct manager-subordinate activities in addition to feedback:

- ❖ The participation by employees in formal organizational decisions.
- ❖ Employee appeal is a result against formal organization decisions. The employee appeal is a result of the industrial democracy concept that provides for two-way communication in areas of disagreement.

iii) Horizontal Communication: when takes place among members of the same work group, among members of work groups at the same level, among managers at the same level or among any horizontally equivalent personnel, we describe it as lateral communications. In lateral communication, the sender and receiver(s) are at the same level in the hierarchy. Formal communications that travel laterally involve employees engaged in carrying out the same or related tasks.

The messages might concern advice, problem solving, or coordination of activities.

b) Informal Communication or Grapevine:

- ❖ Informal communication, generally associated with interpersonal communication, was primarily seen as a potential hindrance to effective organizational performance.
- ❖ This is no longer the case.
- ❖ Informal communication has become more important to ensuring the effective conduct of work in modern organizations.
- ❖ Probably the most common term used for the informal communication in the workplace is “grapevine” and this communication that is sent through the organizational grapevine is often considered gossip or rumour.

- ❖ While grapevine communication can spread information quickly and can easily cross established organizational boundaries.
- ❖ The use of the organizational grapevine as an informal communication channel often results when employees feel threatened, vulnerable, or when the organization is experiencing change and when communication from management is restricted and not forthcoming.

Distinguish between Downward and Upward Communication

Down ward	Upward
From higher to lower levels	From lower to higher levels
Flow is downward	Flow is upward
Directive in nature	Non-directive
Purpose is to get plans implemented	Purpose is to provide feedback on results
Travels fast	Travels slowly
Orders, instructions, lectures, manuals, handbooks, etc are the main examples	Reports, suggestions, grievances, protests, surveys are the main examples.

Distinction between Formal and Informal Communication

Formal Communication	Informal Communication
Official Channel	Unofficial Channel
Deliberately Planned and Systematic	Unplanned and Spontaneous
Part of Organization Structure	Cuts across formal relationships
Oriented towards goals and task of the enterprises	Directed towards goals and need satisfaction of individuals
Impersonal	Personal and social
Stable and rigid	Flexible and instable
Slow and Structured	Fast and Unstructured

Grapevine Merits and Demerits

Merits	Demerits
Useful for developing group cohesiveness	Based on rumors
Serves as an emotional safety value	Misleads People
Effective source of knowledge feelings and attitudes of Employees	May breed against particular executives
Supplements the channels of official communication	May lead to more talk and less work
Tells mgt when to be firm and when to yield	May distort official channels of communication

MEDIA OR METHODS OF COMMUNICATION:

1. Oral Communication
2. Written Communication

3. Gestural Communication

1. Oral Communication:

Oral Communication involves exchange of messages through spoken words. It may take place.

- i. By face- to face contacts
- ii. Through mechanical devices like telephone.

Merits:

Oral or Verbal communication offers the following advantages:

1. Economical
2. Personal touch
3. Speed
4. Flexibility
5. Quick response

Demerits:

Oral Communication suffers from the following weaknesses

1. Lack of record
2. Time Consuming
3. Lengthy message
4. Physical distance
5. Misunderstanding

2. Written Communication:

Written Communication is transmitted through written words in the form of letter, circular, memos, bulletins, instruction cards, manuals, handbooks, reports, returns, **Merits:**

1. Effectiveness
2. Lengthy messages
3. Economical
4. Repetition
5. Permanent record
6. Better response **Demerits:**

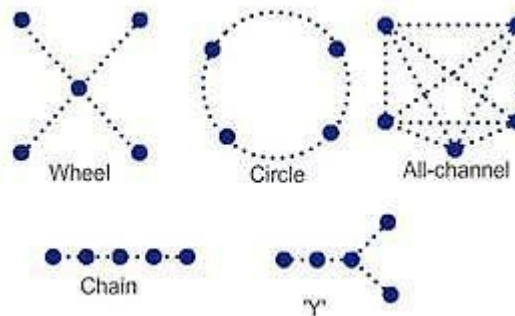
1. Time Consuming
2. Expensive
3. Inflexibility
4. Little secrecy
5. Lack of personal touch
6. Misunderstanding

3. Gestural Communication:

A gesture is a form of non-verbal communication or non-vocal communication in which visible bodily actions communicate particular messages, either in place of, or in conjunction with, speech. Gestures include movement of the hands, face, or other parts of the body.

COMMUNICATION NETWORKS:

- ❖ The pattern of contacts among the members of the organisation and flow of information among them is communication network.

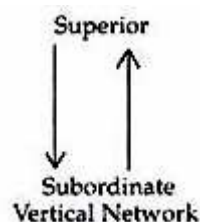


- ❖ Network helps managers to establish contacts in different patterns through communication flows.
- ❖ The network depends upon the magnitude of the organisation, nature of communication channels in the organisation and the number of persons involved in the process.
- ❖ There can be many patterns of communication network.
 1. Vertical network
 2. Circle Network
 3. Chain Network
 4. Wheel Network
 5. All Channel Network

The most frequently followed networks are the following:

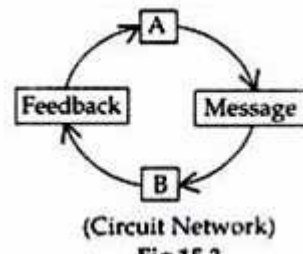
1. Vertical Network:

The vertical network is usually between the superior and subordinate and vice versa. It is two-way communication. The immediate feedback is possible in this type of communication network. It is formal network. Vertical Network



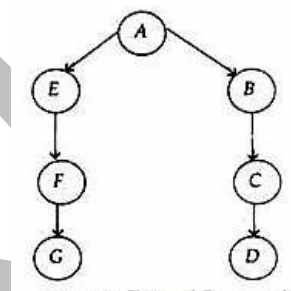
2. Circuit Network:

Under this network two persons communicate with each other. Say Mr. 'A' sends message to Mr. 'B'. After receiving message Mr. 'B' communicates the feedback message to Mr. 'A'. So communication takes the form of a circuit. Therefore it is known as circuit network. It is similar to vertical network but in circuit network 'A' and 'B' are not necessarily superior and subordinates.



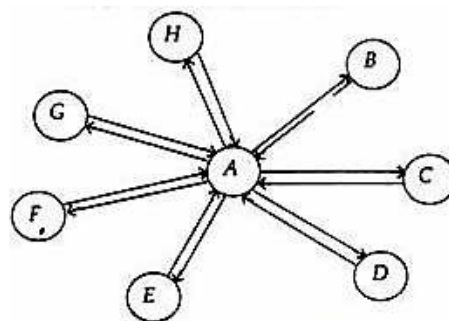
3. Chain Network:

This network of communication follows the organisational hierarchy and chain of command. All subordinates receive commands or instructions from their superior. B, C, D and E, F, G are the subordinates to A in the organisational hierarchy and receive commands from 'A' which follows the way shown in the diagram.



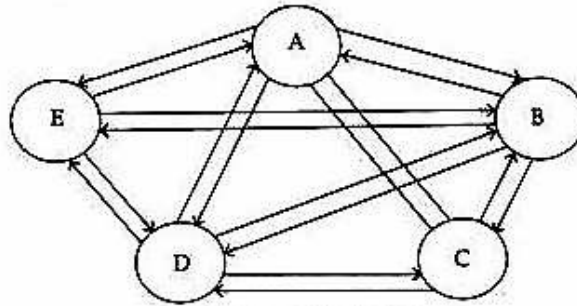
4. Wheel Network:

Here all subordinates receive commands from one superior. This is highly centralized type of communication network where each subordinate receives commands or instructions from a single authority or superior 'A' and wants the immediate feedback.



5. Star Network:

Under star communication network all members of the group communicate with each other and exchange information. This network is a must for group communication or where teamwork is involved. This network channel of communication is open to all members of the group. The members communicate with each other without hesitation.



The effectiveness of the above networks of communication channels depend upon their users i.e. the managers at all levels, their subordinates and other members of the organisation and above all the seriousness with which all these human resources make use of the facilities provided to them by the organisation to accomplish its objectives.

Making Communication Effective:

1. Sound Organization Structure.
2. Clear messages.
3. Two-way Communication.
4. Multiple Channels.
5. Good Listening.
6. Effective Control.
7. Modern Instrument.
8. Human Relations attitude.

Essentials Of Good Communication System:

1. Clarity of messages.
2. Completeness of message.
3. Consistency of message.
4. Proper timing.
5. Credibility.
6. Empathy.
7. Follow-up.
8. Economy.

COMMUNICATION AND I.T:

Various electronics devices slowly improve communication. This electronic equipment includes mainframe computers, mini computers, personal computer, tablets, laptops, mobile phones, electronic mail, etc.

Tele communication is an emerging technique. Most of the company has implemented this technique. **E.X:**

1. Large bank supplies hardware and software to its customers.
2. E-Mail services making easy delivery of documents.
3. Computerised airline reservation system facilitates making travel arrangement.

Teleconferencing is an audio in combination with still video. This method is very useful in showing charts or illustrations during discussion. Another recent system is video conferencing which uses high speed internet services to deliver seamless delivery of audio and video for both end of communication.

Smart phone is yet another recent development which made communication extremely easy by utilizing social media such as MMS, Skype, Facebook, Whatsapp, etc.

Advantages:

- ❖ It saves travel expenses and time
- ❖ There is needed to make travel plans long in advances.

Disadvantages:

- ❖ The equipment is subject to breakdown.
- ❖ It is a poor substitute for meeting with other persons face-to-face.

The use of computer for information handling:

Electronic data processing system handles large amount of data. The stored data can be retrieved whenever it is required without any distortion. Computer graphics can inform visually, displaying important company information. Computer printouts and coloured map are quickly displayed when compared to other media.

UNIT V CONTROLLING

System and process of controlling – budgetary and non-budgetary control techniques – use of computers and IT in Management control – Productivity problems and management – control and performance – direct and preventive control – reporting.

5.1. INTRODUCTION:

- ❖ Controlling consists of verifying whether everything occurs in conformities with the plans adopted, instructions issued and principles established.
- ❖ Controlling ensures that there is effective and efficient utilization of organizational resources so as to achieve the planned goals.
- ❖ Controlling measures the deviation of actual performance from the standard performance, discovers the causes of such deviations and helps in taking corrective actions.

Definition:

- ❖ Control is checking the current performance against predetermined standards contained in the plans with a view to ensure an adequate progress and satisfactory performance.
- ❖ By Koontz and O'Donnell "The managerial function of controlling is the measurement and correction of the performance of activities of subordinates in order to make sure that enterprise objectives and the plans devised to attain them are being accomplished.

5.2. NATURE & PURPOSE OF CONTROL:

1. Control is an essential function of management.
2. Control is an ongoing process.
3. Control is forward – working because past cannot be controlled.
4. Control involves measurement.
5. The essence of control is action.
6. Control is an integrated system.

5.3. IMPORTANCE OF CONTROL:

1. Policy verification.
2. Adjustment in operations.
3. Coordination
4. Employee morale
5. Efficiency and Effectiveness.

6. Psychological pressure

5.4. VARIOUS MANAGERIAL CONTROLS:

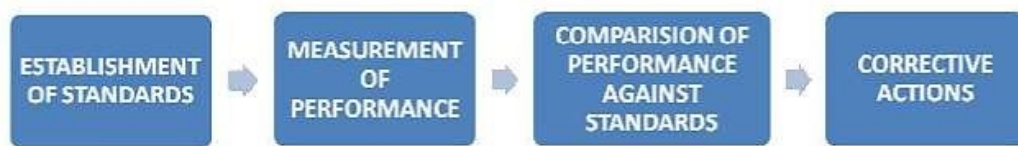
It provides managers with the type and amount of information they need to measure and monitor the performances.

1. Financial controls.
2. Budget controls.
3. Marketing controls.
4. Human resources controls.
5. Computers and information controls.

5.5. CONTROL PROCESS:

The basic control process involves mainly these steps as shown in Figure.

1. Establishment of Standards.
2. Measurement of Performance.
3. Comparing performance with standards.
4. Correction of Deviations.



1. The Establishment of Standards:
 - ❖ Because plans are the yardsticks against which controls must be revised, it follows logically that the first step in the control process would be to accomplish plans.
 - ❖ Plans can be considered as the criterion or the standards against which we compare the actual performance in order to figure out the deviations.
2. Measurement of Performance:
 - ❖ The measurement of performance against standards should be on a forward looking basis so that deviations may be detected in advance by appropriate actions.
 - ❖ The degree of difficulty in measuring various types of organizational performance, of course, is determined primarily by the activity being measured.
 - ❖ For example, it is far more difficult to measure the performance of highway maintenance worker than to measure the performance of a student enrolled in a college level management course.

3. Comparing Measured Performance to Stated Standards:

- ❖ When managers have taken a measure of organizational performance, their next step in controlling is to compare this measure against some standard.
- ❖ A standard is the level of activity established to serve as a model for evaluating organizational performance.
- ❖ The performance evaluated can be for the organization as a whole or for some individuals working within the organization.
- ❖ In essence, standards are the yardsticks that determine whether organizational performance is adequate or inadequate.

4. Taking Corrective Actions:

- ❖ After actual performance has been measured compared with established performance standards, the next step in the controlling process is to take corrective action, if necessary.
- ❖ Corrective action is managerial activity aimed at bringing organizational performance up to the level of performance standards.
- ❖ In other words, corrective action focuses on correcting organizational mistakes that hinder organizational performance.
- ❖ Before taking any corrective action, however, managers should make sure that the standards they are using were properly established and that their measurements of organizational performance are valid and reliable.

5.6. CRITICAL CONTROL POINTS AND STANDARDS:

The points selected for control process is called critical points.

5.6.1. Types of critical point standards:

- | | |
|------------------------|--------------------------|
| 1) Physical standards. | 2) Cost standards. |
| 3) Capital standards. | 4) Revenue standards. |
| 5) Program standards. | 6) Intangible standards. |
| 7) Goal as standards. | 8) Strategic control. |

5.7. REQUIREMENTS OF EFFECTIVE CONTROL:

1. Suitability
2. Flexibility
3. Economical
4. Simple
5. Forward looking
6. Motivation
7. Less time

5.8. TYPES OF CONTROL SYSTEMS

The control systems can be classified into three types namely feed forward, concurrent and feedback control systems.

1. **Feed forward controls:** They are preventive controls that try to anticipate problems and take corrective action before they occur. Example – a team leader checks the quality, completeness and reliability of their tools prior to going to the site.
2. **Concurrent controls:** They (sometimes called screening controls) occur while an activity is taking place. Example – the team leader checks the quality or performance of his members while performing.
3. **Feedback controls:** They measure activities that have already been completed. Thus corrections can take place after performance is over. Example – feedback from facilities engineers regarding the completed job.
4. **Strategic control.**
5. **Tactical control.**
6. **Operational control.**

5.9. BUDGETARY AND NON-BUDGETARY CONTROL TECHNIQUES:

BUDGET: it is an estimate of the future needs to be calculated.

5.9.1. CLASSIFICATIONS OF BUDGET:

1. **Functional classification:**
 - a. Sales Budget.
 - b. Production Budget.
 - c. Cost of production budget.
 - d. Material requirement budget.
 - e. Direct labour budget.
 - f. Capital expenditure budget.
 - g. Administrative overheads/cost budget.
 - h. Research and Development Budget.
 - i. Time, space, material and product budgets.
 - j. Cash budgets.
 - k. Profit budget.
2. **Time Classification:** a. Long term budgets. b. Short term budgets.
c. Current budgets.
3. **Classification based on activity:** a. Fixed Budget. b. Flexible budget.
c. Alternative budgets. d. Supplementary budget.

5.9.2. BUDGETARY CONTROL:

It is the process of determining various budgets for the business unit for future.

Definition: Budgetary Control is defined as "the establishment of budgets, relating the responsibilities of executives to the requirements of a policy, and the

continuous comparison of actual with budgeted results either to secure by individual action the objective of that policy or to provide a base for its revision.

5.9.3. SALIENT FEATURES:

Objectives: Determining the objectives to be achieved, over the budget period, and the policy that might be adopted for the achievement of these ends.

Activities: Determining the variety of activities that should be undertaken for achievement of the objectives.

Plans: Drawing up a plan or a scheme of operation in respect of each class of activity, in physical as well as monetary terms for the full budget period and its parts.

Performance Evaluation: Laying out a system of comparison of actual performance by each person section or department with the relevant budget and determination of causes for the discrepancies, if any. Control

Action: Ensuring that when the plans are not achieved, corrective actions are taken; and when corrective actions are not possible, ensuring that the plans are revised and objective achieved.

BUDGETARY CONTROL TECHNIQUES:

Revenue and Expense Budgets: The revenue from sales of products or services furnishes the principal income to pay operating expenses and yield profits. Expense budgets may deal with individual items of expense, such as travel, data processing, entertainment, advertising, telephone, and insurance.

Time, Space, Material, and Product Budgets: Many budgets are better expressed in quantities rather than in monetary terms. e.g. direct-labor-hours, machine-hours, units of materials, square feet allocated, and units produced. The Rupee cost would not accurately measure the resources used or the results intended.

Capital Expenditure Budgets: Capital expenditure budgets outline specifically capital expenditures for plant, machinery, equipment, inventories, and other items. These budgets require care because they give definite form to plans for spending the funds of an enterprise.

Cash Budgets: The cash budget is simply a forecast of cash receipts and disbursements against which actual cash "experience" is measured. The availability of cash to meet obligations as they fall due is the first requirement of existence, and handsome business profits do little good when tied up in inventory, machinery, or other noncash assets.

Variable Budget: The variable budget is based on an analysis of expense items to determine how individual costs should vary with volume of output. Some costs do not vary with volume, particularly in so short a period as 1 month, 6 months, or a year. Among these are depreciation, property taxes and insurance, maintenance of plant and equipment, and costs of keeping a minimum staff of supervisory and other key personnel.

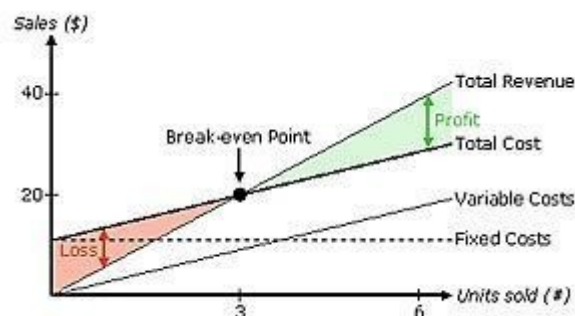
Zero Based Budget: The idea behind this technique is to divide enterprise programs into "packages" composed of goals, activities, and needed resources and then to calculate costs for each package from the ground up. By starting the budget of each package from base zero, budgeters calculate costs afresh for each budget period; thus they avoid the common tendency in budgeting of looking only at changes from a previous period.

🌐 NON-BUDGETARY CONTROL TECHNIQUES:

There are, of course, many traditional control devices not connected with budgets, although some may be related to, and used with, budgetary controls. Among the most important of these are statistical data, special reports and analysis, analysis of break- even points, the operational audit, and the personal observation.

Statistical data: Statistical analyses of innumerable aspects of a business operation and the clear presentation of statistical data, whether of a historical or forecast nature are, of course, important to control. Some managers can readily interpret tabular statistical data, but most managers prefer presentation of the data on charts.

Break- even point analysis: An interesting control device is the break even chart. This chart depicts the relationship of sales and expenses in such a way as to show at what volume revenues exactly cover expenses.

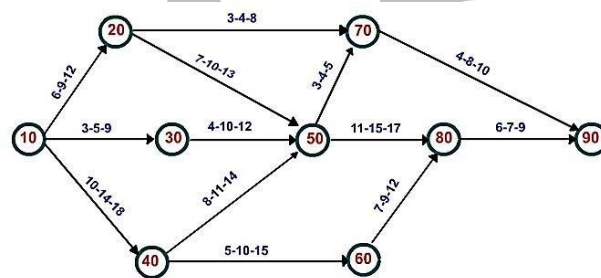


Operational audit: Another effective tool of managerial control is the internal audit or, as it is now coming to be called, the operational audit. Operational

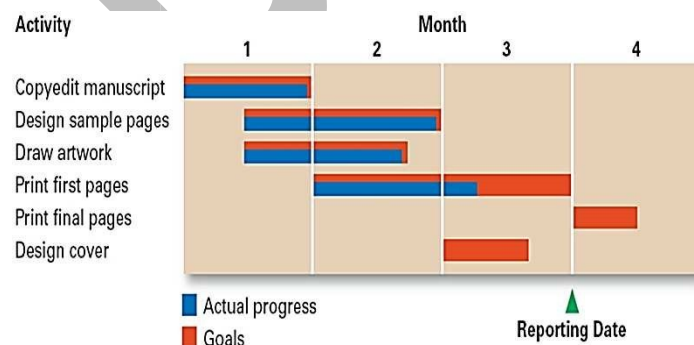
auditing, in its broadest sense, is the regular and independent appraisal, by a staff of internal auditors, of the accounting, financial, and other operations of a business.

Personal observation: In any preoccupation with the devices of managerial control, one should never overlook the importance of control through personal observation.

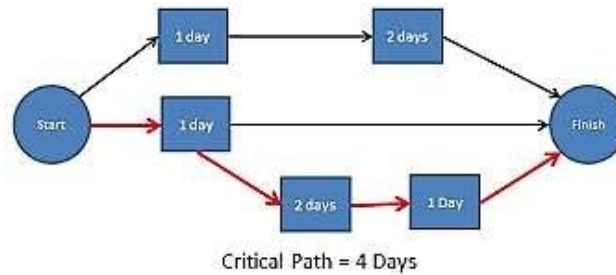
PERT: The Program (or Project) Evaluation and Review Technique, commonly abbreviated PERT, is a method to analyze the involved tasks in completing a given project, especially the time needed to complete each task, and identifying the minimum time needed to complete the total project.



GANTT CHART: A Gantt chart is a type of bar chart that illustrates a project schedule. Gantt charts illustrate the start and finish dates of the terminal elements and summary elements of a project. Terminal elements and summary elements comprise the work breakdown structure of the project. Some Gantt charts also show the dependency (i.e., precedence network) relationships between activities.



The critical path method (CPM) is a step-by-step project management technique for process planning that defines critical and non-critical tasks with the goal of preventing time-frame problems and process bottlenecks. The CPM is ideally suited to projects consisting of numerous activities that interact in a complex manner.



Program (Project) Management and Review Technique (PERT) and Critical Path Method (CPM) are two popular statistical tools used by the business entities for the management of the project. These two methods are used in the successful completion of a project and hence used in conjunction with each other. Nevertheless, the truth is that CPM is different from PERT in a way that the former cost based while the latter is time-based. In the same manner, there are many differences between PERT and CPM, which we are going to discuss in this article.

COMPARISON CHART:

BASIS FOR COMPARISON	PERT	CPM
Meaning	PERT is a project management technique, used to manage uncertain activities of a project.	CPM is a statistical technique of project management that manages well defined activities of a project.
What is it?	A technique of planning and control of time.	A method to control cost and time.
Focus on	Event	Activity
Model	Probabilistic Model	Deterministic Model
Estimates	Three time estimates	One time estimate
Appropriate for	High precision time estimate	Reasonable time estimate
Management of	Unpredictable Activities	Predictable activities
Nature of jobs	Non-repetitive nature	Repetitive nature
Critical and Non-critical activities	No differentiation	Differentiated
Suitable for	Research and Development Project	Non-research projects like civil construction, ship building etc.
Crashing concept	Not Applicable	Applicable

5.10. INFORMATION TECHNOLOGY IN CONTROLLING:

Use of computers in handling the information:

1. Sales Forecast and Control.
2. Payroll.
3. Business management.
4. Accounting.
5. Personnel management information.
6. Cost Accounting.
7. Manufacturing information control.
8. Banking and Credit.

5.11. MANAGEMENT INFORMATION SYSTEM (MIS):

- ❖ It is used for decision making in the various functional areas of business.
- ❖ MIS is a new technique which has brought with increased accuracy and speed to the management.

Definition: MIS can be defined as "A system of obtaining, abstracting, storing and analysing data to produce effective information for use in planning, controlling and decision making process". The man machine combination helps to solve complex business and industrial problems and that too quickly.

5.11.1. Need of MIS:

1.Internal factors: (i) Resources. (ii) Planning and control information. (iii) Operational information. (iv) Production function. (v) Marketing function.

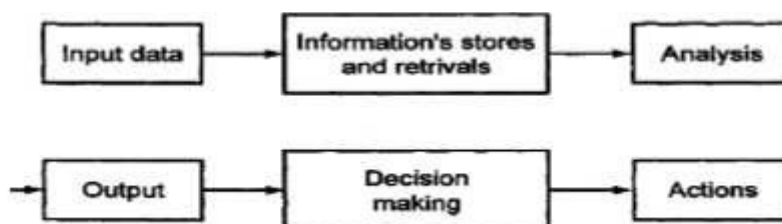
2.External Information factors: (i) Political and Government. (ii) Economic condition. (iii) Technology.

5.11.2. MIS Resources:

1. Computer hardware.
2. Software.
3. Data.
4. People.

5.11.3. Implementation of MIS:

1. Input data.
2. Information stored and retrieval.
3. Analysis.
4. Output.
5. Decision making.
6. Action.



5.11.4. Important Devices for MIS:

1. Speech Recognition devices.
2. Network.

5.11.5. Importance of MIS or Role of MIS:

<i>Sl. no.</i>	<i>Major subsystem</i>	<i>Application</i>
1.	Marketing	Sales planning, Sales analysis, Sales forecasting.
2.	Manufacturing	Production planning, cost control analysis.
3.	Logistics	Planning and control
4.	Finance and accounting	Cost analysis, planning, income measurement.
5.	Top management	Strategic planning, policy, resource allocation.

5.11.6. Management and MIS:

1. Operational control.
2. Middle management.
3. Top level-strategic planning.



Figure- Management of MIS

5.12. PRODUCTIVITY:

- ❖ Productivity refers to the ratio between the output from production processes to its input.
- ❖ Productivity may be conceived of as a measure of the technical or engineering efficiency of production. As such quantitative measures of input, and sometimes output, are emphasized.

Definition: Productivity is a measure of how much input required producing a given output i.e. the ratio between output and input is called productivity.

5.12.1. FACTORS AFFECTING PRODUCTIVITY:

- | | |
|------------------------------|-----------------------------|
| 1. Technology. | 2. Human resources. |
| 3. Government policy. | 4. Machinery and Equipment. |
| 5. Skill of the workers. | 6. Capital. |
| 7. Research and Development. | 8. Trade unions. |
| 9. Materials. | 10. Plant, equipment. |
| 11. Land and Buildings. | 12. The size of the plant |

5.12.2. Role of Productivity:

a) For management:

1. To get high profit; 2. To improve the resources; 3. To increase the sales.

b) For workers:

1. Job satisfaction and Job security; 2. Promotion; 3. Higher salary; 4. Better working conditions.

c) For customers:

1. To get quality product; 2. Reduced prices; 3. Easily available

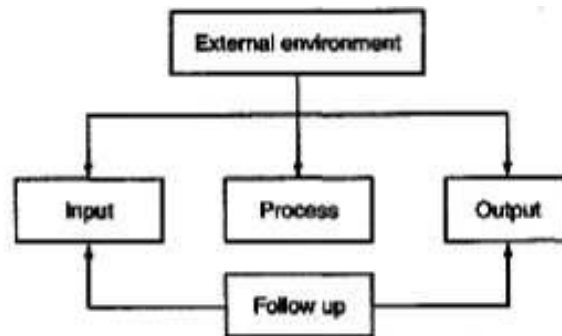
5.13. DEMING 14 PRINCIPLE FOR IMPROVING PRODUCTIVITY:

1. Create constancy of purpose for improving products and services.
2. Adopt the new philosophy.
3. Cease dependence on inspection to achieve quality.
4. End the practice of awarding business on price alone; instead, minimize total cost by working with a single supplier.
5. Improve constantly and forever every process for planning, production and service.
6. Institute training on the job.
7. Adopt and institute leadership.
8. Drive out fear.
9. Break down barriers between staff areas.
10. Eliminate slogans, exhortations and targets for the workforce.
11. Eliminate numerical quotas for the workforce and numerical goals for management.
12. Remove barriers that rob people of pride of workmanship, and eliminate the annual rating or merit system.
13. Institute a vigorous program of education and self-improvement for everyone.
14. Put everybody in the company to work accomplishing the transformation.

5.14. PRODUCTION AND OPERATIONS MANAGEMENT OPERATION MANAGEMENT SYSTEM:

Production:

- ❖ It is defined as the step-by-step conversion of raw materials into finished products through a mechanical or chemical process to create the product.



Input: - Technology, Management and Labour, Man, Machine, Money, Building.

Process: - Required Process Of Planning, Operating And Controlling The System.

Output: - Product, Service. Product Development:

5.14.1. PRODUCT DEVELOPMENT:

- ❖ Product development is the work contributed towards improvement in the present knowledge by the way of improved ideas, system, techniques etc.

5.14.2. PRODUCT DEVELOPMENT PROCEDURE:

1. Creation of new ideas;
2. Screening of ideas;
3. Product analysis;
4. To utilize the existing resources;
5. Product design;
6. Test marketing;
7. Commercialization.

5.15. PRODUCT ANALYSIS:

It is very important for every business enterprises .the following factors influences the product analysis.



Product layout: The arrangement of machines and equipment's according to the product manufacture is called as product layout. In this layout the raw materials arrive at one end and leave the other end as finished product.

Operation Research: Operation research is a product of World War II.

Definition: "Operation research is an experimental and applied science developed for observing understanding the purposeful man-machine systems and operations research workers are actively engaged in applying this knowledge to practical problems in business government and society". Operation Research society of America

Necessity of Operation Research:

- (i) Uncertainty.
- (ii) Responsibility and authority.
- (iii) OR Models.
- (iv) Complex Organizations.
- (v) Optimization of resources.
- (vi) Minimizing time. Example: PERT, Transportation method, Queuing theory
- (vii) Maximizing profit. Example: PERT method, Queuing, Decision-tree etc.
- (viii) Minimizing cost. Linear Programming, EOQ concept.

Role of Operations Research in Business and Management:

- (i) Production Management.
- (ii) Finance Management.
- (iii) Purchasing and procurement.
- (iv) Distribution.
- (v) Marketing.
- (vi) Financial.

5.16. INVENTORY CONTROL (or) PURCHASING CONTROL:

- ❖ Inventory is the quantity of goods and other stocks held for a specific time period in an unproductive state, awaiting use or sales.

5.16.1. INVENTORY COSTS:

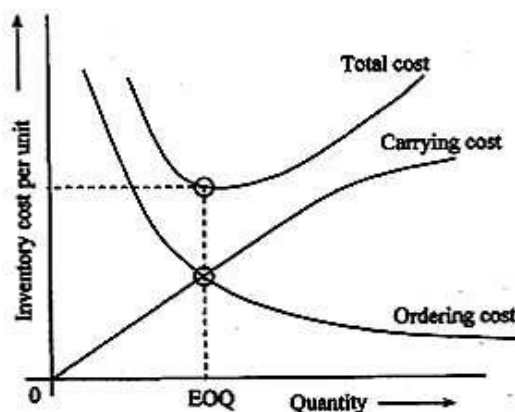
- ❖ Only those costs that vary as the inventory decisions of 'when' and 'how' change should be considered. Operation managers should identify these costs and then minimize their total cost.

5.16.2. Effective Inventory Control System:

- ❖ It should provide a proper check against losses.
- ❖ Inventories should be classified clearly. Each item should be given a separate code for quick identification.
- ❖ Separate storerooms must be equipped with all facilities.
- ❖ Experienced and qualified persons should be appointed in the purchase and other related departments.

5.17. ECONOMIC ORDER QUANTITY:

- ❖ It is a basic fixed order quantity model such that the total inventory cost (Inventory carrying cost + ordering cost) is low. This quantity is known as Economic Order quantity.



Determination of Economic Order Quantity (EOQ):

$$EOQ = \text{root of } (2DS/C)$$

D - Demand per year; S - Ordering cost; C - Annual carrying cost of one unit.

5.18. JUST IN TIME INVENTORY (JIT) SYSTEM:

- ❖ In this method, the suppliers deliver the materials to the production spot just in time to be assembled.
- ❖ This method reduces the cost of inventory.

5.18.1. Essential requirements for the success:

1. Required trained and skilled workers.
2. To reduce batch size.

3. Smooth relationship with suppliers.
4. Suppliers should be located near the' company.
5. Effective maintenance of machineries.

Other techniques for improving production:

Based on operation research, some other techniques are:

Time-Even Networks: PERT, CPM techniques are used in planning and control activities.

5.18.2. Steps in Production Planning and Control:

- 1. Routing:** Routing is defined as the selection of path which each part of the product will follow while being transferred from raw material to finished products. It determines the path and sequence of operation.
- 2. Scheduling:** It involves the deciding of when the work will begin and duration of time and how much will be finished.
- 3. Dispatching;** Dispatching is transferring from planning into action.
- 4. Inspection:** It is used by the dispatchers to report about the number of pieces inspected, number of pieces rejected and the reasons for rejection.
- 5. Follow-up or Expediting:** The manufacturing activity of a factory is said to be in control when the actual performance is as per the planned performance. Follow up regulates the progress of materials and the components through the production process.

5.19. COST CONTROL:

- ☞ Managers use a financial control method in the organization which helps managers to control an organization's financial resources.

5.20. FINANCIAL STATEMENT:

- ☞ Financial statements generally refer to four basic statements of income statements, balance sheet, statement of retained earnings and sources, and fund statements. The Financial Statements reflect the Financial Position and Operating strength or weakness of the organization.

Users of financial statements:

- 1) Shareholders; 2) Creditors; 3) Employees; 4) Trade unions; 5) Managers; 6) Economists; 7) Members of parliament; 8) SEBI; 9) Government Departments; 10) Tax Authorities; 11) Financial Institutions; 12) Commercial Bank.

Importance of Financial Statements:

1. Management.
4. Labor.

2. Shareholders.
5. Public.

3. Creditors.
6. Government.

Limitations of financial statements:

- 1) The data given in these statements are only approximate.
- 2) Current price changes are not considered for valuing the assets of the business.
- 3) Non-Monetary factors are ignored while preparing the financial statements.
- 4) Information is incomplete.
- 5) Qualitative information is ignored.

5.21. INCOME STATEMENT:

🚗 The income statement is also known as profit and loss account. It performs a report recording, such as change in income, expenses, profit and losses as a result of business operation during the year. It summarizes the revenues and expenses of the period.

Importance:

- 1) The income statement guides the management to judge business progress period.
- 2) The income statement analyses business successes.
- 3) It reports the results of business activities and indicates the reasons for the business profitability or lack.

5.22. BALANCE SHEET:

- ❖ A balance sheet is the statement which sets out the financial conditions of Business Company.
- ❖ In balance sheet, left hand side contains capital and liabilities and right hand side contains assets.
- ❖ It lists a particular date, usually at the close of the accounting period, the assets and liabilities and capital of the enterprise.
- ❖ A balance sheet is also described as a statement showing the sources and application of capital. It is a statement not an account.

<i>Capital and Liabilities</i>	<i>Amount (Rs.)</i>	<i>Assets and Property</i>	<i>Amount (Rs.)</i>
Capital	-----	Fixed Assets	-----
Reserves and surplus	-----	Investments	-----
Long term liabilities	-----	Current Assets	-----
Current liabilities and provisions	-----	Miscellaneous asset	-----
	-----		-----

Balance sheet as on 31st Dec. 2010

Key Words of Cost Control:

1. Assets: It is the cost which represents the expected future economic benefits to the business.
2. Fixed assets: These assets used in the business are permanent. Example: Building, Machineries.
3. Current assets: They are assets which are reasonably expected to be realized in cash. Example: Bank in cash, D.D., Bills receivable.
4. Liabilities: Represent obligations which require the settlement in the future.
5. Fixed liabilities: The liabilities that are payable only on the termination of business. Example: Paid up capital.
6. Current liabilities: The liabilities that are payable within a year or due date. Bills payable, short-term bank overdraft.

5.23. CASH FLOW STATEMENT:

- ☞ A cash flow statement shows the impact of transactions on cash position of the firm and includes all transactions on cash position of the company.

5.24. DIRECT AND PREVENTIVE CONTROL:

5.24.1. DIRECT CONTROL:

- ☞ In this organization, some employee's performance is poor. Finding out the employees and then correcting their performance and achieve the organization goals is called direct control.

(i) Factor influencing direct control:

- ❖ Uncertainty.
- ❖ Lack of knowledge and Experience.
- ❖ Lack of communication.

(ii) Effective steps for direct control:

- ❖ Performance can be measured.
- ❖ Effectively utilizes time.
- ❖ Errors can be discovered in time.
- ❖ Participation.
- ❖ Coordination.

5.24.2. PREVENTIVE CONTROL:

- ☞ An efficient manager applies the skills in managerial philosophy to eliminate undesirable activities which are the reasons for poor management. This is called preventive control.

Effective steps for preventive control:

- 1) Qualified Managers.
- 2) Management principles to measure performance. 3)
- Evaluation.

5.25. REPORTING:

Budget summaries and reports:

- ❖ Every enterprise has its own objectives. Submission of budget and reports play an important role.
- ❖ Budget and reports are the resume of the particular company. It includes company sales volume, profit, credit, cost, purchase and return on investment.

Purpose of budget and reports: The manager should compare a planned budget with actual budget. Minor deviations can be ignored. The manager is responsible to take corrective action or report it to the top management. When the major deviation is taken place, budgets reflect the company's objectives or goals. Every budget is influenced by uncertainty. Every enterprise meets some unexpected events in the course of action that time budget changes is uncontrollable. The deviation between planned budget and actual budget can be controlled by an efficient manager. The budget summaries and reports are the major tools for top managements to find out where the deviation has occurred.

5.26. RETURN ON INVESTMENT (ROI):

- ❖ The return on Investment is the broadest measure of overall performance of a business.
- ❖ The prime objective of a business is to obtain satisfactory return on capital invested ROI is calculated on the basis of 3 factors.

(a) Investment Turnover = sales / investment

(b) Percentage profit on sales = (profit / sales) x 100

(c) Return on capital Employed = (profit / investment) x 100

Advantages of ROI:

- ❖ It is used in inter departmental comparison.
- ❖ ROI is used for comparing other companies.
- ❖ ROI gives ideas for analysis and decisions to bring about effective changes in financial policies.

Limitations of ROI:

- ❖ In ROI measurements, some factors, such as inventory valuation, depreciation cannot be considered.
- ❖ In a high rate of ROI, the managers may not be interested in the business activities due to the fear of decrease in ROI.

5.27. PURCHASE CONTROL:

🚚 Purchasing is one of the basic functions of organizations.

Objectives of Purchasing Department: Better purchasers can save a firm's financial resources. By scientific, purchasing cost would be reduced and in turn it will also reduce the inventory asset base.

Types of special purchase systems:

- (i) Forward Buying. (ii) Tender Buying. (iii) Blanket Order. (iv) Zero Stock. (v) Rate contract.

Standard Purchasing Procedure:

1. Processing the requisition.
2. Location and choice of suppliers.
3. Placing of orders.
4. Following up the progress in the purchase orders.
5. Maintenance of records.

Methods of Purchasing:

1. Purchasing according to requirement.

2. Price forecasting method.
3. Purchasing for some definite future period.
4. Market Purchasing.
5. Speculative Purchasing.
6. Contract Purchasing.
7. Scheduled Purchasing.
8. Public Purchase System.
9. Tender Purchasing System.

5.28. MAINTENANCE CONTROL:

🚗 Maintenance is the process of keeping the machine and equipment in good working condition so that the efficiency of machine is retained and its life is increased.

Functions of Plant Maintenance:

1. Inspection. 2. Repair. 3. Overhaul. 4. Lubrication. 5. Salvage.

Types of Maintenance:

- (i) **BREAKDOWN MAINTENANCE:** In the case of breakdown maintenance, the equipment is generally attended only when it breakdown.
- (ii) **PREVENTIVE MAINTENANCE:** It is a systematic maintenance procedure in which systematic inspection and preventive action of plant is taken to reduce breakdown of machines and equipment.

Techniques of Planned Maintenance Control: The basic techniques in designing a planned maintenance system are as follows: 1. Inventory Facilities. 2. Marking the equipment. 3. The facility register. 4. Marking Schedule. 5. Job Specification. 6. Maintenance Program. 7. Job Report.

5.29. QUALITY CONTROL:

- ❖ Walter Shewhart introduced the basic concepts of statistical quality control, including the control chart.
- ❖ **Quality:** Quality is defined as the degree to which a set of inherent characteristics fulfils requirements.

$$Q = P/E$$

where Q = Quality, P = Performance, E = Expectations

Quality Control: Quality Control is the procedure that is followed to achieve and maintain the required quality. Quality Control aims at prevention of producing defective products. For this statistical methods like sampling plans and control charts are used.

Dimensions of Quality:

- | | |
|-----------------|-----------------|
| 1. Performance. | 2. Features. |
| 3. Conformance. | 4. Reliability. |
| 5. Durability. | 6. Service. |
| 7. Response. | 8. Reputations. |

Steps in Quality Control:

1. Fixing the quality standards.
2. Evaluation of measurement of quality.
3. Comparing the measured quality with the standard quality.
4. Finding out the deviation.
5. Reasons for variation.
6. Taking corrective action.

Statistical Quality Control:

- ❖ Statistical methods can be used to control the quality.
- ❖ Statistical quality control means controlling the quality characteristics of a product or process using statistical method.

Types of control charts:

1. Control charts for variables.
2. Control charts for attributes.